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AGENDA**

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November 27, 2012

To: Members of the Executive Board

From: The Secretary

Subject: **Senegal—Staff Report for the 2012 Article IV Consultation, Fourth Review Under the Policy Support Instrument, and Request for Modification of an Assessment Criterion**

Attached for consideration by the Executive Directors is the staff report for the 2012 Article IV consultation with Senegal, the fourth review under the Policy Support Instrument, and Senegal's request for modification of an assessment criterion, which is tentatively scheduled for discussion on **Monday, December 10, 2012**. Unless an objection from the authorities of Senegal is received prior to the conclusion of the Board's consideration, the document will be published. A proposed decision appears on pages 17 and 18. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Mr. Joly (ext. 34674), Mr. Kireyev (ext. 38499), and Mr. Mpatswe (ext. 39513) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Wednesday, December 5, 2012; and to the African Development Bank, the European Commission, the Islamic Development Bank, the Organisation for Economic Cooperation and Development, and the West African Economic and Monetary Union, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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## SENEGAL

### STAFF REPORT FOR THE 2012 ARTICLE IV CONSULTATION, FOURTH REVIEW UNDER THE POLICY SUPPORT INSTRUMENT, AND REQUEST FOR MODIFICATION OF AN ASSESSMENT CRITERION

November 26, 2012

**Context:** After a tense campaign, President Sall was elected by a large majority and the governing coalition secured a broad majority at the legislative elections in July 2012. With a strong popular mandate, the government is now facing the challenge of accelerating reforms and meeting people's high expectations. Despite an uncertain external environment, a moderate growth pick up is expected in 2012 and 2013.

**Article IV discussions:** Fiscal deficits have increased in recent years, constraining the room for fiscal maneuver and raising sustainability concerns. The deficits need to be kept under control in 2012 and reduced in 2013. Growth has been sluggish in the recent past, with adverse implications for poverty reduction. The main medium-term challenge is to move to higher, sustainable, and inclusive growth. The government has an important role to play in raising the growth potential by providing critical infrastructure, improving the business environment, and deepening the financial sector.

**Exchange restrictions and regime:** Senegal, a member of the WAEMU, accepted the obligations under Article VIII, Sections 2(a), 3 and 4 of the Fund's Articles of Agreement as of June 1, 1996, and maintains an exchange system free of restrictions on the making of payments and transfers for current international transactions. The WAEMU's exchange regime is a conventional peg to the euro.

**Policy support instrument (PSI) implementation:** The program remains on track. Staff supports the authorities' request for modification of an assessment criterion.

#### Main policy recommendations:

- **Ensure fiscal sustainability.** Keep the 2012 fiscal deficit below 6 percent of GDP and reduce it below 5 percent of GDP in 2013, and further in the medium term.
- **Improve public spending efficiency.** Reconcile deficit reduction with addressing the country's social and development needs by reducing the cost of running the government and improving the targeting and efficiency of public expenditure.
- **Improve public infrastructure.** Finalize and promptly implement the strategy on new energy investments and SENELEC restructuring, given its impact on growth and the well-being of the population.
- **Focus on inclusiveness in growth strategy.** Ensure that growth is broad-based and sustainable, and its dividends are widely shared.

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Approved By  
**Roger Nord (AFR) and  
Peter Allum (SPR)**

A staff team consisting of Mr. Joly (head), Mr. Kireyev, Ms. Kolerus, Mr. Mpatswe (all AFR), Mr. Mulas Granados (FAD), Mr. Jewell (SPR), Mr. Imam (MCM), Mr. Issoufou (RES), Ms. Fichera (Res. Rep.), and Mr. Ba (Res. Rep. office) conducted the discussions in Dakar September 6–19, 2012. Deputy Managing Director Zhu visited Senegal November 4–6, 2012. Messrs. Assimaidou and Sembene (OED) participated in the discussions.

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## RECENT DEVELOPMENTS, THE OUTLOOK, AND RISKS

- 1. Senegal's peaceful political transition has strengthened the country's democratic tradition.** After a tense campaign, President Sall was elected in March 2012 with a large majority. In July 2012 the governing coalition secured a broad majority at the legislative elections. The government therefore has a strong popular mandate and now faces the challenge of meeting people's high expectations of better government, more jobs, better basic services, and a reduction of the cost of living. Senegal so far has been moderately affected by regional instability, but the situation in northern Mali is a source of concern.
- 2. Senegal's growth has been sluggish in recent years, with implications for poverty reduction.** Average growth was relatively strong in 1995–2005 (4.5 percent) and accompanied by a large drop in poverty incidence (from 68 to 48 percent). Due partly to a series of exogenous shocks (i.e., food and fuel global prices, global financial and economic crisis, and more recently, the electricity sector crisis and drought in the Sahel), growth decreased to an average of 3.3 percent in 2006–2011. As a result, poverty incidence barely decreased during this period and still stood at 47 percent in 2011. Wide disparities exist between rural areas, where poverty incidence is higher than the national average (at 57 percent), and urban areas (at 33 percent).
- 3. The authorities' policies since the last Article IV consultation have been broadly in line with IMF recommendations.** In successive PSIs, the authorities have pursued prudent macroeconomic policies and implemented a number of structural reforms, including strengthening public financial and debt management. However, because of a series of exogenous shocks and the crisis in the energy sector, fiscal deficits in the past two years have been higher than projected.
- 4. A moderate growth pick up is expected in 2012 and 2013.** Economic activity in early 2012 was affected by the political tensions ahead of the presidential election and the crisis in Mali and Guinea Bissau. A rebound in agriculture after last year's drought would, however, boost real GDP growth to 3.7 percent (from 2.6 percent in 2011). Growth would slightly increase in 2013 (to 4.3 percent) mostly owing to the completion of a number of large infrastructure and mining projects. Inflation, which so far has not been significantly affected by higher international food prices, would remain below 2 percent. The current account deficit would increase to 7.6 percent of GDP in 2012, because of higher fuel and (drought-related) food imports, and the overall balance of payments would record a small deficit.
- 5. In the medium term, growth is expected to return gradually to about 5 percent a year,** i.e., close to the level recorded before the global financial crisis. The high fiscal deficit would be gradually reduced to maintain debt sustainability and meet commitments made in the context of the West African Economic and Monetary Union (WAEMU). This would also allow a reduction of the current account deficit. Inflation would remain moderate. This scenario assumes the full

implementation of the authorities' ambitious plans to reform the state, address the energy sector crisis, and improve the business environment.

**6. The economy remains exposed to substantial risks.** Domestic risks include insufficient fiscal consolidation, which could compromise debt sustainability; slow improvement in public resource management, which could affect fiscal consolidation; and delays in the energy sector reform, which could have a negative impact on growth and the budget. External risks include an intensification of the crisis in Europe and a further slowdown in the world economy, food security concerns related to higher international cereal prices and possible spillovers from political instability in Mali.

## POLICY DISCUSSIONS

**7. Discussions focused on the policies required to move back to higher, sustainable, and inclusive growth, while reducing vulnerabilities,** and were grouped in three main themes: (i) fiscal policies to reduce vulnerabilities and foster inclusiveness; (ii) policies to rekindle growth; and (iii) strengthening the financial sector and external stability. There was broad agreement between the authorities and staff on the issues facing Senegal and the policies to address them.

### A. Fiscal Policy to Reduce Vulnerabilities and Foster Inclusiveness

**8. Fiscal deficits and debt ratios have increased in recent years.** The fiscal deficit, which was below 4 percent of GDP in 2007, stood at 6.7 percent of GDP in 2011. Higher deficits were justified to a large extent by the response to successive shocks. Meanwhile, the public debt-to-GDP ratio has increased continuously and is expected to exceed 45 percent in 2012.

**9. High deficits constrain fiscal policy and raise sustainability issues.** Fiscal space has decreased in recent years and this limits the authorities' ability to conduct counter-cyclical policies. In addition, the financing of deficits at the current level is challenging. An updated debt sustainability analysis (DSA, Supplement 1) shows that current fiscal deficit levels are incompatible with long-term sustainability. Vulnerabilities have increased, as illustrated by financing difficulties in early 2012 ahead of the presidential election that led to delays in paying suppliers, which have since been largely resolved. Senegal remains at a low risk of debt distress only under the assumption of fiscal consolidation and further strengthening of debt management.

**10. The authorities are fully aware of these challenges and have taken action to keep the fiscal deficit under control in 2012.** Budget execution was prudent in the first half of the year. Efforts to deliver on President Sall's promise of a more modest, accountable, and efficient state are underway. The number of ministries was reduced significantly, the senate and the vice-presidency were abolished, the rationalization of diplomatic representation abroad has started, and a number of public agencies were closed or merged. Efforts are also made more broadly to reduce the cost of running the government (e.g., use of telephone lines, water, and vehicles). These measures, together with some delay in

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implementing certain energy investments, are likely to keep the 2012 fiscal deficit below 6 percent of GDP, a welcome development bucking earlier trends. However, such a deficit level still raises financing challenges, which this year will be addressed through high recourse to the regional market and a large loan from France.

**11. The authorities intend to keep reducing the fiscal deficit in 2013 and the medium term, while addressing the country's social and development needs.** Their

MEFP ¶13-14

fiscal objective, supported by staff, is to reduce the deficit below 5 percent of GDP in 13–142013 and below 4 percent by 2015. Reconciling these various objectives will require a significant improvement in public spending efficiency. Staff noted that it would take sustained efforts over several years to deliver lasting results and to make space for critical new programs, such as the recently announced multi-year plan to address floods. This will also require strong political leadership to overcome vested interests as well as good administrative capacity. The authorities acknowledged this and have already taken action in a number of areas. Efforts to reduce the cost of running the government will continue and produce their full impact in 2013 and beyond. A comprehensive streamlining of agencies starting in 2013 is also expected to generate substantial savings in the medium term. Finally, the authorities are working on rationalizing expenditure in key sectors such as education and health (with World Bank assistance) and on more cost-effective support to the most vulnerable segments of the population. In this regard, energy subsidies will be substantially reduced next year and in the medium term.

**12. Improving the efficiency of the social safety nets is another important objective.**

Social safety nets remain very limited and as a result the authorities rely to a large extent on food and fuel price subsidies.<sup>1</sup> Staff recognized that these subsidies are easy to implement but they have the major drawback of being poorly targeted, which makes them very costly. Explicit subsidies to electricity consumption, as measured by the annual budgetary transfer to the power utility SENELEC to compensate for the tariff gap, are expected to amount to about CFAF 100 billion in 2012 (1.4 percent of GDP), as last year. Total losses in the electricity sector, which eventually have to be borne by the budget, may even exceed significantly this amount (Annex I). Electricity subsidies exceed public health spending and reduce the scope for priority expenditures. They tend to benefit richer households; the poor, particularly in rural areas, are indeed typically not connected to the electricity grid. For these reasons, the authorities intend to cap electricity subsidies at CFAF 80 billion in 2013, which will require substantial savings based on current projections (about CFAF 45 billion, or 0.6 percent of GDP). Part of the savings would come from efficiency gains at the power utility SENELEC, which will be restructured operationally and financially; there is indeed significant scope for such gains, given that power losses exceed 20 percent of supply. The envisaged savings would also require

MEFP ¶15, 27-28

<sup>1</sup> Another issue is the regional distribution of public expenditure affecting social outcomes, which is highly concentrated in the Dakar area.



reconsidering the tariff if oil prices remain high. In parallel, the authorities are working on broader and better-targeted social safety nets to be introduced in 2013.

**13. Better public financial management (PFM) will improve government efficiency and transparency.**

The authorities have almost completed the transposition into national law of the WAEMU directives on PFM and are now working on their implementation. A comprehensive audit of agencies is ongoing, and its conclusions will be used to design a restructuring plan in 2013. An audit of the civil service is also ongoing, which will help the authorities control the government payroll. To improve expenditure efficiency, the authorities will start using cost-benefit analysis for larger investment projects included in the 2014 budget, based on the the project evaluation guide they expect to have by end-2012. The completion of the single treasury account, expected by early 2013, will facilitate cash management. Finally, the authorities intend to improve transparency in land operations.

MEFP ¶20–25

**14. Strengthened debt management will also contribute to reducing vulnerabilities.**

Progress was made last year in building capacity with the creation of a public debt directorate combining the two units that had previously managed domestic debt and external debt separately. The new directorate prepared the authorities' first medium-term debt strategy, which recommends extending the maturity of the debt issued on the regional market—which has a very short average maturity—to reduce rollover risks, as well as continued priority to concessional financing to keep borrowing costs low. Occasional recourse to nonconcessional borrowing would be considered when needed.

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## **B. Moving to Higher, Sustainable, and Inclusive Growth**

**15. Further poverty reduction requires sustained high growth.** Developments in the past two decades suggest that poverty reduction is highly sensitive to growth in Senegal (Annex II). Substantial poverty reduction was achieved when growth was robust (1995–2005). Conversely, lower growth in the recent period has not allowed for significant poverty reduction or increase in living standards. A growth accounting exercise suggests that growth is mostly explained by factor accumulation. Total factor productivity (TFP) has actually declined since 2006 (Annex III).

**16. Growth is hampered by a range of obstacles,** as clearly shown in the authorities' new poverty reduction strategy. Among them infrastructure gaps (energy and transportation); access to land and financing and protection of property rights; and inefficiencies in government operations. This includes a range of issues, such as a complex and distortive tax system; the quality of public expenditure; anti-competitive regulations and practices; and lack of transparency. Finally, some sectors with large growth potential (e.g., agriculture, tourism) have performed poorly in recent years.

**17. The authorities and staff agreed that improving transport and energy infrastructure was critical for growth prospects.**

Some of the related challenges are being addressed through a number of large projects, such as the new international airport, which is expected to be completed by 2014, and the toll highway (whose section to Diamniadio is expected to be completed by the summer of 2013). They will help deal with the excessive concentration of economic activity in the Dakar area.

MEFP ¶26–28, 32

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A comprehensive reform of the power sector is also critical. With a lack of proper maintenance and delays in making investments, the supply of electricity has become insufficient, unreliable, and costly. This situation culminated in a major power crisis in 2010–11. An emergency plan (“Takkaal”) was put in place in 2011, which has allowed a significant reduction of power outages but at a very high cost. Large investments to restore power supply and increase generation capacity with more cost-effective technologies would help lower the cost of doing business, especially in manufacturing.<sup>2</sup> From this perspective, the strategy on new investments and restructuring SENELEC, the power utility, needs to be finalized and implemented as soon as possible.

**18. Addressing infrastructure gaps will raise challenges.** Based on a general equilibrium model developed by staff, the authorities and the mission discussed the possible impact of different public investment and financing paths on growth and debt sustainability. The results confirm that increased public investment would have a positive impact on growth, but also that the mode of financing matters a lot. Relying exclusively on fiscal adjustment to finance higher public investment looks unrealistic, while relying on nonconcessional borrowing could lead to permanently higher debt ratios and debt sustainability problems. The best option from a growth and debt sustainability perspective is therefore to rely on concessional resources. The model also illustrates the importance of improving the public investment management process to improve investment efficiency (Annex IV and Box 1). Raising TFP through reforms actually seems as high a priority as scaling up public investment at the current juncture.

**19. There is significant scope for further improvement in the business climate.** Despite the progress made in a number of areas (e.g., creation of a one-stop shop for business registration, easing of administration procedures for exports and imports), Senegal still ranks poorly in the 2013 *Doing Business* survey (166th out of 183 countries). Reform efforts are especially needed in the areas where Senegal is still lagging well behind comparator countries, such as paying taxes, registering properties, protecting investors, enforcing contracts and dealing with construction permits. A more effective provision of business-friendly public services would contribute to private sector development too.

**20. An ambitious reform of the tax and customs system will be a big step in the right direction.** A new tax code will enter into force in 2013. The reform aims at establishing a simpler, equitable and efficient tax system. A new customs code will also be implemented in the course of 2013. This, together with ongoing reforms to improve tax and customs administration, should go a long way towards reducing tax distortions and facilitating the payment of taxes and importation by businesses.

MEFP ¶17-19

<sup>2</sup> The cost of electricity in Senegal is indeed among the highest in sub-Saharan Africa.

### Box 1. Impact of Risks on Medium-Term Growth

**An alternative scenario explores risks related to insufficient improvement in public expenditure efficiency.** Not all investment spending leads to effective capital accumulation. In the model-based simulations described in Appendix V, it is assumed that one dollar in public investment spending increases the capital stock by 70 cents on average, a relatively high ratio by LIC standards. To explore the risk that public investment may not deliver expected growth because of capacity and/or governance problems, an alternative scenario was developed which assumes a much lower ratio (25 cents to the dollar). This assumption is based on the public investment management index, for which Senegal scores 0.94 out of 4. This would reduce long-term annual growth by about one percentage point, i.e., it would correspond to no TFP increase in the growth accounting framework. Such an outcome would make fiscal consolidation more challenging.

|                                        | Act. | Projections |      |      |      |      |      |  |
|----------------------------------------|------|-------------|------|------|------|------|------|--|
| Scenario                               | 2011 | 2012        | 2013 | 2014 | 2015 | 2016 | 2017 |  |
| Real GDP growth (percent)              |      |             |      |      |      |      |      |  |
| PSI baseline                           | 2.6  | 3.7         | 4.3  | 4.8  | 5.0  | 5.1  | 5.2  |  |
| Lower investment efficiency in 2013-17 | 2.6  | 3.7         | 4.2  | 4.2  | 4.1  | 4.1  | 4.1  |  |
| Fiscal deficit (percent of GDP)        |      |             |      |      |      |      |      |  |
| PSI baseline                           | -6.7 | -5.9        | -4.9 | -4.3 | -3.9 | -3.7 | -3.5 |  |
| Lower investment efficiency in 2013-17 | -6.7 | -5.9        | -5.5 | -4.9 | -4.5 | -4.3 | -4.1 |  |

**Additional downside risks to growth are related to external factors.** Exogenous shocks could affect Senegal significantly, with trade, remittances, FDI, the terms of trade, and aid being the main channels of transmission.

- Under a protracted lower global growth scenario (an annual average 1.6 percentage points below the baseline in 2014-16, a 30 percent drop in oil prices after three years and 20 percent lower nonfuel commodity prices), Senegal's growth in 2015 would be lower by about ½ percentage point.
- Under a sharp downturn in global growth scenario (2 percentage points lower growth in 2013), Senegal's growth would be lower in 2013 by about 1 percentage point.

**21. Staff underscored that with an external environment less supportive than before the global financial crisis, domestic engines of growth will be needed too.** The focus of the new development strategy (below) on inclusiveness is welcome and will be critical from this perspective, to ensure that growth dividends are widely shared. Growth relying on capital-intensive natural resource projects is unlikely to create a lot of jobs and benefit the rest of the economy, unless these activities are adequately taxed. Conversely, growth relying on higher farm productivity and broader rural job opportunities is likely to generate additional demand and to lead to faster poverty reduction. Financial sector development should also be an important element of an inclusive growth strategy (below).

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### **22. The authorities' new poverty reduction strategy addresses many of these points.**

The National Strategy of Economic and Social Development (NSED) was finalized in November 2012, after extensive consultations with stakeholders.<sup>3</sup> It builds on the experience with previous strategies and articulates policies and reforms around three strategic pillars: (i) boosting economic growth, productivity, and wealth creation; (ii) promoting human capital, social protection and sustainable development; and (iii) strengthening governance, institutions, peace and security. It underscores the importance of achieving development objectives within a stable macroeconomic environment. The NSED includes three macroeconomic scenarios and their costing, which provide a framework for resources mobilization and expenditures prioritization. Preliminary IMF and World Bank staff analysis suggests that the NSED provides a good diagnostic of issues to be addressed and constitutes a good framework for poverty reduction in Senegal. Staffs recommend the development of more detailed programs in certain sectors, based where possible on existing strategies, to translate the NSED into specific action plans. Given the level of financing needs (and the projected financing gaps under the various scenarios), staffs recommend that a particular attention be given to the realism, sequencing, cost and financing of programs, including opportunities for private sector participation. Staffs support the authorities' plan to link priority actions with the budgetary process and emphasize the need to strengthen budgetary planning through development of a medium-term expenditure framework.

## **C. Strengthening the Financial Sector and External Stability**

**23. The financial system in Senegal is dominated by the banking sector.**<sup>4</sup> It is composed of 19 commercial banks operating mostly in the three largest cities and representing about 90 percent of the financial system. The banking sector is relatively concentrated, with foreign banks accounting for a large part of the shareholder base. The five largest banks account for 66 percent of assets and collect 79 percent of deposits. A large number of microfinance institutions (MFIs) supply limited financial services targeting lower income households. While they cover both urban and rural regions, about half of the sector's activity is concentrated in greater Dakar. More people have accounts at MFIs than at banks; this helps raise overall access to the financial system to about 20 percent of the population. Insurance companies (25) account for most of the remainder of the domestic financial system. The regional securities and equity market is a marginal source of funding, except for the government. The interbank market remains underdeveloped.

**24. The banking system appears to be relatively robust, with concentration of lending and quality of assets being the main risks.** Stress-tests conducted in recent months by the

<sup>3</sup> The English translation will be circulated to the Executive Board, together with the related JSAN, as soon as possible. They will be discussed by the Board at the time of the next review.

<sup>4</sup> An overview of Senegal's financial system and issues was produced in the context of the pilot on strengthening financial sector surveillance in LICs. More detailed analysis can be found in Supplement 2. Since many financial sector policies rest with the regional authorities, the pilot will be completed with the next annual discussion with the WAEMU authorities, scheduled for early 2013.

authorities and Fund staff found that liquidity risks and interest rate risks could be withstood, given that banks are highly liquid and the maturity mismatch between assets and liabilities is rather small. Only the concentration of lending was found to be a major source of vulnerability, as loans are extended to a few sectors and companies, and banks' exposure to the public sector is large. These findings are corroborated by the usual financial soundness indicators, which suggest that Senegalese banks are on average well capitalized, profitable, and liquid, with asset quality being the main concern.<sup>5</sup>

**25. Financial depth has increased in recent years.** The ratio of broad money to GDP increased from 36 percent in 2006 to 40 percent in 2011. Credit to the economy is currently almost 30 percent of GDP, higher than in most WAEMU countries; it has increased strongly in recent years but remains largely short-term and directed toward trade and food and fuel imports. A benchmarking exercise suggested that Senegal's financial system's development and performance were broadly in line with the country's structural characteristics. However, a comparison with selected countries (Côte d'Ivoire, Kenya, and Morocco) suggested substantial scope for further deepening. Kenya in particular has overtaken Senegal on a number of indicators over the past five years.

**26. The still relatively shallow financial system constrains macroeconomic policies, as well as growth and poverty reduction.** Constraints on fiscal policy include, among others, rollover risks, higher fiscal costs, and narrower scope for counter-cyclical policy. Shallowness also limits firms and households' access to financial services, making it difficult to deal with volatility and hampering private investment. Finally, financing long-term public investment, which is crucial to build adequate infrastructure, is difficult.

**27. Micro-prudential regulation of banks could be enhanced and supervision strengthened.** Some prudential ratios and rules are not in line with international best practices. Banks' compliance with prudential rules will also need to improve. Some prudential ratios are indeed missed by a large number of banks. Low compliance may point to the need to reconsider certain ratios, but also suggests a need to strengthen bank supervision. New challenges, such as the need to monitor the rapid development of banking groups in Senegal and more generally the region, also call for strengthened supervision. These issues will need to be addressed at the regional level.

**28. Staff also suggested that the authorities develop a holistic view of the financial system and systemic risk.** At present, no single entity within Senegal has a comprehensive view of the entire financial system, the interconnection of its various components, and where the potential pockets of systemic risk may lie. Such a function should be developed in Senegal as

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<sup>5</sup> Only one bank was undercapitalized at the time of the mission, but because of small size and limited interconnectedness, it does not raise a systemic risk, and it is being restructured. The ratio of gross nonperforming loans (NPLs) to total loans is relatively high. The ratio reflects to a large extent the portfolios of three banks with NPLs in excess of 20 percent, while most other banks have NPLs below 5 percent. In addition, the relatively high level of provisioning for NPLs mitigates risks.

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systemic risk is likely to rise in the coming years, with increasing interconnectedness and diversification of the financial system.

**29. There was a broad agreement between the authorities and staff on the main obstacles to further financial development.** Many of these obstacles which have been well identified in the past few years are commonly found in low-income countries. They include:

- **Informational asymmetries.** Lack of information on borrowers, due to the limited size of the formal sector, the limited availability of audited company statements and the absence of credit bureaus (and limited use of existing databases at the central bank), increases adverse selection and moral hazard issues, and ultimately leads to credit rationing. Information asymmetries are also an issue for the development of the interbank market.
- **Business and judicial environment.** A key issue is the absence of formalized property rights in large parts of the country, which increases the difficulty of using land as collateral in lending. Moreover, the judicial process tends to be costly and slow.
- **Tax regime.** Taxes and fees on banking and stock exchange operations are relatively high, raising the cost of financial services.
- **Regulatory and supervision issues.** Some regulatory ratios are perceived as excessively constraining and curbing the development of medium and long-term credit. Also, some ratios are not observed by a number of banks, which may affect the credibility of the regulatory and supervisory framework. Another issue is whether the prudential framework is sufficiently responsive to new needs that are likely to emerge first at the national level, but will eventually need to be regulated at the regional level.
- **Skills.** The lack of appropriate skills may explain why in recent years some MFIs that moved from dealing with micro-enterprises to dealing with SMEs saw their profitability decrease. Banks may face similar challenges moving from larger enterprises to SMEs. The lack of an ingrained financial culture is also often blamed for the very limited recourse to the stock exchange.

**30. The authorities have a strategy to address a number of these issues, whose implementation they intend to accelerate.** The national consultation on credit took place in 2010 and led to an action plan with specific measures to improve access to credit for both households and firms (particularly SMEs). These measures are grouped in broad categories covering among others: facilitating the use of guarantees; SME debt and equity financing and general support to SMEs; availability of information; cost of credit; financial intermediation and the judicial environment. Progress was made in some areas, such as registering land titles and information provision. Actions to improve the efficiency of the judicial process, such as the training of judges in economic affairs, are however behind schedule, and so are measures aiming at streamlining and improving public support in favor of SMEs. Staff is of the view that this action plan remains largely relevant and that its implementation should be accelerated. A number of identified obstacles will however need to be addressed at the regional level. The regional authorities are working on the development of the interbank market and the strengthening of the public debt market, which they see as priorities. They also intend to review

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certain prudential rules. These issues will be discussed in more detail during the next regional consultation in early 2013.

**31. An external stability assessment suggests that external sector risks are manageable** (Annex V). Senegal has recorded continuous current account deficits for nearly two decades. Low savings relative to large investment needs imply continued deficits over the medium term, which could become difficult to finance if aid was to decline. Although export performance has been sluggish, inward FDI has picked up somewhat, and remittances have become an important source of foreign exchange. The real exchange rate is broadly in line with economic fundamentals and reserves are adequate. To reduce external vulnerabilities, Senegal needs to implement prudent fiscal and borrowing policies, increase non-price competitiveness, and reduce further external vulnerabilities.

## PROGRAM ISSUES

**32. The program is on track.** The end-June 2012 fiscal deficit target was met by a substantial margin, reflecting expenditure restraint on goods and services and lower domestically financed capital spending. All structural benchmarks were met, although some with delays reflecting the time needed to build broad support for sensitive measures (electricity subsidies and tax reform; Text Table 1). Preliminary data for end-September suggest that all indicative and structural targets have been met, with the exception of the ceiling on budgetary float, which was missed by a small margin (0.01 percent of GDP) because of continued weaknesses in expenditure controls (Appendix I, MEFP, Table 1).

**Text Table 1. Structural Measures: Fourth PSI Review**

| Measures                                                   | Implementation Date | Status                           | Macroeconomic Significance           |
|------------------------------------------------------------|---------------------|----------------------------------|--------------------------------------|
| Adopt an action plan on subsidies to electricity consumers | August 31, 2012     | Done with delay (October 2012)   | Reform the energy sector             |
| Prepare a medium-term debt strategy                        | September 30, 2012  | Done                             | Improve debt management              |
| Finalize the new tax code and submit it to parliament      | September 30, 2012  | Done with delay in November 2012 | Improve efficiency of the tax system |

**33. A number of changes are proposed in program monitoring.** The end-2012 fiscal deficit assessment criterion would be revised downward to 5.9 percent of GDP and new fiscal targets for end-June 2013 and end-2013 are proposed. The structural benchmark on preparing a plan for restructuring agencies would be rescheduled from end-2012 to end-July 2013 to reflect procurement delays. The program would also include new structural benchmarks in the area of debt management, tax and customs

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reform, public investment appraisal, and transparency (Text Table 2). The authorities are planning to use the remaining space for nonconcessional borrowing (US\$200 million), and it is proposed to broaden the scope of investment expenditures which could be financed this way to road infrastructure (not only the highway), and urban water and sanitation. Use of such financing would close the financing gap in 2013.

**Text Table 2. Structural Measures: Fifth and Sixth PSI Reviews**

| Measures                                                                                         | MEFP § | Implementation Date          | Benchmark for Review | Macroeconomic Significance                                   |
|--------------------------------------------------------------------------------------------------|--------|------------------------------|----------------------|--------------------------------------------------------------|
| Prepare a project evaluation guide                                                               | 24     | December 31, 2012            | 5 <sup>th</sup>      | Improve investment planning                                  |
| Publish information on land transaction of the government (new)                                  | 23     | January 31, 2013             | 5 <sup>th</sup>      | Reinforce transparency of public finances                    |
| Finalize the single treasury account                                                             | 25     | February 28, 2013            | 5 <sup>th</sup>      | Strengthen public financial management                       |
| Prepare a plan for restructuring agencies and similar entities                                   | 22     | Rescheduled to July 31, 2013 | 6 <sup>th</sup>      | Strengthen public financial management                       |
| Transmission to parliament of the new Customs Code (new)                                         | 19     | June 30, 2013                | 6 <sup>th</sup>      | Enhance government revenue and private sector development    |
| Implement electronic declaration in tax payments by large enterprises (new)                      | 18     | June 30, 2013                | 6 <sup>th</sup>      | Improve efficiency of public policy and the business climate |
| Use cost-benefit analysis for projects of over CFAF 10 billion included in the 2014 budget (new) | 24     | July 31, 2013                | 6 <sup>th</sup>      | Improve efficiency of government expenditure                 |
| Start using the new payroll management software (new)                                            | 14     | August 31, 2013              | 6 <sup>th</sup>      | Strengthen public financial management                       |



## STAFF APPRAISAL

**34. Despite a challenging external environment, a moderate growth pick up is expected in 2012 and 2013.** A rebound in agriculture after last year's drought would boost real GDP growth to 3.7 percent in 2012. Growth would slightly increase in 2013 to 4.3 percent mostly owing to the completion of a number of large infrastructure and mining projects. Inflation would remain moderate.

**35. The authorities' determination to keep the fiscal deficit under control in 2012 and to reduce it in 2013 is welcome.** Fiscal deficits and debt ratios have increased in recent years, reducing room for fiscal maneuver and raising sustainability issues. Restoring fiscal space and keeping low the risk of debt distress require reducing deficits. The authorities' objective of keeping the fiscal deficit below 6 percent of GDP in 2012 and below 5 percent of GDP in 2013 is adequately ambitious. Debt sustainability considerations call for further reduction of the fiscal deficit and strengthening of debt management in the medium term.

**36. Reducing the fiscal deficit while addressing the country's social and development needs will require improving public spending efficiency.** Beyond reducing the cost of running the government and a further streamlining of agencies, a rationalization of expenditure and more cost-effective support to the most vulnerable segments of the population will be needed. In this regard, staff welcomes the authorities' intention to phase out costly and poorly targeted food and fuel price subsidies and to broaden and improve social safety nets. Streamlining efforts will have to be sustained over several years to deliver lasting results and to make space for critical new programs. This will require strong political leadership to overcome vested interests, as well as good administrative capacity.

**37. The main medium-term challenge for Senegal is to move to higher, sustainable, and inclusive growth.** Growth has been sluggish in recent years, with adverse implications for poverty reduction. Growth is not hampered by one single major obstacle, but rather by a range of issues. The government has an important role to play in raising the growth potential, for instance through the provision of critical infrastructure and reforms to improve the business environment. In this regard, staff urges the authorities to finalize and implement as soon as possible their strategy on new energy investments and restructuring SENELEC. The focus of the new development strategy on inclusiveness is welcome and will be critical to ensure that growth dividends are widely shared, jobs are created in large numbers, and domestic demand is robust. Financial sector development should also be an important element of an inclusive growth strategy, and staff urges the authorities to accelerate the implementation of their strategy in this area.

**38. The economy will remain exposed to substantial risks.** The main domestic ones would be delays in reforming the energy sector and difficulties reforming the state, which would affect growth and fiscal sustainability. External risks mostly reflect the current uncertainty about world

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economic prospects. External vulnerabilities are manageable but could be reduced by implementing prudent fiscal and borrowing policies and increasing non-price competitiveness.

**39. Staff recommends completion of the fourth PSI review.** The program is on track and the authorities' policies for the coming period are fully consistent with the objectives of the program. It is proposed that the next Article IV consultation take place on the standard 24-month cycle for program countries.

## Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board:

1. Pursuant to paragraph 8 of Decision No. 13561-(05/85), 10/05/05, as amended, and paragraph 1(b) of the Policy Support Instrument ("PSI") for Senegal (EBS/10/208, 11/15/10), the Fund has conducted a review to assess program implementation.
2. The letter dated November 22, 2012 from the Minister of Economy and Finance (the "November 2012 Letter"), together with its attached Memorandum of Economic and Financial Policies (the "November 2012 MEFP") and the Technical Memorandum of Understanding (the "November 2012 TMU"), shall be attached to the PSI for Senegal, and the letters from the Minister of State and the Minister of Economy and Finance dated November 10, 2010, May 19, 2011, December 2, 2011 and June 22, 2012, together with their attachments, shall be read as supplemented and modified by the November 2012 Letter and its attachments.
3. Accordingly, the PSI for Senegal shall be modified as follows:

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- a. Paragraph 1(b) shall be amended to read as follows: "(b) the fourth, fifth and sixth reviews are scheduled to be conducted by December 31, 2012, June 30, 2013 and December 31, 2013, respectively, as specified in paragraph 40 of the November 2012 MEFP."
- b. In paragraph 2.A(1) of the PSI for Senegal, "June 2012 MEFP" shall be replaced with "November 2012 MEFP" and "June 2012 TMU" shall be replaced with "November 2012 TMU".
- c. In paragraphs 2.F of the PSI for Senegal, "Table 2 of the June 2012 MEFP" shall be replaced with "Table 2 of the November 2012 MEFP" and "June 2012 TMU" shall be replaced with "November 2012 TMU".
- d. A new paragraph 2.G shall be inserted to read as follows: "G. With respect to the sixth review: the data as of June 30, 2013 indicate that any of the floors and ceilings referred to in paragraph 2.C(i) and (ii) above, as specified in Table 2 of the November 2012 MEFP and further specified in the November 2012 TMU, was not observed."
4. The Fund completes the fourth review specified in paragraph 1(b) of the PSI for Senegal, on the condition that the information provided by Senegal on its performance under the assessment criteria related to this review is accurate.

Table 1. Senegal: Selected Economic and Financial Indicators, 2011–17

|                                                                                   | 2011  | 2012          | 2013  | 2014  | 2015  | 2016  | 2017  |
|-----------------------------------------------------------------------------------|-------|---------------|-------|-------|-------|-------|-------|
|                                                                                   |       | EBS/<br>12/85 | Proj. |       | Proj. |       |       |
| (Annual percentage change)                                                        |       |               |       |       |       |       |       |
| National income and prices                                                        |       |               |       |       |       |       |       |
| GDP at constant prices                                                            | 2.6   | 3.9           | 3.7   | 4.3   | 4.8   | 5.0   | 5.2   |
| Of which: nonagriculture GDP                                                      | 4.8   | 3.2           | 2.9   | 4.0   | 4.8   | 5.1   | 5.3   |
| GDP deflator                                                                      | 4.3   | 2.2           | 2.2   | 2.4   | 2.4   | 2.5   | 2.5   |
| Consumer prices                                                                   |       |               |       |       |       |       |       |
| Annual average                                                                    | 3.4   | 2.5           | 1.5   | 1.6   | 1.8   | 1.8   | 1.8   |
| End of period                                                                     | 2.7   | 2.2           | 1.6   | 1.8   | 1.8   | 1.8   | 1.8   |
| External sector                                                                   |       |               |       |       |       |       |       |
| Exports, f.o.b. (CFA francs)                                                      | 7.1   | 3.2           | 4.4   | 6.9   | 3.6   | 5.4   | 8.4   |
| Imports, f.o.b. (CFA francs)                                                      | 8.9   | 9.0           | 9.5   | 4.2   | 3.4   | 3.3   | 6.1   |
| Export volume                                                                     | -2.7  | 0.4           | -1.0  | 4.4   | 4.9   | 5.5   | 6.1   |
| Import volume                                                                     | 4.3   | 4.7           | 3.4   | 3.2   | 4.2   | 4.4   | 4.5   |
| Terms of trade ("–" = deterioration)                                              | 5.6   | -0.4          | -0.4  | 1.7   | -0.7  | 0.7   | 0.6   |
| Nominal effective exchange rate                                                   | 1.4   | ...           | ...   | ...   | ...   | ...   | ...   |
| Real effective exchange rate                                                      | 1.1   | ...           | ...   | ...   | ...   | ...   | ...   |
| (Changes in percent of beginning-of-year broad money, unless otherwise indicated) |       |               |       |       |       |       |       |
| Broad money                                                                       | 6.7   | 7.5           | 6.0   | 7.4   |       |       |       |
| Net domestic assets                                                               | 9.0   | 7.6           | 10.4  | 7.4   | ...   | ...   | ...   |
| Domestic credit                                                                   | 10.2  | 7.0           | 9.5   | 7.0   | ...   | ...   | ...   |
| Credit to the government (net)                                                    | -2.0  | 1.7           | 1.8   | 1.3   | ...   | ...   | ...   |
| Credit to the economy (percentage growth)                                         | 18.8  | 5.6           | 10.6  | 7.6   | ...   | ...   | ...   |
| (Percent of GDP, unless otherwise indicated)                                      |       |               |       |       |       |       |       |
| Government financial operations                                                   |       |               |       |       |       |       |       |
| Revenue                                                                           | 20.2  | 20.7          | 20.9  | 20.8  | 20.9  | 20.9  | 20.6  |
| Grants                                                                            | 2.2   | 2.7           | 2.9   | 2.7   | 2.7   | 2.7   | 2.6   |
| Total expenditure and net lending                                                 | 29.0  | 29.8          | 29.7  | 28.4  | 27.9  | 27.5  | 26.9  |
| Overall fiscal surplus (+) or deficit (–)                                         |       |               |       |       |       |       |       |
| Payment order basis, excluding grants                                             | -8.9  | -9.1          | -8.8  | -7.6  | -7.0  | -6.6  | -6.3  |
| Payment order basis, including grants                                             | -6.7  | -6.4          | -5.9  | -4.9  | -4.3  | -3.9  | -3.7  |
| Primary fiscal balance <sup>1</sup>                                               | -5.2  | -4.9          | -4.3  | -3.1  | -2.7  | -2.4  | -2.1  |
| Gross domestic investment                                                         | 28.7  | 30.8          | 30.3  | 30.1  | 30.2  | 30.5  | 30.5  |
| Government                                                                        | 10.5  | 12.6          | 12.1  | 11.8  | 11.8  | 11.9  | 11.7  |
| Nongovernment                                                                     | 18.2  | 18.2          | 18.2  | 18.3  | 18.4  | 18.6  | 18.7  |
| Gross domestic savings                                                            | 12.5  | 12.8          | 12.8  | 13.5  | 14.3  | 15.5  | 16.4  |
| Government                                                                        | 5.4   | 7.7           | 7.9   | 8.8   | 9.1   | 9.5   | 9.6   |
| Nongovernment                                                                     | 7.1   | 5.1           | 4.9   | 4.7   | 5.3   | 5.9   | 6.7   |
| Gross national savings                                                            | 22.6  | 22.5          | 22.7  | 23.0  | 23.5  | 24.2  | 24.5  |
| External current account balance                                                  |       |               |       |       |       |       |       |
| Including current official transfers                                              | -6.1  | -8.3          | -7.6  | -7.1  | -6.7  | -6.3  | -5.9  |
| Excluding current official transfers                                              | -6.8  | -8.9          | -8.4  | -7.8  | -7.4  | -7.0  | -6.5  |
| Total public debt                                                                 | 40.0  | 44.9          | 45.0  | 46.8  | 48.1  | 48.7  | 49.0  |
| Central government domestic debt                                                  | 11.3  | 12.2          | 12.3  | 12.2  | 12.7  | 12.9  | 13.0  |
| External public debt                                                              | 28.8  | 32.6          | 32.7  | 34.6  | 35.4  | 35.8  | 36.1  |
| External public debt service                                                      |       |               |       |       |       |       |       |
| Percent of exports                                                                | 14.0  | 7.4           | 7.3   | 7.6   | 6.8   | 7.4   | 7.2   |
| Percent of government revenue                                                     | 17.2  | 8.7           | 8.4   | 8.7   | 7.5   | 8.1   | 8.0   |
| Gross domestic product (CFAF billions)                                            | 6,818 | 7,243         | 7,225 | 7,718 | 8,286 | 8,921 | 9,600 |

Sources: Senegalese authorities; and IMF staff estimates and projections.

<sup>1</sup> Total revenue and grants minus total expenditure and net lending, excluding interest expenditure.

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Table 2. Senegal: Balance of Payments, 2011–17

|                                                              | 2011   | 2012          |        | 2013   | 2014   | 2015   | 2016   | 2017   |
|--------------------------------------------------------------|--------|---------------|--------|--------|--------|--------|--------|--------|
|                                                              |        | EBS/<br>12/85 | Proj.  |        |        | Proj.  |        |        |
| (CFAF billions, unless otherwise indicated)                  |        |               |        |        |        |        |        |        |
| Current account                                              | -415   | -601          | -546   | -551   | -556   | -564   | -567   | -585   |
| Balance on goods                                             | -1,055 | -1,241        | -1,215 | -1,232 | -1,272 | -1,286 | -1,331 | -1,391 |
| Exports, f.o.b.                                              | 1,148  | 1,218         | 1,199  | 1,282  | 1,327  | 1,399  | 1,517  | 1,656  |
| Imports, f.o.b.                                              | -2,203 | -2,459        | -2,414 | -2,514 | -2,599 | -2,685 | -2,847 | -3,047 |
| Services and incomes (net)                                   | -134   | -138          | -126   | -122   | -110   | -123   | -100   | -79    |
| Credits                                                      | 660    | 663           | 663    | 684    | 714    | 766    | 833    | 881    |
| Debits                                                       | -794   | -800          | -788   | -807   | -824   | -889   | -933   | -959   |
| Of which: interest on public debt                            | -62    | -57           | -56    | -64    | -68    | -64    | -80    | -87    |
| Unrequited current transfers (net)                           | 774    | 778           | 795    | 803    | 825    | 845    | 864    | 885    |
| Private (net)                                                | 750    | 761           | 761    | 783    | 800    | 818    | 836    | 854    |
| Public (net)                                                 | 24     | 18            | 34     | 20     | 25     | 27     | 29     | 31     |
| Of which: budgetary grants                                   | 37     | 32            | 48     | 39     | 42     | 45     | 48     | 51     |
| Capital and financial account                                | 345    | 582           | 409    | 533    | 561    | 594    | 608    | 635    |
| Capital account                                              | 119    | 183           | 218    | 172    | 282    | 238    | 207    | 218    |
| Private capital transfers                                    | 6      | 5             | 5      | 5      | 4      | 3      | 2      | 1      |
| Project grants                                               | 113    | 164           | 164    | 169    | 181    | 195    | 206    | 218    |
| Debt cancellation and other transfers <sup>1</sup>           | 0      | 14            | 49     | -1     | 96     | 40     | -1     | -1     |
| Financial account                                            | 226    | 399           | 191    | 361    | 280    | 355    | 401    | 417    |
| Direct investment                                            | 133    | 184           | 136    | 88     | 91     | 93     | 94     | 94     |
| Portfolio investment                                         | 210    | 119           | 119    | 57     | 220    | 138    | 141    | 144    |
| Other investment                                             | -117   | 95            | -64    | 215    | -31    | 124    | 166    | 179    |
| Public sector (net)                                          | 224    | 283           | 255    | 293    | 239    | 251    | 264    | 281    |
| Of which: disbursements                                      | 399    | 372           | 344    | 384    | 310    | 326    | 337    | 355    |
| program loans                                                | 40     | 107           | 118    | 37     | 40     | 43     | 46     | 50     |
| project loans                                                | 135    | 221           | 221    | 217    | 228    | 238    | 243    | 253    |
| other                                                        | 224    | 44            | 6      | 130    | 41     | 45     | 48     | 52     |
| amortization                                                 | -175   | -89           | -89    | -91    | -71    | -76    | -76    | -79    |
| Private sector (net)                                         | -349   | -188          | -320   | -78    | -270   | -127   | -98    | -102   |
| Errors and omissions                                         | 9      | 0             | 0      | 0      | 0      | 0      | 0      | 0      |
| Overall balance                                              | -70    | -19           | -137   | -18    | 5      | 30     | 41     | 50     |
| Financing                                                    | 70     | 19            | 137    | 18     | -5     | -30    | -41    | -50    |
| Net foreign assets (BCEAO)                                   | 8      | 0             | 0      | 0      | -23    | -48    | -60    | -69    |
| Net use of IMF resources                                     | -2     | 3             | -3     | -3     | -9     | -19    | -21    | -20    |
| Purchases/disbursements                                      | 0      | 0             | 0      | 0      | 0      | 0      | 0      | 0      |
| Repurchases/repayments                                       | -2     | 3             | -3     | -3     | -9     | -19    | -21    | -20    |
| Other                                                        | 10     | -3            | 3      | 3      | -14    | -29    | -39    | -49    |
| Deposit money banks                                          | 49     | 1             | 119    | 0      | 0      | 0      | 0      | 0      |
| Exceptional financing (debt relief)                          | 13     | 18            | 18     | 18     | 18     | 19     | 19     | 19     |
| Residual financing gap                                       | 0      | 0             | 0      | 0      | 0      | 0      | 0      | 0      |
| <b>Memorandum items:</b>                                     |        |               |        |        |        |        |        |        |
| Current account balance                                      |        |               |        |        |        |        |        |        |
| Including current official transfers (percent of GDP)        | -6.1   | -8.3          | -7.6   | -7.1   | -6.7   | -6.3   | -5.9   | -5.7   |
| Excluding current official transfers (percent of GDP)        | -6.8   | -8.9          | -8.4   | -7.8   | -7.4   | -7.0   | -6.5   | -6.3   |
| Gross official reserves (imputed reserves, billions of US\$) | 2.0    | 1.9           | 1.9    | 1.9    | 1.9    | 2.0    | 2.1    | 2.2    |
| (percent of broad money)                                     | 36.7   | 34.2          | 34.7   | 32.3   | 30.6   | 29.6   | 29.0   | 28.3   |
| WAEMU gross official reserves (billions of US\$)             | 15.0   | ...           | ...    | ...    | ...    | ...    | ...    | ...    |
| (percent of broad money)                                     | 56.2   | ...           | ...    | ...    | ...    | ...    | ...    | ...    |
| (months of WAEMU imports of GNFS)                            | 6.2    | ...           | ...    | ...    | ...    | ...    | ...    | ...    |
| Gross domestic product                                       | 6,818  | 7,243         | 7,225  | 7,718  | 8,286  | 8,921  | 9,600  | 10,351 |

Sources: Central Bank of West African States (BCEAO); and IMF staff estimates and projections.

<sup>1</sup> Includes Millennium Challenge Account (MCA) grants in 2011–15.

Table 3. Senegal: Government and FSE Financial Operations, 2011–17

|                                                                  | 2011  | 2012          |       | 2013          |       | 2014  | 2015  | 2016  | 2017   |
|------------------------------------------------------------------|-------|---------------|-------|---------------|-------|-------|-------|-------|--------|
|                                                                  |       | EBS/<br>12/85 | Proj. | EBS/<br>12/85 | Proj. |       | Proj. |       |        |
| (Billions of CFA francs, unless otherwise indicated)             |       |               |       |               |       |       |       |       |        |
| Total revenue and grants                                         | 1,526 | 1,692         | 1,723 | 1,812         | 1,813 | 1,953 | 2,102 | 2,233 | 2,410  |
| Revenue                                                          | 1,376 | 1,497         | 1,511 | 1,608         | 1,605 | 1,730 | 1,862 | 1,979 | 2,142  |
| Tax revenue                                                      | 1,287 | 1,411         | 1,421 | 1,495         | 1,492 | 1,612 | 1,737 | 1,882 | 2,038  |
| Income tax                                                       | 346   | 379           | 379   | 384           | 382   | 418   | 458   | 497   | 539    |
| Taxes on goods and services                                      | 729   | 830           | 817   | 835           | 835   | 906   | 986   | 1,069 | 1,157  |
| Taxes on petroleum products                                      | 212   | 202           | 225   | 277           | 276   | 288   | 292   | 316   | 342    |
| Nontax revenue                                                   | 50    | 50            | 50    | 78            | 77    | 83    | 90    | 96    | 104    |
| FSE <sup>1</sup>                                                 | 39    | 35            | 40    | 35            | 35    | 35    | 35    | 0     | 0      |
| Grants                                                           | 150   | 196           | 212   | 204           | 208   | 223   | 240   | 254   | 268    |
| Budgetary                                                        | 37    | 32            | 48    | 34            | 39    | 42    | 45    | 48    | 51     |
| Budgeted development projects                                    | 113   | 164           | 164   | 170           | 169   | 181   | 195   | 206   | 218    |
| Total expenditure and net lending <sup>1</sup>                   | 1,980 | 2,155         | 2,149 | 2,179         | 2,190 | 2,308 | 2,450 | 2,586 | 2,767  |
| Current expenditure                                              | 1,233 | 1,250         | 1,282 | 1,274         | 1,278 | 1,334 | 1,388 | 1,462 | 1,565  |
| Wages and salaries <sup>2</sup>                                  | 428   | 450           | 454   | 467           | 467   | 497   | 535   | 576   | 621    |
| Interest due                                                     | 104   | 110           | 122   | 125           | 146   | 132   | 136   | 154   | 167    |
| Of which : external                                              | 62    | 57            | 56    | 64            | 64    | 68    | 64    | 80    | 87     |
| Other current expenditure                                        | 702   | 690           | 706   | 672           | 665   | 705   | 717   | 733   | 776    |
| Transfers and subsidies                                          | 335   | 312           | 328   | 291           | 291   | 290   | 252   | 258   | 284    |
| Of which : SAR and butane subsidy                                | 15    | 4             | 4     | 0             | 0     | 0     | 0     | 0     | 0      |
| Of which: SENELEC/energy                                         | 124   | 105           | 99    | 80            | 80    | 65    | 10    | 0     | 0      |
| Of which: Food subsidies                                         | 0     | 8             | 8     | 0             | 0     | 0     | 0     | 0     | 0      |
| Goods and services                                               | 356   | 366           | 366   | 379           | 363   | 403   | 453   | 463   | 480    |
| HIPC and MDRI current spending                                   | 11    | 12            | 12    | 12            | 12    | 12    | 12    | 12    | 13     |
| Capital expenditure <sup>3</sup>                                 | 718   | 913           | 875   | 906           | 912   | 974   | 1,063 | 1,124 | 1,203  |
| Domestically and nonconcessionally financed                      | 475   | 504           | 504   | 507           | 515   | 578   | 644   | 691   | 749    |
| HIPC and MDRI-financed                                           | 46    | 48            | 48    | 47            | 47    | 49    | 51    | 52    | 54     |
| Non-HIPC/MDRI financed                                           | 429   | 456           | 456   | 460           | 468   | 529   | 593   | 639   | 695    |
| Externally (concessionally) financed                             | 244   | 409           | 370   | 398           | 397   | 396   | 419   | 433   | 453    |
| Net lending                                                      | 28    | -8            | -8    | 0             | 0     | 0     | 0     | 0     | 0      |
| Of which : On-lending                                            | 36    | 12            | 12    | 13            | 13    | 14    | 15    | 16    | 17     |
| Selected public sector entities balance <sup>4</sup>             | 0     | 0             | 0     | 0             | 0     | 0     | 0     | 0     | 0      |
| Primary fiscal balance                                           | -356  | -357          | -307  | -247          | -236  | -227  | -216  | -203  | -193   |
| Overall fiscal balance (excluding grants)                        | -605  | -658          | -637  | -571          | -585  | -578  | -589  | -607  | -626   |
| Overall fiscal balance (including grants)                        | -455  | -463          | -425  | -367          | -377  | -355  | -348  | -353  | -357   |
| Financing                                                        | 455   | 463           | 425   | 367           | 377   | 355   | 348   | 353   | 357    |
| External financing                                               | 422   | 389           | 362   | 400           | 328   | 437   | 365   | 377   | 391    |
| Drawings                                                         | 175   | 328           | 339   | 282           | 254   | 268   | 281   | 289   | 303    |
| Program loans                                                    | 40    | 107           | 118   | 41            | 37    | 40    | 43    | 46    | 50     |
| Project loans                                                    | 135   | 221           | 221   | 242           | 217   | 228   | 238   | 243   | 253    |
| Nonconcessional loans                                            | 224   | 44            | 6     | 100           | 130   | 41    | 45    | 48    | 52     |
| Amortization due                                                 | -175  | -89           | -89   | -91           | -91   | -71   | -76   | -76   | -79    |
| T-bills and bonds issued in WAEMU (net)                          | 184   | 89            | 89    | 91            | 17    | 180   | 97    | 97    | 96     |
| Debt relief and HIPC Initiative assistance                       | 13    | 18            | 18    | 18            | 18    | 18    | 19    | 19    | 19     |
| Domestic financing                                               | 12    | 100           | 90    | -33           | 48    | -82   | -17   | -24   | -34    |
| Banking system <sup>5</sup>                                      | 12    | 50            | 50    | -33           | 38    | -82   | -17   | -24   | -34    |
| Of which : T-bills and bonds (net)                               | 64    | 37            | 38    | -19           | 52    | -62   | 15    | 9     | -6     |
| Nonbank financing                                                | 0     | 50            | 40    | 0             | 10    | 0     | 0     | 0     | 0      |
| Settlement of payment delays                                     | 21    | -26           | -26   | 0             | 0     | 0     | 0     | 0     | 0      |
| Errors and omissions                                             | 0     | 0             | 0     | 0             | 0     | 0     | 0     | 0     | 0      |
| Financing gap                                                    | 0     | 0             | 0     | 0             | 0     | 0     | 0     | 0     | 0      |
| <i>Memorandum items:</i>                                         |       |               |       |               |       |       |       |       |        |
| Budgetary float (program definition)                             | 50    | 50            | 50    | 50            | 50    | 50    | 50    | 50    | 50     |
| New issues of government securities                              | 417   | 518           | 518   | 540           | 538   | ...   | ...   | ...   | ...    |
| Priority expenditure (percent of total expenditure) <sup>6</sup> | 35    | 35            | 35    | 35            | 35    | ...   | ...   | ...   | ...    |
| Gross domestic product                                           | 6,818 | 7,243         | 7,225 | 7,779         | 7,718 | 8,286 | 8,921 | 9,600 | 10,351 |

Sources: Senegalese authorities; and IMF staff estimates and projections.

<sup>1</sup> Starting in 2011, the data covers the FSE operations.

<sup>2</sup> Excludes project-related wages and salaries included in capital spending and the salaries of autonomous agencies and health and education contractual workers included in transfers and subsidies.

<sup>3</sup> In 2012 includes drought-related expenditure.

<sup>4</sup> Local governments, autonomous public sector entities (e.g., hospitals, universities), and the civil servants pension fund (FNR).

<sup>5</sup> Includes the 10-year CFAF loan from the BCEAO in 2009 equal to the general SDR allocation.

<sup>6</sup> Expenditure on health, education, environment, the judiciary, social safety nets, sanitation, and rural water supply.

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Table 4. Senegal: Government and FSE Financial Operations, 2011–17

|                                                      | 2011                                         | 2012          |       | 2013          |       | 2014 | 2015 | 2016  | 2017 |
|------------------------------------------------------|----------------------------------------------|---------------|-------|---------------|-------|------|------|-------|------|
|                                                      |                                              | EBS/<br>12/85 | Proj. | EBS/1<br>2/85 | Proj. |      |      | Proj. |      |
|                                                      | (Percent of GDP)                             |               |       |               |       |      |      |       |      |
| Total revenue and grants                             | 22.4                                         | 23.4          | 23.9  | 23.3          | 23.5  | 23.6 | 23.6 | 23.3  | 23.3 |
| Revenue                                              | 20.2                                         | 20.7          | 20.9  | 20.7          | 20.8  | 20.9 | 20.9 | 20.6  | 20.7 |
| Tax revenue                                          | 18.9                                         | 19.5          | 19.7  | 19.2          | 19.3  | 19.5 | 19.5 | 19.6  | 19.7 |
| Income tax                                           | 5.1                                          | 5.2           | 5.2   | 4.9           | 4.9   | 5.0  | 5.1  | 5.2   | 5.2  |
| Taxes on goods and services                          | 10.7                                         | 11.5          | 11.3  | 10.7          | 10.8  | 10.9 | 11.1 | 11.1  | 11.2 |
| Taxes on petroleum products                          | 3.1                                          | 2.8           | 3.1   | 3.6           | 3.6   | 3.5  | 3.3  | 3.3   | 3.3  |
| Nontax revenue                                       | 0.7                                          | 0.7           | 0.7   | 1.0           | 1.0   | 1.0  | 1.0  | 1.0   | 1.0  |
| FSE                                                  | 0.6                                          | 0.5           | 0.6   | 0.5           | 0.5   | 0.4  | 0.4  | 0.0   | 0.0  |
| Grants                                               | 2.2                                          | 2.7           | 2.9   | 2.6           | 2.7   | 2.7  | 2.7  | 2.6   | 2.6  |
| Total expenditure and net lending <sup>1</sup>       | 29.0                                         | 29.8          | 29.7  | 28.0          | 28.4  | 27.9 | 27.5 | 26.9  | 26.7 |
| Current expenditure                                  | 18.1                                         | 17.3          | 17.7  | 16.4          | 16.6  | 16.1 | 15.6 | 15.2  | 15.1 |
| Wages and salaries                                   | 6.3                                          | 6.2           | 6.3   | 6.0           | 6.1   | 6.0  | 6.0  | 6.0   | 6.0  |
| Interest payments                                    | 1.5                                          | 1.5           | 1.7   | 1.6           | 1.9   | 1.6  | 1.5  | 1.6   | 1.6  |
| Other current expenditure                            | 10.3                                         | 9.5           | 9.8   | 8.8           | 8.6   | 8.5  | 8.0  | 7.6   | 7.5  |
| Of which: goods and services                         | 5.2                                          | 5.1           | 5.1   | 4.9           | 4.7   | 4.9  | 5.1  | 4.8   | 4.6  |
| Of which: transfers and subsidies                    | 4.9                                          | 4.3           | 4.5   | 3.7           | 3.8   | 3.5  | 2.8  | 2.7   | 2.7  |
| Of which: energy and food subsidies                  | 2.0                                          | 1.6           | 1.5   | 1.0           | 1.0   | 0.8  | 0.1  | 0.0   | 0.0  |
| HIPC and MDRI current spending                       | 0.2                                          | 0.2           | 0.2   | 0.2           | 0.2   | 0.1  | 0.1  | 0.1   | 0.1  |
| Capital expenditure <sup>2</sup>                     | 10.5                                         | 12.6          | 12.1  | 11.6          | 11.8  | 11.8 | 11.9 | 11.7  | 11.6 |
| Domestically and nonconcessionally financed          | 7.0                                          | 7.0           | 7.0   | 6.5           | 6.7   | 7.0  | 7.2  | 7.2   | 7.2  |
| Externally (concessionally) financed                 | 3.6                                          | 5.6           | 5.1   | 5.1           | 5.1   | 4.8  | 4.7  | 4.5   | 4.4  |
| Net lending                                          | 0.4                                          | -0.1          | -0.1  | 0.0           | 0.0   | 0.0  | 0.0  | 0.0   | 0.0  |
| Selected public sector entities balance <sup>3</sup> | 0.0                                          | 0.0           | 0.0   | 0.0           | 0.0   | 0.0  | 0.0  | 0.0   | 0.0  |
| Primary fiscal balance                               | -5.2                                         | -4.9          | -4.3  | -3.2          | -3.1  | -2.7 | -2.4 | -2.1  | -1.9 |
| Overall fiscal balance                               |                                              |               |       |               |       |      |      |       |      |
| Payment order basis, excluding grants                | -8.9                                         | -9.1          | -8.8  | -7.3          | -7.6  | -7.0 | -6.6 | -6.3  | -6.0 |
| Payment order basis, including grants                | -6.7                                         | -6.4          | -5.9  | -4.7          | -4.9  | -4.3 | -3.9 | -3.7  | -3.5 |
| Financing                                            | 6.7                                          | 6.4           | 5.9   | 4.7           | 4.9   | 4.3  | 3.9  | 3.7   | 3.5  |
| External financing                                   | 6.2                                          | 5.4           | 5.0   | 5.1           | 4.3   | 5.3  | 4.1  | 3.9   | 3.8  |
| Domestic financing                                   | 0.2                                          | 1.4           | 1.2   | -0.4          | 0.6   | -1.0 | -0.2 | -0.2  | -0.3 |
| Settlement of payment delays                         | 0.3                                          | -0.4          | -0.4  | 0.0           | 0.0   | 0.0  | 0.0  | 0.0   | 0.0  |
| Errors and omissions                                 | 0.0                                          | 0.0           | 0.0   | 0.0           | 0.0   | 0.0  | 0.0  | 0.0   | 0.0  |
| <i>Memorandum items:</i>                             | (Percent of GDP, unless otherwise indicated) |               |       |               |       |      |      |       |      |
| Priority expenditure <sup>4</sup>                    | 9.0                                          | 10.2          | 10.4  | 10.2          | 10.4  | ...  | ...  | ...   | ...  |
| Wages and salaries (percent of revenue)              | 31.1                                         | 30.1          | 30.0  | 29.0          | 29.1  | 28.7 | 28.8 | 29.1  | 29.0 |

Sources: Senegalese authorities; and IMF staff estimates and projections.

<sup>1</sup> Starting in 2011, the data covers also the FSE operations.

<sup>2</sup> In 2012 includes drought-related expenditure.

<sup>3</sup> Local governments, autonomous public sector entities (e.g., hospitals, universities), and the civil servants pension fund (FNR).

<sup>4</sup> Expenditure on health, education, environment, the judiciary, social safety nets, sanitation, and rural water supply.



Table 5. Senegal: Monetary Survey, 2010-13

|                                                                | 2010                                                            | 2011  | 2012          | 2013  |       |
|----------------------------------------------------------------|-----------------------------------------------------------------|-------|---------------|-------|-------|
|                                                                |                                                                 |       | EBS/<br>12/85 | Proj. | Proj. |
|                                                                | (CFAF billions)                                                 |       |               |       |       |
| Net foreign assets                                             | 988                                                             | 931   | 930           | 812   | 812   |
| BCEAO                                                          | 735                                                             | 726   | 726           | 726   | 726   |
| Commercial banks                                               | 253                                                             | 204   | 203           | 85    | 85    |
| Net domestic assets                                            | 1,552                                                           | 1,781 | 1,987         | 2,062 | 2,273 |
| Net domestic credit                                            | 1,847                                                           | 2,106 | 2,297         | 2,364 | 2,566 |
| Net credit to the government                                   | 200                                                             | 150   | 200           | 200   | 239   |
| Central bank                                                   | 202                                                             | 103   | 105           | 105   | 91    |
| Commercial banks                                               | 0                                                               | 46    | 93            | 93    | 145   |
| Other institutions                                             | -2                                                              | 2     | 2             | 2     | 2     |
| Credit to the economy                                          | 1,647                                                           | 1,956 | 2,097         | 2,164 | 2,327 |
| Other items (net)                                              | -295                                                            | -326  | -310          | -302  | -293  |
| Broad money                                                    | 2,540                                                           | 2,711 | 2,917         | 2,874 | 3,085 |
| Currency outside banks                                         | 561                                                             | 588   | 582           | 580   | 587   |
| Total deposits                                                 | 1,979                                                           | 2,123 | 2,335         | 2,293 | 2,498 |
| Demand deposits                                                | 988                                                             | 1,061 | 1,166         | 1,145 | 1,247 |
| Time deposits                                                  | 991                                                             | 1,063 | 1,170         | 1,149 | 1,251 |
|                                                                | (Change in percentage of beginning-of-period broad money stock) |       |               |       |       |
| Net foreign assets                                             | 5.8                                                             | -2.3  | 0.0           | -4.4  | 0.0   |
| BCEAO                                                          | 0.4                                                             | -0.3  | 0.0           | 0.0   | 0.0   |
| Commercial banks                                               | 5.4                                                             | -1.9  | 0.0           | -4.4  | 0.0   |
| Net domestic assets                                            | 8.3                                                             | 9.0   | 7.6           | 10.4  | 7.4   |
| Net credit to the government                                   | 4.0                                                             | -2.0  | 1.7           | 1.8   | 1.3   |
| Credit to the economy                                          | 7.0                                                             | 12.2  | 5.3           | 7.7   | 5.7   |
| Other items (net)                                              | -2.6                                                            | -1.2  | 0.6           | 0.9   | 0.3   |
| Broad money                                                    | 14.1                                                            | 6.7   | 7.5           | 6.0   | 7.4   |
| Memorandum items:                                              | (Units indicated)                                               |       |               |       |       |
| Velocity (GDP/broad money; end of period)                      | 2.5                                                             | 2.5   | 2.5           | 2.5   | 2.5   |
| Nominal GDP growth (percentage growth)                         | 5.6                                                             | 7.1   | 6.2           | 6.0   | 6.8   |
| Credit to the economy (percentage growth)                      | 10.4                                                            | 18.8  | 7.4           | 10.6  | 7.6   |
| Credit to the economy/GDP (percent)                            | 25.9                                                            | 28.7  | 28.9          | 30.0  | 30.2  |
| Variation of net credit to the government (yoy; CFAF billions) | 88.5                                                            | -49.7 | 45.3          | 49.7  | 238.6 |
| Central bank refinance rate (eop; percent)                     | 4.25                                                            | 4.25  | ...           | ...   | ...   |

Sources: Senegalese authorities; and IMF staff estimates and projections.

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Table 6. Financial Soundness Indicators for the Banking Sector, 2006–12

(Percent, unless otherwise indicated)

|                                                        | 2006  | 2007 | 2008  | 2009 | 2010 | 2011 | 2012<br>March | 2012<br>June |
|--------------------------------------------------------|-------|------|-------|------|------|------|---------------|--------------|
| Capital adequacy                                       |       |      |       |      |      |      |               |              |
| Capital to risk-weighted assets                        | 12.9  | 13.5 | 13.8  | 16.3 | 18.0 | 16.0 | 16.7          | 16.9         |
| Regulatory capital to risk-weighted assets             | 13.1  | 13.6 | 13.9  | 16.5 | 18.2 | 15.9 | 16.3          | 16.5         |
| Capital to total assets                                | 8.3   | 8.3  | 9.1   | 9.3  | 10.0 | 9.8  | 12.1          | 12.0         |
| Asset composition and quality                          |       |      |       |      |      |      |               |              |
| Total loans to total assets                            | 63.8  | 58.8 | 62.8  | 59.5 | 57.5 | 60.6 | 73.3          | 73.7         |
| Concentration: loans to 5 largest borrowers to capital | 103.7 | 88.5 | 100.9 | 71.7 | 70.6 | 69.8 | 58.6          | 58.1         |
| Sectoral distribution of loans                         |       |      |       |      |      |      |               |              |
| Industrial                                             | 28.9  | 25.1 | 19.5  | 27.5 | 26.4 | 22.2 | 21.0          | 21.5         |
| Retail and wholesale trade                             | 18.9  | 14.4 | 18.5  | 24.5 | 23.8 | 19.2 | 19.5          | 19.1         |
| Services, transportation, and communication            | 30.0  | 29.6 | 31.1  | 34.1 | 41.9 | 34.0 | 34.3          | 34.4         |
| Gross NPLs to total loans                              | 16.8  | 18.6 | 17.4  | 18.7 | 20.2 | 16.2 | 14.8          | 17.5         |
| Of which: without ICS <sup>1/</sup>                    | ...   | 12.7 | 14.2  | 15.8 | 15.8 | 13.2 | 12.5          | 15.7         |
| Provisions to NPLs                                     | 52.0  | 53.8 | 51.5  | 53.1 | 54.9 | 54.0 | 43.0          | 55.4         |
| Of which: without ICS                                  | ...   | 74.6 | 65.7  | 64.7 | 65.3 | 68.3 | 52.4          | 62.8         |
| NPLs net of provisions to total loans                  | 8.8   | 8.6  | 9.3   | 9.7  | 9.1  | 8.1  | 8.4           | 7.8          |
| Of which: without ICS                                  | ...   | 3.6  | 5.4   | 6.2  | 6.1  | 4.6  | 5.9           | 5.9          |
| NPLs net of provisions to capital                      | 67.9  | 60.7 | 63.9  | 62.3 | 52.3 | 50.4 | 45.7          | 43.4         |
| Of which: without ICS                                  | ...   | 23.8 | 35.3  | 38.4 | 41.5 | 35.7 | 45.7          | 43.3         |
| Earnings and profitability                             |       |      |       |      |      |      |               |              |
| Average cost of borrowed funds                         | 2.2   | 2.3  | 2.8   | 3.4  | 2.2  | 2.0  | ...           | ...          |
| Average interest rate on loans                         | 11.3  | 11.6 | 13.9  | 15.4 | 8.1  | 8.4  | ...           | ...          |
| Average interest margin                                | 9.2   | 9.3  | 11.1  | 12.0 | 13.2 | 14.4 | ...           | ...          |
| After-tax return on average assets                     | 1.6   | 1.6  | 1.4   | 1.3  | 1.6  | 2.2  | ...           | ...          |
| After-tax return on average equity                     | 14.6  | 15.3 | 13.0  | 16.0 | 15.4 | 22.6 | ...           | ...          |
| Noninterest expenses/net banking income                | 49.4  | 50.7 | 51.3  | 60.3 | 56.7 | 56.0 | ...           | ...          |
| Salaries and wages/net banking income                  | 21.7  | 22.2 | 21.1  | 23.0 | 24.8 | 23.8 | ...           | ...          |
| Liquidity                                              |       |      |       |      |      |      |               |              |
| Liquid assets to total assets                          | ...   | ...  | ...   | 74.9 | ...  | 74.9 | ...           | ...          |
| Liquid assets to total deposits                        | ...   | ...  | ...   | ...  | ...  | ...  | ...           | ...          |
| Liquid assets to total assets                          | ...   | ...  | ...   | 31.7 | 39.8 | 36.1 | 37.5          | 37.7         |
| Liquid assets to total deposits                        | ...   | ...  | ...   | 49.8 | 52.4 | 76.7 | 52.1          | 53.3         |
| Total deposits to total liabilities                    | 75.8  | 73.6 | 70.3  | 74.9 | 76.0 | 62.8 | 81.1          | 81.0         |

Source: BCEAO.

<sup>1/</sup> Industries Chimiques du Senegal.

Table 7. Quantitative Assessment Criteria and Indicative Targets for 2011–12<sup>1</sup>

(CFAF billions, unless otherwise specified)

|                                                                                                                                   | December 31, 2011 |      |         | March 31, 2012 |      |        | June 30, 2012 |      |      |        | September 30, 2012 |       |         | Dec. 31, 2012 |
|-----------------------------------------------------------------------------------------------------------------------------------|-------------------|------|---------|----------------|------|--------|---------------|------|------|--------|--------------------|-------|---------|---------------|
|                                                                                                                                   | Prog.             | Act. | Status  | Prog.          | Act. | Status | Prog.         | Adj. | Act. | Status | Prog.              | Prel. | Status  | Rev. prog.    |
| <b>Assessment criteria</b>                                                                                                        |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Floor on the overall fiscal balance <sup>2 3</sup>                                                                                | -427              | -455 | not met | -102           | -70  | met    | -213          | -181 | -102 | met    | 347                |       |         | -425          |
| Ceiling on the contracting or guaranteeing of new nonconcessional external debt by the government (in US\$ millions) <sup>4</sup> | 500               | 300  | met     | 500            | 300  | met    | 500           | ...  | 300  | met    | 500                |       |         | 500           |
| Ceiling on spending undertaken outside normal and simplified procedures <sup>4</sup>                                              | 0                 | 0    | met     | 0              | 0    | met    | 0             | ...  | 0    | met    | 0                  |       |         | 0             |
| Ceiling on government external payment arrears (stock) <sup>4</sup>                                                               | 0                 | 0    | met     | 0              | 0    | met    | 0             | ...  | 0    | met    | 0                  |       |         | 0             |
| Ceiling on the amount of the budgetary float                                                                                      | 50                | 50   | met     | 50             | 49   | met    | 50            | ...  | 40   | met    | 50                 | 51    | not met | 50            |
| Ceiling on nonconcessional debt with a minimum grant element of 15 percent <sup>4</sup>                                           | 44                | 0    | met     | 44             | 0    | met    | 44            | ...  | 0    | met    | 44                 |       |         | 44            |
| <b>Indicative targets</b>                                                                                                         |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Quarterly ceiling on the share of the value of public sector contracts signed by single tender (percent)                          | 20                | 16   | met     | 20             | 14   | met    | 20            | ...  | 11   | met    | 20                 |       |         | 20            |
| Floor on social expenditure (percent of total spending)                                                                           | 35                | 37   | met     | ...            | ...  | met    | 35            | ...  | 35   | met    | ...                |       |         | 35            |
| <b>Maximum upward adjustment of the overall deficit ceiling due to</b>                                                            |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Shortfall in program grants relative to program projections                                                                       | 15                | ...  | ...     | 15             | ...  | ...    | 15            | ...  | -6   | ...    | 15                 |       |         | 15            |
| Shortfall in concessional loans relative to program projections                                                                   | 50                | ...  | ...     | 50             | ...  | ...    | 50            | ...  | -11  | ...    | 50                 |       |         | 50            |
| Shortfall in energy sector and autoroute investment relative to program projections                                               | 50                | ...  | ...     | 50             | ...  | ...    | 50            | ...  | -27  | ...    | 50                 |       |         | 50            |
| <i>Memorandum items:</i>                                                                                                          |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Program grants                                                                                                                    | 37                | 37   | ...     | 9              | ...  | ...    | 19            | ...  | 13   | ...    | 28                 |       |         | 48            |
| Concessional loans                                                                                                                | 210               | 175  | ...     | 52             | ...  | ...    | 105           | ...  | 94   | ...    | 157                |       |         | 328           |
| Investment in the energy sector and the autoroute <sup>5</sup>                                                                    | 66                | 66   | ...     | 44             | ...  | ...    | 60            | ...  | 33   | ...    | 122                |       |         | 120           |

<sup>1</sup> Indicative targets for March and September 2012, except for the assessment criteria monitored on a continuous basis. See Technical Memorandum of Understanding for definitions.

Indicative targets shown in italics.

<sup>2</sup> Cumulative since the beginning of the year.

<sup>3</sup> The ceiling on the overall fiscal deficit will to be adjusted in line with the TMU definition.

<sup>4</sup> Monitored on a continuous basis.

<sup>5</sup> Investment in the autoroute plus investment under the plan Takkal financed from internal and external concessional resources.

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Table 8. Quantitative Assessment Criteria and Indicative Targets for 2012–13<sup>1</sup>

(CFAF billions, unless otherwise specified)

|                                                                                                                                   | December 31,<br>2012 | March 31,<br>2013 | June 30,<br>2013 | September 30,<br>2013 | December 31,<br>2013 |
|-----------------------------------------------------------------------------------------------------------------------------------|----------------------|-------------------|------------------|-----------------------|----------------------|
|                                                                                                                                   | Prog.                | Prog.             | Prog.            | Proj.                 | Proj.                |
| <b>Assessment criteria</b>                                                                                                        |                      |                   |                  |                       |                      |
| Floor on the overall fiscal balance <sup>2 3</sup>                                                                                | -425                 | -94               | -188             | -283                  | -377                 |
| Ceiling on the contracting or guaranteeing of new nonconcessional external debt by the government (in US\$ millions) <sup>4</sup> | 500                  | 500               | 500              | 500                   | 500                  |
| Ceiling on spending undertaken outside normal and simplified procedures <sup>4</sup>                                              | 0                    | 0                 | 0                | 0                     | 0                    |
| Ceiling on government external payment arrears (stock) <sup>4</sup>                                                               | 0                    | 0                 | 0                | 0                     | 0                    |
| Ceiling on the amount of the budgetary float                                                                                      | 50                   | 50                | 50               | 50                    | 50                   |
| Ceiling on nonconcessional debt with a minimum grant element of 15 percent <sup>4</sup>                                           | 44                   | 44                | 44               | 44                    | 44                   |
| <b>Indicative targets</b>                                                                                                         |                      |                   |                  |                       |                      |
| Quarterly ceiling on the share of the value of public sector contracts signed by single tender (percent)                          | 20                   | 20                | 20               | 20                    | 20                   |
| Floor on social expenditures (percent of total spending)                                                                          | 35                   | ...               | 35               | ...                   | 35                   |
| <b>Maximum upward adjustment of the overall deficit ceiling owing to</b>                                                          |                      |                   |                  |                       |                      |
| Shortfall in program grants relative to program projections                                                                       | 15                   | 15                | 15               | 15                    | 15                   |
| Excess in concessional loans relative to program projections                                                                      | 50                   | 50                | 50               | 50                    | 50                   |
| Excess in energy sector and autoroute investment relative to program projections                                                  | 50                   | 50                | 50               | 50                    | 50                   |
| <b>Memorandum items:</b>                                                                                                          |                      |                   |                  |                       |                      |
| Program grants                                                                                                                    | 48                   | 12                | 24               | 36                    | 39                   |
| Concessional loans                                                                                                                | 328                  | 82                | 164              | 246                   | 254                  |

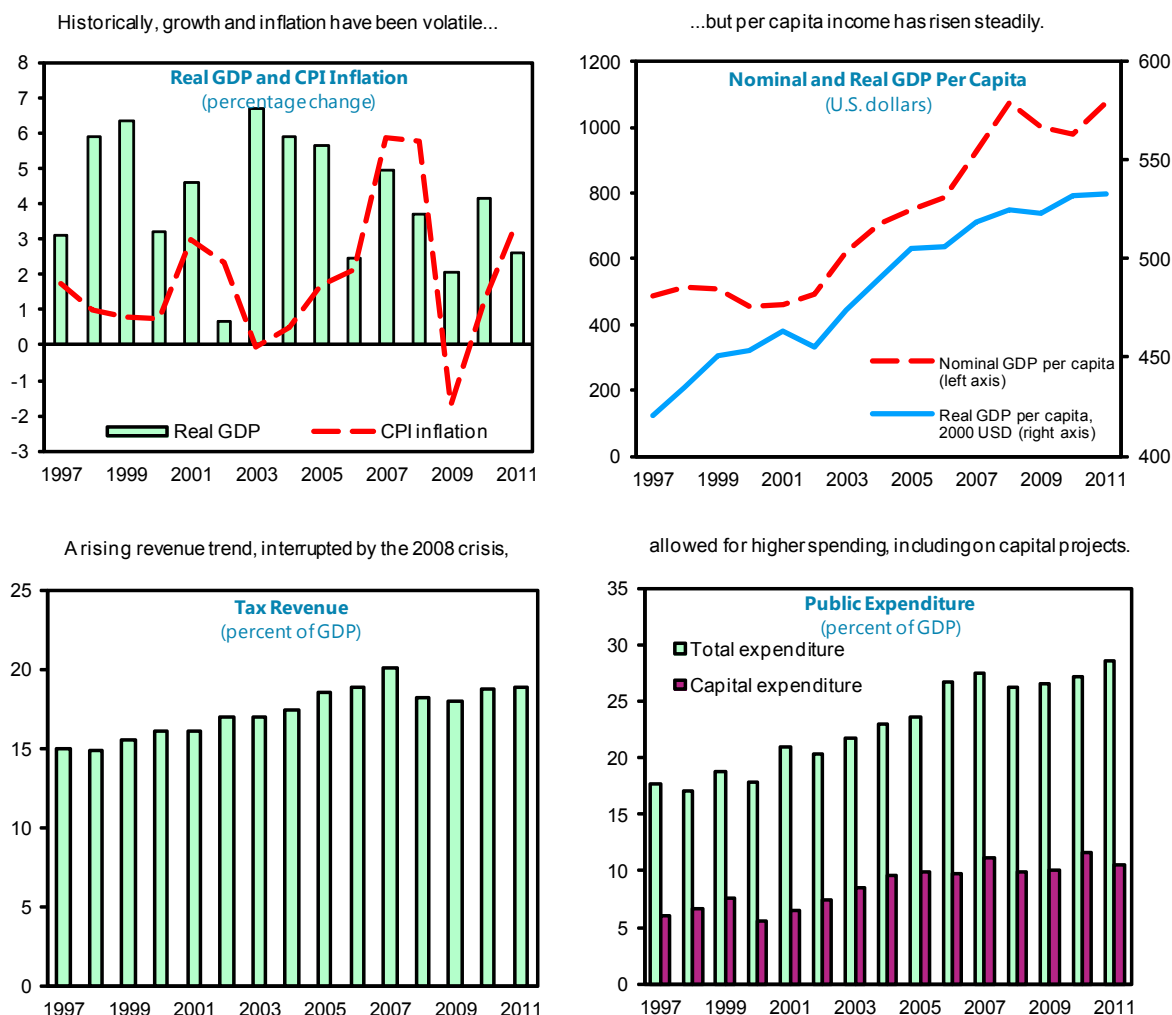
<sup>1</sup> Indicative targets for March and September, except for the assessment criteria monitored on a continuous basis. See Technical Memorandum of Understanding for definitions. Indicative targets shown in italics.

<sup>2</sup> Cumulative since the beginning of the year.

<sup>3</sup> The ceiling on the overall fiscal deficit will be adjusted in line with the TMU definition.

<sup>4</sup> Monitored on a continuous basis.

Figure 1. Senegal: Historical Perspective, 1997–2011



Sources: Senegalese authorities; World Bank; and IMF staff calculations and estimates.

Progress has been made toward the Millennium Development Goals.

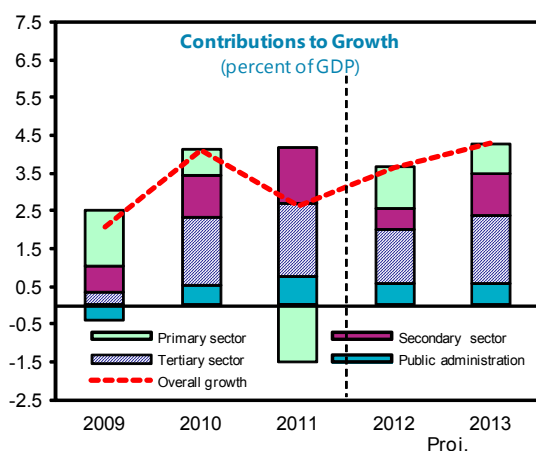
| Millennium Development Goal                                     | 1990 | 1995 | 2000 | 2005 | 2010 |
|-----------------------------------------------------------------|------|------|------|------|------|
| Poverty headcount ratio at \$1.25 a day (PPP) (% of population) | 66   | 54   | 44   | 34   | ..   |
| Literacy rate, youth female (% of females ages 15-24)           | 28   | ..   | 41   | 45   | 56   |
| Total enrollment, primary (% net)                               | 45   | 50   | 58   | 72   | 78   |
| Ratio of female to male primary enrollment (%)                  | 72   | 76   | 87   | 97   | 106  |
| Mortality rate, infant (per 1,000 live births)                  | 70   | 68   | 63   | 56   | 50   |
| Mortality rate, under-5 (per 1,000)                             | 139  | 134  | 119  | 95   | 75   |
| Births attended by skilled health staff (% of total)            | ..   | 47   | 60   | 52   | ..   |
| Prevalence of HIV, total (% of population ages 15-49)           | 0    | 0    | 1    | 1    | 1    |
| Improved water source (% of population with access)             | 61   | 63   | 65   | 68   | 72   |

Source: Millennium Development Goals Database, World Bank, 2012.

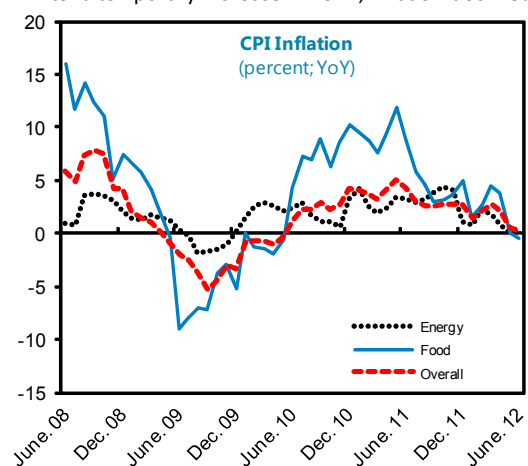
SENEGAL

Figure 2. Senegal: Recent Developments and Short-Term Projections, 2009–2013

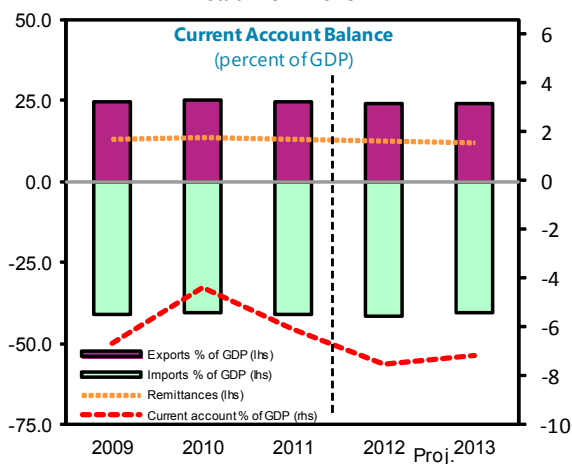
After some slowdown, growth is expected to rebound.



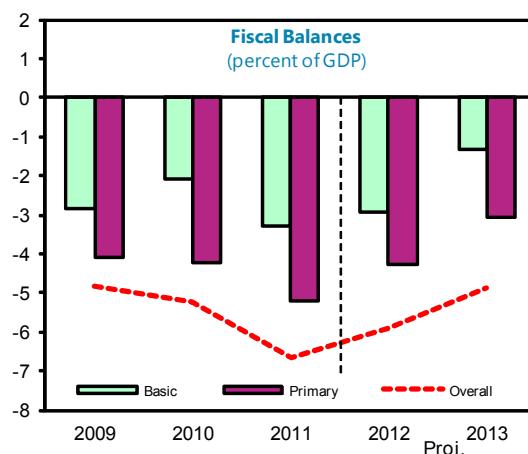
After a temporary increase in 2011, inflation declined.



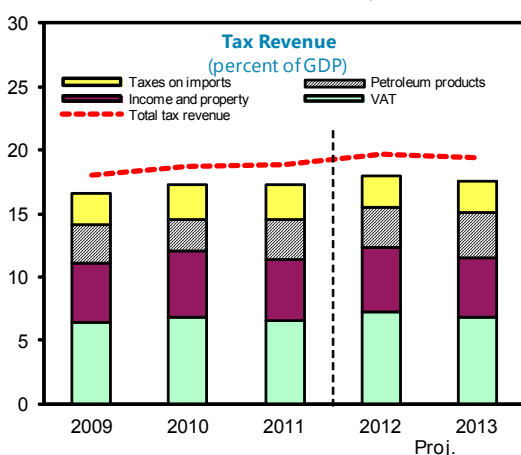
Despite high and resilient remittances, the current account deficit is projected to increase in 2012 and stabilize in 2013.



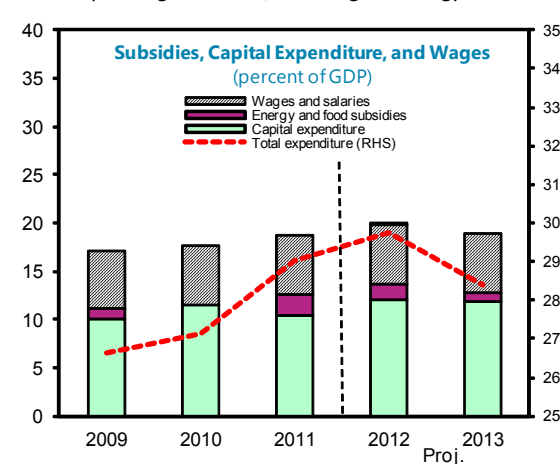
Fiscal policy helped cushion the impact of the economic slowdown, and deficits are projected to decline.



Tax collection remained relatively stable...



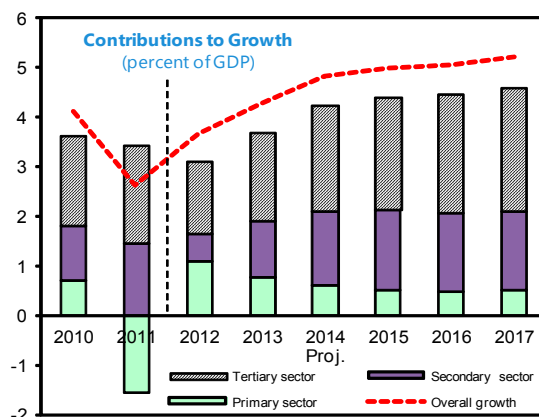
...but spending increased, including on energy subsidies.



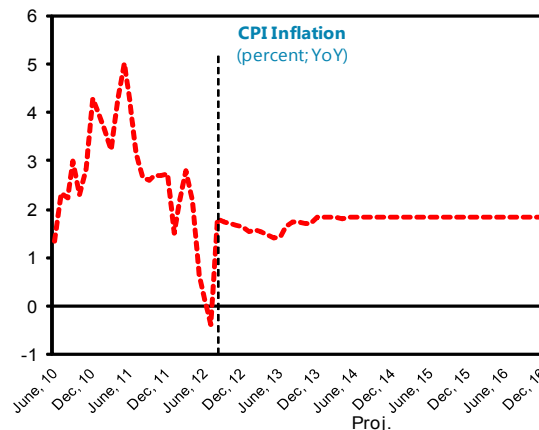
Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

Figure 3. Senegal: Medium-Term Outlook, 2010–2017

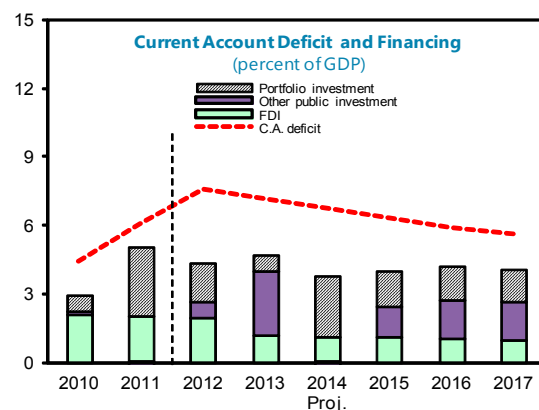
Output growth would be driven by services, the energy sector and construction related to investment projects.



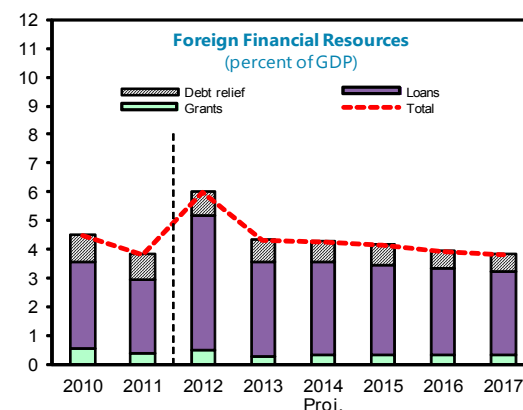
Inflation would return to historical trends.



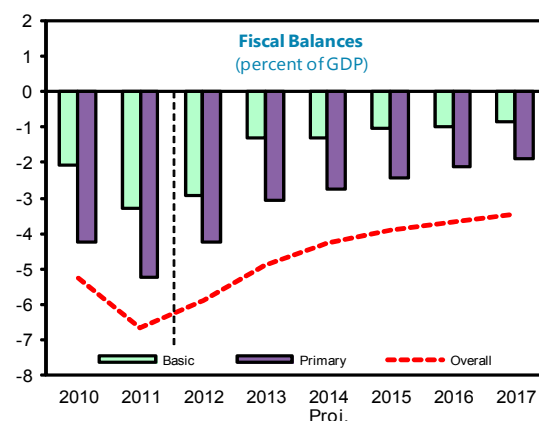
A decreasing current account deficit would be financed largely by public flows ...



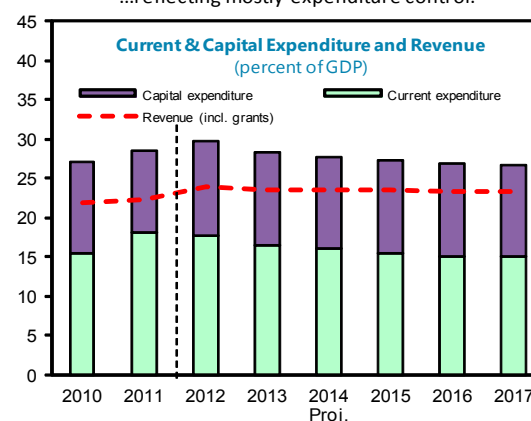
...while the economy would remain dependent on foreign financial resources.



The fiscal deficit would decline in the medium term...



...reflecting mostly expenditure control.



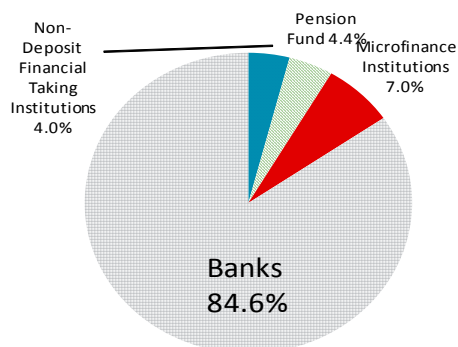
Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

SENEGAL

Figure 4. Senegal: Pilot on Financial Sector Surveillance

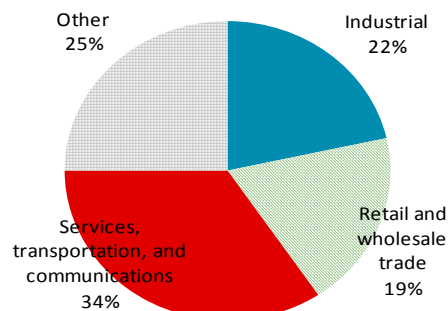
Senegal's financial system is largely bank-based...

Financial System Structure

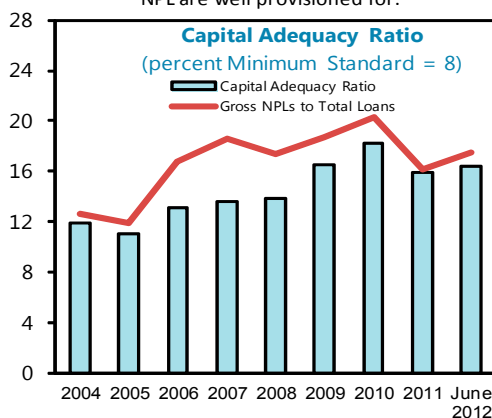


and lending benefits mainly the services sector.

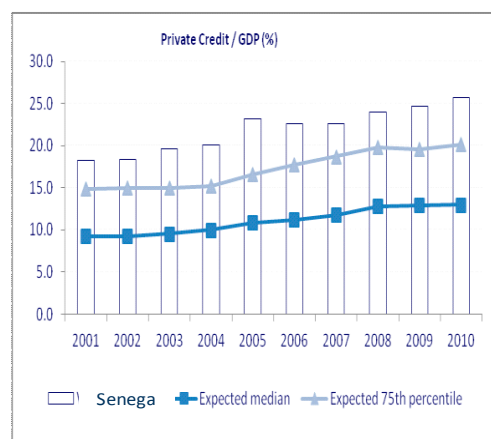
Sectoral Loan Distribution, June



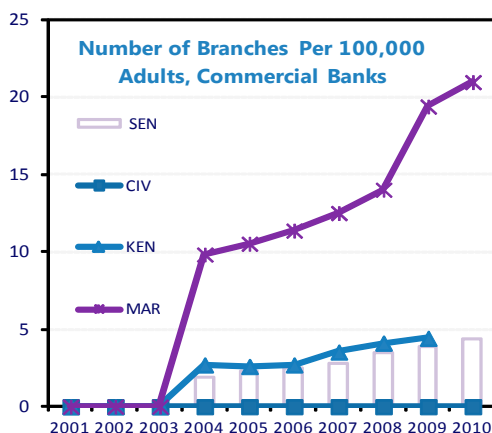
The banking sector is overall sound and NPL are well provisioned for.



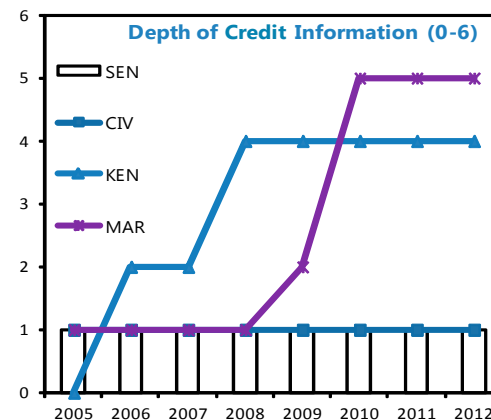
Financial deepening is increasing and is broadly in line with Senegal's level of development.



Benchmarking to peers suggests that there is scope for further deepening,



improving information on credit would help.

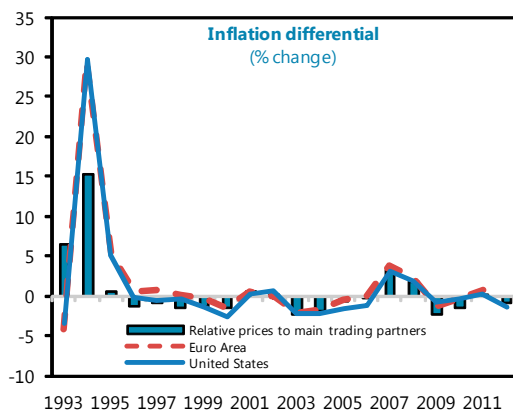


Sources: BCEAO; Senegalese authorities; and IMF staff estimates.

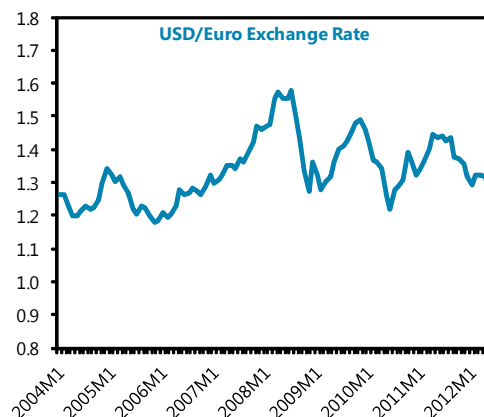


Figure 5. Senegal Exchange Rate and Competitiveness

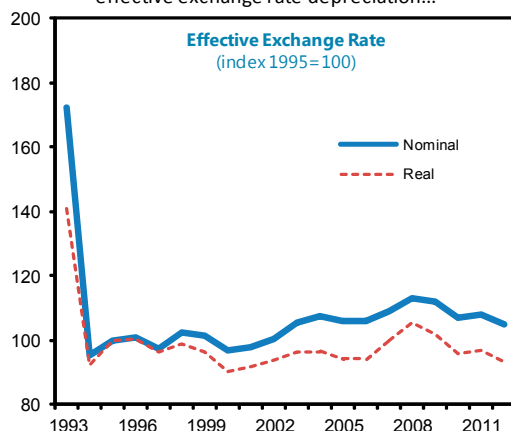
While Senegal's inflation remained on average close to trading partners...



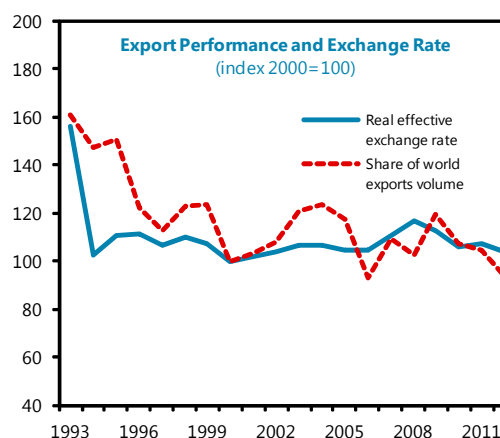
... the depreciation of the euro since 2008...



... has contributed to a moderate nominal and real effective exchange rate depreciation...



... which so far has little affected export performance.



Raising competitiveness rests on enhancing institutions and infrastructure...

| Global Competitiveness Index       |           |           |
|------------------------------------|-----------|-----------|
|                                    | 2010/2011 | 2011/2012 |
| <b>Overall ranking</b>             | 104       | 111       |
| <i>out of</i>                      | 139       | 142       |
| Institutions                       | 76        | 78        |
| Transparency of gov. policy making | 103       | 103       |
| Diversion of public funds          | 99        | 107       |
| Infrastructure                     | 112       | 122       |
| Quality of electric supply         | 125       | 133       |
| Quality of roads                   | 91        | 93        |
| Quality of railroad infrastructure | 89        | 94        |
| Health and primary education       | 118       | 119       |
| Primary enrollment                 | 127       | 131       |
| Labor market efficiency            | 109       | 99        |
| Rigidity of employment             | 131       | 135       |
| Financial market development       | 107       | 106       |
| Ease of access to loans            | 98        | 100       |

... as well as the business climate.

| Doing Business Indicators         |      |      |      |
|-----------------------------------|------|------|------|
|                                   | 2011 | 2012 | 2013 |
| <b>Overall ranking</b>            | 152  | 154  | 166  |
| <i>out of</i>                     | 183  | 183  | 185  |
| Starting a business               | 101  | 93   | 102  |
| Dealing with construction permits | 117  | 125  | 133  |
| Registering property              | 167  | 171  | 173  |
| Getting credit                    | 152  | 126  | 129  |
| Protecting investors              | 167  | 166  | 169  |
| Paying taxes                      | 170  | 174  | 178  |
| Trading across borders            | 67   | 65   | 67   |
| Enforcing contracts               | 148  | 145  | 148  |
| Closing a business                | 79   | ...  | ...  |

Sources: IMF staff calculations and estimates; World Economic Forum; and World Bank.

## ANNEX I. ELECTRICITY SUBSIDIES IN SENEGAL<sup>1</sup>

*This note attempts to estimate the size of quasi-fiscal costs related to the power sector in Senegal. It then discusses the distributional effects of tariff subsidies to electricity consumers. At current oil prices and under current policies, the latter are expected to remain high until less costly technologies are introduced.*

### POWER SECTOR: CURRENT CHALLENGES

**1. The Senegalese power sector faces tremendous challenges.** The sector relies heavily on oil imports for power generation; only about 10 percent of available electricity supply is purchased from regional hydropower. Primarily as a result of increasing oil prices, tariffs set at levels well below full cost recovery, lack of proper maintenance and delays in making investments in capacity to match an increasing power demand, the supply of electricity has become insufficient and unreliable, and the financial situation of the national utility company (SENELEC) has weakened significantly over time. SENELEC has had a large structural operating deficit over recent years; despite significant budgetary transfers, its net income has been negative since 2005 (except in 2009). This situation culminated in a major power crisis in 2010–11, with regular power outages affecting the well-being of the population and economic activity. An emergency plan (“Takka”) was put in place in 2011 to address the situation.

Table 1. Electric Power Supply, Sales and Costs, 2005-2011

|                                                     | 2005  | 2006  | 2007  | 2008  | 2009  | 2010  | 2011  |
|-----------------------------------------------------|-------|-------|-------|-------|-------|-------|-------|
| Total power supply (GWh)                            | 2,171 | 2,192 | 2,306 | 2,400 | 2,489 | 2,618 | 2,559 |
| <b>Power supply (percent)</b>                       |       |       |       |       |       |       |       |
| SENELEC                                             | 67    | 66    | 69    | 64    | 76    | 69    | 53    |
| Power purchase                                      | 33    | 34    | 31    | 36    | 24    | 31    | 47    |
| of which: Regional hydropower                       | 12    | 11    | 8     | 10    | 10    | 10    | 10    |
| <b>Power Sales &amp; Losses (percent of supply)</b> |       |       |       |       |       |       |       |
| Electricity sales                                   | 79    | 79    | 77    | 78    | 79    | 79    | 80    |
| Electricity losses                                  | 21    | 21    | 23    | 22    | 21    | 21    | 20    |
| <b>Historic sale prices and costs (CFA/kWh)</b>     |       |       |       |       |       |       |       |
| Average tariff 1/                                   | 79    | 90    | 101   | 112   | 113   | 118   | 119   |
| Average Tariff (Compensation incl.) 2/              | 94    | 109   | 122   | 144   | 133   | 132   | 169   |
| Average operating cost 3/                           | 97    | 129   | 112   | 126   | 110   | 130   | 147   |
| Average cost 3/                                     | 113   | 148   | 127   | 141   | 127   | 148   | 166   |
| Fuel costs (Senelec only)                           | 49    | 77    | 67    | 105   | 71    | 111   | 163   |
| <b>SENELEC results (CFA billion)</b>                |       |       |       |       |       |       |       |
| Operating subsidies received                        | 26    | 33    | 37    | 60    | 40    | 28    | 103   |
| Operating results (Compensation&subsidies excl.)    | -33   | -56   | -40   | -61   | -27   | -80   | -100  |
| Operating results (with subsidies)                  | -7    | -23   | -3    | -1    | 13    | -52   | 4     |
| Net results                                         | -4    | -34   | -6    | -7    | 6     | -55   | -13   |

Sources: Authorities, World Bank and Staff estimates

1/ Sales receipts per kWh

2/ Sale receipts plus tariff compensations, per kWh

3/ Costs per kWh generated and available after normative losses

<sup>1</sup> Gaston Mpatswe is the author of this note.

## TARIFF GAP AND QUASI-FISCAL COSTS

**2. The setting of the tariff follows a well defined regulatory process.** SENELEC's customers are billed based on the amount of kWh of electricity they consume. Prices are differentiated by voltage, with users of higher voltages billed higher prices. A price differential also applies within the same voltage band, with higher consumption priced at a higher tariff. Under the current regulatory framework, changes in tariff levels and/or schedule must be authorized by the Power Sector Regulatory Commission (CRSE in French) before taking effect. The regulatory framework includes mainly four elements: (i) a formula to determine, under baseline tariff and economic conditions, the maximum revenue the utility is allowed to collect to cover its operating and capital costs and make reasonable profits; (ii) conditions that could trigger a tariff adjustment; (iii) a compensation mechanism from the budget when tariff adjustments are not allowed by the government; and (iv) periods for revising the formula, the tariff conditions and for paying tariff compensation if any.

**3. The tariff, in practice, has not been set to allow cost recovery; this has required substantial compensation from the budget.** Some tariff adjustments were authorized between 2007 and 2009, though not high enough to reduce the large spread between the average price and the average cost per billed kWh.<sup>2</sup> Because of a flawed compensation mechanism that relied on overly optimistic assumptions about the future (e.g., when cost-effective technologies would become available), the tariff compensation received by SENELEC was insufficient and led to losses. In July 2011, the tariff formula was revised and became more realistic. This led to a substantial upward revision of the 2011 tariff compensation (from an initial estimate of CFAF 45 billion to about CFAF 96 billion). The tariff in 2011 was on average about 40 percent below the level suggested by the CRSE formula. Despite this large tariff gap, electricity remains very costly in international comparison.

**4. The new tariff compensation system, while a major improvement, may not provide a full picture of the losses in the electricity sector.** This reflects a number of issues, such as assumptions on the cost structure which are fixed for three years, or the existence technical and non-technical losses not be entirely compensated for by the formula. While the collection of billed electricity units has reportedly been close to 100 percent, the losses between production and billing have been about 20 percent. This is way above usual technical losses (e.g., related to transportation and transformation), which in efficient systems are contained below 10 percent. Total losses, measured as the difference between the cost of units actually supplied to the power grid and the amounts recovered, amounted in 2011 to an estimated CFAF 141 billion (2.1 percent of GDP). The tariff gap, as measured by the formula, made up about two thirds of this amount. The rest corresponds to "unaccounted" losses, basically reflecting SENELEC's inefficiencies. What matters from a public finance perspective is obviously total losses, given that SENELEC is government-owned. The losses not compensated through the formula eventually have to be borne by the taxpayer one way or another.

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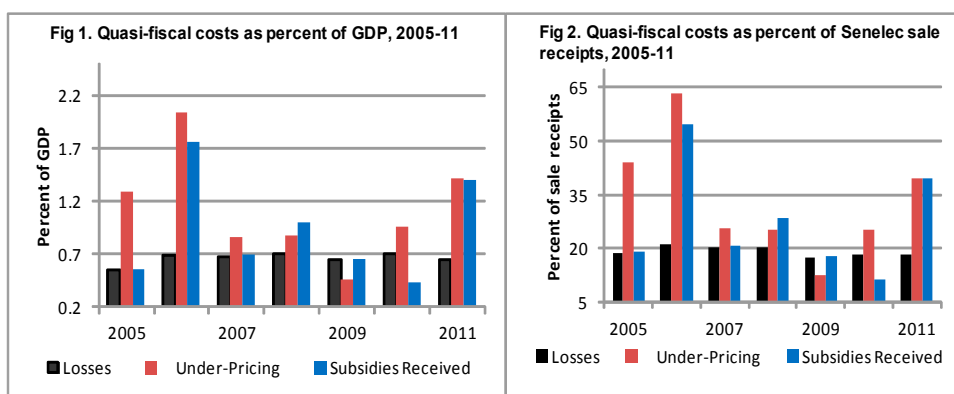
<sup>2</sup> Recent tariff adjustments: (i) a 6 percent increase in October 2007; (ii) a 17 percent increase and a new tariff structure in August 2008; (iii) a 12 percent reduction in January 2009; followed by (iv) an increase of 8 percent in July 2009.

## SENEGAL

**Table 2. Power Sector Quasi-fiscal Costs and Subsidies, 2003-2011**

|                                      | 2005       | 2006       | 2007       | 2008       | 2009       | 2010       | 2011       |
|--------------------------------------|------------|------------|------------|------------|------------|------------|------------|
| <b>(In CFA billion)</b>              |            |            |            |            |            |            |            |
| <b>Total quasi-fiscal costs</b>      | <b>85</b>  | <b>133</b> | <b>83</b>  | <b>95</b>  | <b>67</b>  | <b>106</b> | <b>141</b> |
| Unaccounted losses                   | 25         | 34         | 37         | 42         | 39         | 45         | 45         |
| Underpricing (Estimated tariff gaps) | 59         | 100        | 46         | 53         | 28         | 61         | 97         |
| <b>Subsidies transfers/received</b>  | <b>26</b>  | <b>86</b>  | <b>37</b>  | <b>60</b>  | <b>40</b>  | <b>28</b>  | <b>96</b>  |
| <b>SENELEC liabilities (stock)</b>   | <b>149</b> | <b>248</b> | <b>252</b> | <b>312</b> | <b>336</b> | <b>402</b> | <b>385</b> |
| Financial liabilities                | 87         | 110        | 121        | 141        | 149        | 164        | 128        |
| Liabilities to suppliers             | 62         | 138        | 131        | 171        | 187        | 239        | 257        |
| <b>(In percent of GDP)</b>           |            |            |            |            |            |            |            |
| <b>Total quasi-fiscal costs</b>      | <b>1.8</b> | <b>2.7</b> | <b>1.5</b> | <b>1.6</b> | <b>1.1</b> | <b>1.7</b> | <b>2.1</b> |
| Unaccounted losses                   | 0.6        | 0.7        | 0.7        | 0.7        | 0.6        | 0.7        | 0.7        |
| Underpricing (Estimated tariff gaps) | 1.3        | 2.0        | 0.9        | 0.9        | 0.5        | 1.0        | 1.4        |
| <b>Subsidies transfers/received</b>  | <b>0.6</b> | <b>1.8</b> | <b>0.7</b> | <b>1.0</b> | <b>0.7</b> | <b>0.4</b> | <b>1.4</b> |
| <b>SENELEC liabilities (stock)</b>   | <b>3.5</b> | <b>5.4</b> | <b>5.1</b> | <b>5.8</b> | <b>5.6</b> | <b>6.7</b> | <b>6.0</b> |
| Financial liabilities                | 1.9        | 2.2        | 2.2        | 2.4        | 2.5        | 2.6        | 1.9        |
| Liabilities to suppliers             | 1.3        | 2.8        | 2.4        | 2.9        | 3.1        | 3.7        | 3.8        |

Source: Authorities, World Bank and Staff estimates



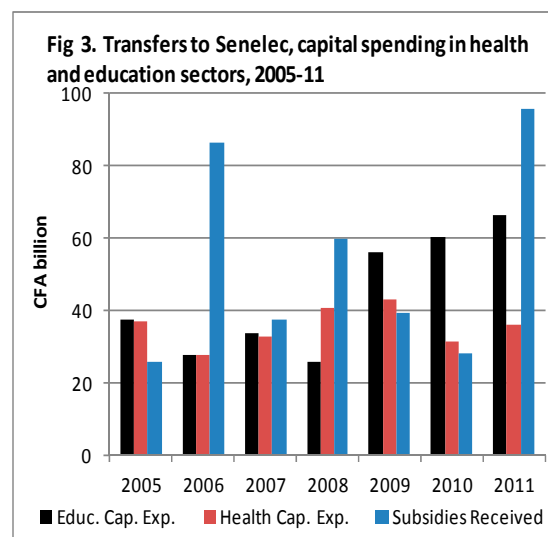
**5. If oil prices remain high, electricity subsidies will remain large in 2012 and decline only gradually.** Absent any changes in the tariff and efficiency gains at SENELEC, the other main factors affecting electricity subsidies are the level of international oil prices, electricity consumption, and technology. With oil prices expected to remain high in the medium term and power consumption likely to increase, only the introduction of more efficient production units (such as natural gas, hydropower, or coal-fired plants, as envisaged by the authorities) could lead to a significant reduction of electricity subsidies. It therefore makes it critical to finalize the energy sector strategy and to implement expeditiously these investments in new production units, as it will take a few years before they come on stream and contribute to much lower electricity costs.

## DISTRIBUTIONAL EFFECTS OF ELECTRICITY SUBSIDIES

**6. Beyond being a drain on the budget, electricity subsidies are poorly targeted.** Subsidies are typically justified by the need to make power services affordable to low-income and vulnerable

households. However, empirical evidence on Senegal (and elsewhere) from the mid-2000s suggests that tariff subsidies:<sup>3</sup>

- Are not necessarily benefiting the poor, primarily because most of them are not connected to the power grid. This access factor reflects not only the unavailability of electricity in the areas where poor households tend to live, but also poor households' choice not to connect to the power grid even when they can. Based on data from 2005–2006, a World Bank report shows that all indicators on electricity consumption increase with household income. Households with lower income are less connected, have less access, and even when they have access are less likely to connect to the power grid because of connection fees. Connection and access rates in rural areas were estimated at 15 percent and 39 percent, respectively.
- Even if they were benefiting the poor in absolute terms, their distributional effects have been regressive since electricity consumption is unevenly distributed across regions and income groups. Using a simple measure of targeting, the World Bank's analysis suggests that only 12.5 percent of the subsidies implicit to the tariff structure benefited the poor. Similarly, Fund analysis (Senegal Selected issues, 2008) concluded that the increase in tariff (22 percent) during 2005-2007 had a very limited effect on the welfare of poor households in rural areas.
- Distort prices, and as such constitute an inefficient way of allocating resources within the economy. A lower tariff gives an incentive to electricity customers (households and businesses) to consume more electricity than they would otherwise do and thereby exacerbates the burden on public finances.
- Divert important resources needed to finance pro-poor and priority spending. While most of the benefits go to individuals or businesses that do not need subsidization, their cost are very large and crowd out government spending in other areas, including the electricity sector itself. For instance, the cumulative transfers received by SENELEC over the last five years amounted to about CFAF 400 billion, which is nearly equivalent to resources needed for the construction of coal-fired plants that would increase production capacity by more than 50 percent. Similarly, annual transfers to SENELEC were comparable to, or higher than, the resources allocated for capital spending in the health or education sector (see Fig. 3).



<sup>3</sup> World Bank (2008): Senegal – Poverty Diagnosis, pp 83-88; IMF (2008): Senegal – Selected Issues (SM/08/158).

## ANNEX II: GROWTH INCLUSIVENESS IN SENEGAL<sup>1</sup>

*This note examines Senegal's recent growth performance from the perspective of its poverty-reducing and distributional characteristics and discusses some policies that might be considered to make growth more inclusive. The main findings are that poverty has fallen in the last two decades, although poverty reduction has slowed significantly in recent years. Senegal has performed better than many regional peers in terms of poverty reduction. Further poverty reduction will first and foremost require sustained high growth. Public policies also have a role to play in the reduction of poverty and inequalities. Better targeted policies would be more effective and less costly in reducing poverty. More attention to the regional distribution of public expenditure also seems desirable*

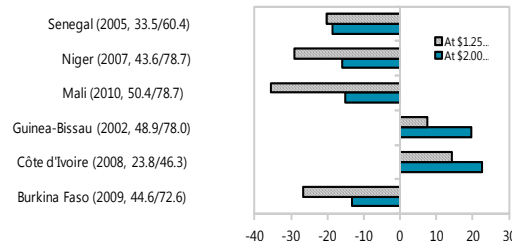
### POVERTY IN TIME AND REGIONAL PERSPECTIVES

**1. Poverty reduction in Senegal has slowed in recent years.** Household surveys conducted in 1994–95, 2001–02, and 2005–06 show that the number of people living below Senegal's poverty line (the poverty rate) declined from 68 percent in 1994–95 to 48 percent in 2005–06. This drop coincided with a period of robust growth (4.5 percent on average). However, a 2011 household survey indicates that poverty decreased only modestly between 2006 and 2011, a period of slower growth (3.3 percent on average). Poverty incidence therefore remains high in 2011, affecting about 47 percent of the population. In addition, there are wide disparities between rural areas, where poverty incidence is higher than the national average (at 57 percent), and urban areas, where the poverty rate is 33 percent.

**2. Progress achieved in poverty reduction has been more pronounced in Senegal than in some regional peers.** In 1994–2005, the share of the population living on less than US\$1.25 a day declined by about 20 percentage points, and by about the same for people living on less than US\$2 a day (Figure 1). By the latter metric, Senegal appears to be one of the WAEMU's best performers over that period.

**3. This outcome reflects higher growth and a higher sensitivity to growth of poverty reduction in Senegal.** Unlike a number of countries in the WAEMU, particularly those affected by internal conflicts or crises (e.g., Guinea-Bissau and Côte d'Ivoire in the 2000s), real per capita GDP growth in Senegal was always positive during 1995–2011 and some years quite significant. In addition, the elasticity of poverty reduction to per capita income growth has been large in Senegal in regional and even international comparison. During 1995–2005, this elasticity was about 3.7 in Senegal (using the US\$1.25 poverty line), well above that of other fast-growing WAEMU countries (e.g., Burkina Faso

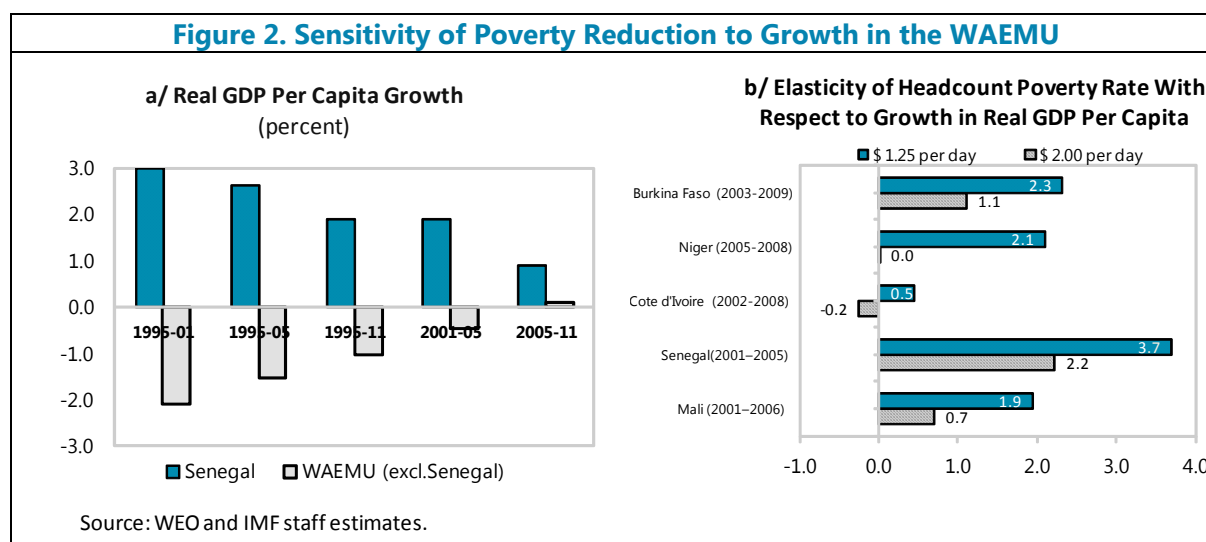
**Figure 1. Change in Poverty Rate**



Source: PovcalNet, World Bank, 2012, <http://research.worldbank.org/PovcalNet>.

<sup>1</sup>The author of this note is Alexei Kireyev.

and Mali, where the elasticity was closer to 2). The difference is even larger when the US\$2 poverty line is used (Figure 2).



## GROWTH AND INEQUALITY IN SENEGAL

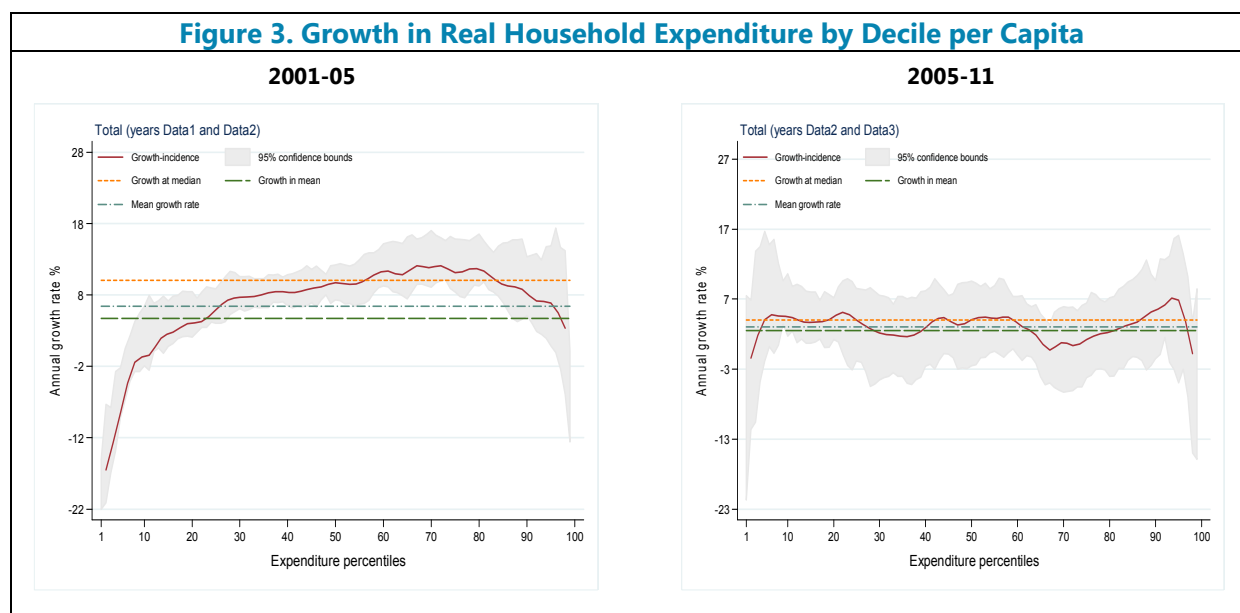
**4. Dynamics of inequality can be analyzed using growth incidence curves.** Growth incidence curves identify the extent to which each decile of households ranged by their income level benefits from growth. The part of the curve above zero points at the deciles whose consumption increased with growth and the part below zero points at the deciles whose consumption decreased with growth. A positively sloped growth incidence curve indicates that consumption of relatively richer deciles of population increases faster than consumption of poorer deciles, which leads to higher inequality. A negatively sloped incidence curve suggests that inequality declines as consumption of poorer households grows faster than consumption of richer households.

**5. The growth incidence curve for Senegal between 2001 and 2005 suggests an increase in inequality** (Figure 3, left chart). Consumption increased for the groups of population from the third to the eighth decile because the growth incidence curve is above zero, but somewhat faster in the middle of the distribution. Therefore, the poorest three deciles of the population became poorer in relative terms (and the poorest decile in absolute terms too) and the richest three deciles also lost relative ground. The middle class improved their relative position.

**6. Preliminary results of the 2011 household survey do not allow identifying a clear trend in inequality in recent years** (Figure 3, right chart). The overall growth incidence curve is above zero but broadly flat, suggesting no clear trend in inequality between 2005 and 2011, and that any trend would be probably barely statistically significant. This overall result, however, may mask significant differences between rural and urban areas.

## SENEGAL

**Figure 3. Growth in Real Household Expenditure by Decile per Capita**



Source: World Bank, ESAM2001, ESPS2005, ESPS2011 databases processed using ADePT 5.1 platform for automated economic analysis, World Bank, 2012.

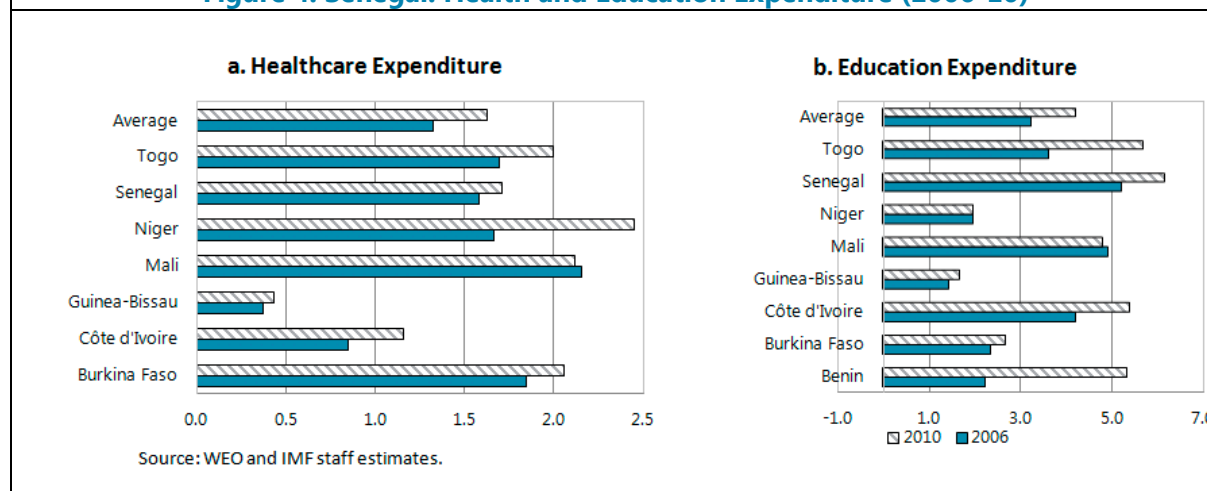
## ARE SENEGAL'S PUBLIC POLICIES SUPPORTIVE OF INCLUSIVE GROWTH?

**7. Public policies may be considered supportive of inclusive growth if they help promote growth and reduce poverty and inequality.** Possible indicators include (i) the overall level of social spending, because cross-country experience suggests that countries with relatively higher spending on human capital, health care, pensions, and other aspects of the social safety net tend to have more inclusive growth (World Bank 2012); (ii) measures specifically targeted at raising incomes of people in the bottom deciles of income distribution relative to the average income; (iii) development of social safety nets for the population in general and programs aimed at its poorest segments; and (iv) the design of the tax system.

**8. The aggregate level of health and education expenditure in Senegal is comparable to that of WAEMU countries, but the composition is different.** Expenditure on education was higher in Senegal than the WAEMU average, while the reverse is true for expenditure on health care, where Senegal has lost ground since 2006 (Figure 4).

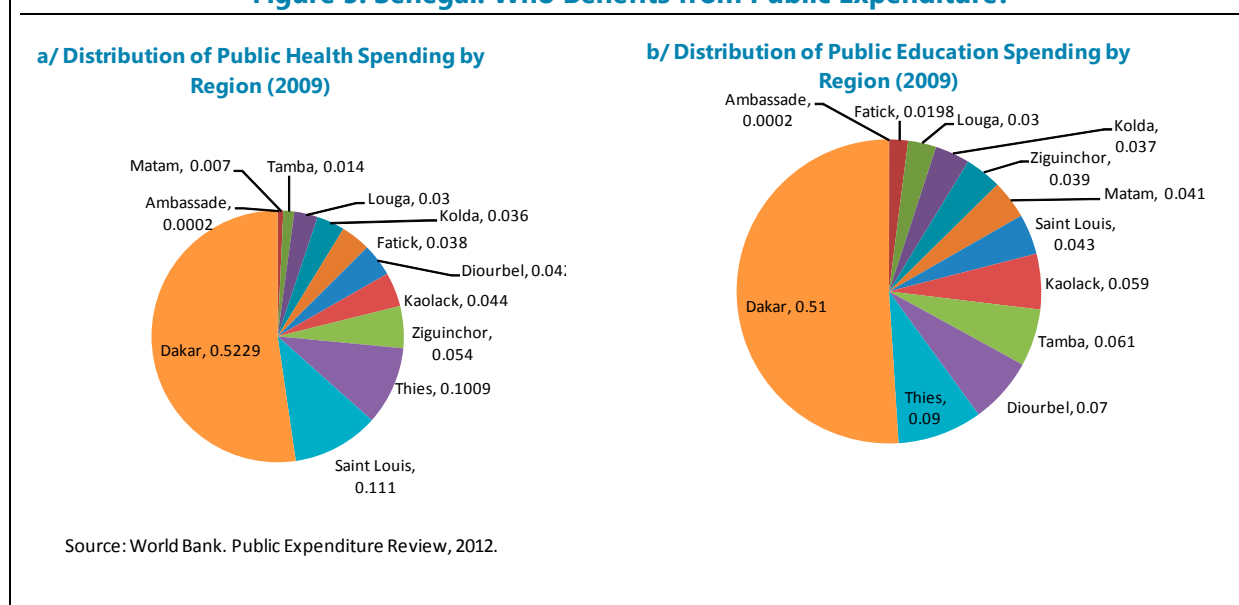


**Figure 4. Senegal: Health and Education Expenditure (2006-10)**



**9. Public expenditure, including in the social sectors, is concentrated on Dakar, which absorbs over a half of public resources.** Other regions have lower access to public resources, including in such critical areas as healthcare and education, which may also contribute to inequality (Figure 5 a-b, based on World Bank analysis).

**Figure 5. Senegal: Who Benefits from Public Expenditure?**



**10. Senegal has used ad-hoc and untargeted measures to address the impact of shocks in the recent past.** During the 2007–2008 food and fuel crisis the authorities took several measures to limit price increases on food and oil. They temporarily reduced the VAT and introduced excise tax exemptions and subsidies for butane for all consumers. The fiscal cost of these measures amounted to about 4½ percent of GDP during the 2-year period, with about a third stemming from a loss in revenue. The 2008 poverty and social impact analysis (PSIA) revealed that ad-hoc measures were in

## SENEGAL

general poorly targeted, because almost 55 percent of the benefits accrued to households in the top 40 percent of the welfare distribution. In February 2011, the government froze retail prices for six key food items and temporarily limited price increases for petroleum products at the pump by reducing the VAT base. Some of these measures were reversed later in the year. In early 2012 the authorities introduced implicit subsidies for petroleum products.

**11. The scope and coverage of the existing social safety nets in Senegal is limited, and most interventions are small and temporary.** Senegal has two conditional cash transfer programs: for orphaned children and those affected by HIV and children in the poorest households. Also, Senegal has a noncontributory old-age pension, which in practice reaches only a very small and rapidly declining number of beneficiaries.

## POLICIES TO INCREASE INCLUSIVENESS OF GROWTH

**12. Sustained overall economic growth is a precondition for further poverty reduction.** A number of studies confirm that sustained growth is a key factor in enhancing inclusiveness. Berg and Ostry (2011) argue that longer growth spells are robustly associated with more equality in the income distribution. Affandi and Peiris (2011) showed that growth is in general pro-poor as it leads to significant declines in poverty across economies and time periods. Senegal's experience seems consistent with this cross-country evidence.

**13. Special attention needs to be paid to the distributional dimension of growth.** An increase in inequality may offset and even exceed the beneficial impact on poverty reduction of an increase in income. Attention to inclusiveness when designing a growth strategy is therefore critical. For instance, increasing farm productivity and broadening rural job opportunities is important to address rural poverty.

**14. Well-designed public policies are also important for promoting inclusiveness.** In this regard, the recommendations of the 2008 Poverty and Social Impact Analysis (PSIA) for Senegal remain broadly valid. Poorer households could be protected against food and fuel price increases in the short term at a lower budgetary cost and more effectively by redirecting resources to better-targeted measures, including: targeting poor groups through measures such as school lunches and public works programs; and better-targeting tariffs for small quantities of electricity to protect some of the urban poor. In the medium term, a well-targeted and conditional cash transfer system is the best option for assistance for the poorest. Experience of other countries in the region suggests that a minimum social safety net can be provided more effectively at a relatively low cost. For example, in Burkina Faso, the World Bank estimates that a basic social safety net could be set up at a cost of around 1.5 percent of GDP.

**15. Improving access to financial services would also increase growth inclusiveness in Senegal.** A number of studies found that financial development generally increases incomes of the poorest households (Claessens, 2005), whereas unequal access to financial markets can reduce it by impeding investments in human and physical capital.

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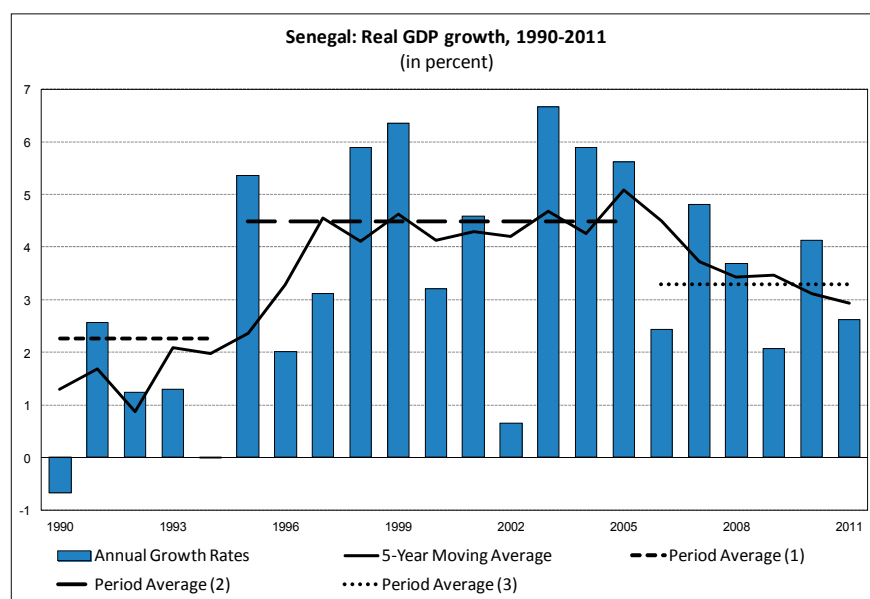
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## ANNEX III: GROWTH PERFORMANCE, OUTLOOK AND CHALLENGES IN SENEGAL<sup>1</sup>

*This note gives a brief overview of Senegal's growth performance and its main drivers. While growth was relatively strong during the 1995–2005, the more recent growth performance has been disappointing. A number of structural obstacles will need to be addressed to put Senegal back on a higher and sustainable growth path*

### GROWTH PERFORMANCE OVER THE PAST 20 YEARS

**1. Three growth periods can be identified over the past 20 years.** Economic performance was poor in the early 1990s, before the 1994 CFA franc devaluation. Senegal then recorded a period of strong growth in 1995–2005, with growth averaging 4.5 percent. This average masks relatively large fluctuations (although less than during the previous decades) reflecting volatility in agriculture output, with growth approaching or exceeding 6 percent certain years or dropping below 3 percent. Due to a series of exogenous shocks starting in 2006 (i.e., food and fuel global prices, global financial and economic crisis, and more recently, the electricity sector crisis and drought in the Sahel), growth decreased to an average of 3.3 percent in 2006–2011.



**2. Senegal's growth was less favorable than that of fast-growing sub-Saharan African (SSA) countries.** Although growth in Senegal since the mid-1990s has been better than in a number of WAEMU countries and strong enough to ensure an increase in per capita income, it has fallen short of the authorities' target under successive poverty reduction strategies (PRS) and has been much

<sup>1</sup> Gaston Mpastswe is the author of this note.

lower than that of fast-growing Sub-Saharan African economies such as Cape Verde, Ethiopia, Rwanda, Tanzania and Uganda (Table 1).

**Table 1. Senegal's Growth Performances vis-à-vis comparators, 1990-2011**

|                | Average growth rates |           |           |           | Average per capita growth |           |           |           |
|----------------|----------------------|-----------|-----------|-----------|---------------------------|-----------|-----------|-----------|
|                | 1990-1994            | 1995-2005 | 2006-2008 | 2009-2011 | 1990-1994                 | 1995-2005 | 2006-2008 | 2009-2011 |
| Benin          | 4.0                  | 4.6       | 4.6       | 3.3       | 0.5                       | 1.5       | 1.5       | 0.4       |
| Burkina Faso   | 2.7                  | 6.6       | 5.4       | 5.0       | -0.1                      | 3.6       | 2.3       | 1.9       |
| Cape Verde     | 3.9                  | 7.0       | 8.3       | 4.7       | 1.5                       | 5.0       | 7.2       | 3.7       |
| Ethiopia       | 0.6                  | 5.7       | 11.0      | 8.7       | -2.7                      | 2.9       | 8.6       | 6.4       |
| Ghana          | 4.1                  | 4.6       | 7.1       | 8.8       | 1.3                       | 2.1       | 4.5       | 6.3       |
| Mauritius      | 5.4                  | 4.4       | 5.1       | 3.8       | 4.2                       | 3.4       | 4.4       | 3.3       |
| Rwanda         | -11.5                | 11.3      | 8.6       | 6.6       | -7.4                      | 6.7       | 5.6       | 3.5       |
| Senegal        | 0.9                  | 4.5       | 3.7       | 3.0       | -2.0                      | 1.8       | 0.9       | 0.2       |
| Tanzania       | 2.5                  | 5.5       | 7.1       | 6.5       | -0.8                      | 2.8       | 4.1       | 3.4       |
| Uganda         | 6.0                  | 6.8       | 9.3       | 6.6       | 2.6                       | 3.6       | 5.8       | 3.2       |
| SSA, excl. S.A | 1.0                  | 4.5       | 6.7       | ...       | -1.8                      | 1.7       | 4.1       | ...       |

Sources: World Bank database and staff estimates

**3. Activity has increased faster in the tertiary sector.** This has been particularly the case in transport and telecommunication, which together have contributed by about one percentage point to GDP growth (Table 2). While the share of the tertiary sector in GDP has increased significantly, the share of the secondary sector has remained about constant and that of the primary sector (including agriculture) has decreased. The observed productivity increase in agriculture and the structural shift toward the services sector suggest that Senegal has experienced a pattern of economic transformation quite typical in developing countries.

**Table 2. Senegal: Sectoral contributions to GDP, 1991-2011**

|                            | Sectors Real Growth Rates 1/ |            |            | Contribution to Real Growth 1/ |            |            | Shares of GDP 2/ |             |             |
|----------------------------|------------------------------|------------|------------|--------------------------------|------------|------------|------------------|-------------|-------------|
|                            | 1991-94                      | 1995-05    | 2006-11    | 1991-94                        | 1995-05    | 2006-11    | 1990-94          | 1995-05     | 2006-11     |
| <b>PRIMARY SECTOR</b>      | <b>1.9</b>                   | <b>2.9</b> | <b>1.8</b> | <b>0.3</b>                     | <b>0.4</b> | <b>0.2</b> | <b>17.7</b>      | <b>16.2</b> | <b>13.8</b> |
| Agriculture                | 0.6                          | 4.3        | 1.6        | 0.0                            | 0.2        | -0.1       | 10.3             | 8.9         | 7.1         |
| <b>SECONDARY</b>           | <b>2.8</b>                   | <b>4.6</b> | <b>3.7</b> | <b>0.5</b>                     | <b>1.0</b> | <b>0.8</b> | <b>21.2</b>      | <b>21.3</b> | <b>20.7</b> |
| Industries                 | 2.2                          | 3.8        | 3.2        | 0.3                            | 0.5        | 0.4        | 13.9             | 14.0        | 12.3        |
| Public works and housing   | 6.6                          | 8.7        | 4.8        | 0.2                            | 0.3        | 0.2        | 3.1              | 3.7         | 4.3         |
| <b>TERTIARY</b>            | <b>0.7</b>                   | <b>5.4</b> | <b>4.2</b> | <b>0.3</b>                     | <b>2.4</b> | <b>2.0</b> | <b>42.9</b>      | <b>44.0</b> | <b>46.4</b> |
| Trade                      | 1.2                          | 4.1        | 2.2        | 0.2                            | 0.7        | 0.4        | 17.1             | 17.3        | 15.9        |
| Transport & Telecom        | -2.0                         | 9.8        | 8.2        | -0.2                           | 0.8        | 1.0        | 6.9              | 7.4         | 10.6        |
| <b>PUBLIC SERVICES</b>     | <b>0.7</b>                   | <b>4.0</b> | <b>2.2</b> | <b>0.1</b>                     | <b>0.8</b> | <b>0.4</b> | <b>18.3</b>      | <b>18.5</b> | <b>19.1</b> |
| <b>GDP</b>                 | <b>1.3</b>                   | <b>4.5</b> | <b>3.3</b> | <b>1.3</b>                     | <b>4.5</b> | <b>3.3</b> | <b>100</b>       | <b>100</b>  | <b>100</b>  |
| <b>Non-Agriculture GDP</b> | <b>1.4</b>                   | <b>4.6</b> | <b>3.6</b> | <b>1.3</b>                     | <b>4.2</b> | <b>3.3</b> | <b>90</b>        | <b>91</b>   | <b>93</b>   |

Source: Authorities and Staff estimates

1/ Percentage change.

2/ In percent.

**4. Growth has been driven mainly by public investment and remittances-fueled private consumption (Table 3).** Remittances grew by more than 20 percent per year between 1995 and 2005 and have become a major source of external financing for the economy. Public investment also grew substantially between 2000 and 2005. The export sector, however, performed relatively poorly (see the note on external stability)

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**Table 3. Senegal: Consumption, Investment and National Savings, 1991-2011**

|                            | Annual Growth Rates 1/ |             |             | Share of GDP 2/ |             |             |
|----------------------------|------------------------|-------------|-------------|-----------------|-------------|-------------|
|                            | 1991-94                | 1995-2005   | 2006-11     | 1990-94         | 1995-2005   | 2006-11     |
| <b>Consumption</b>         | <b>2.1</b>             | <b>3.1</b>  | <b>4.4</b>  | <b>94.3</b>     | <b>88.7</b> | <b>88.5</b> |
| Private                    | 2.8                    | 2.9         | 4.2         | 81.1            | 77.4        | 72.6        |
| Public                     | -1.6                   | 5.4         | 6.2         | 13.3            | 11.3        | 15.9        |
| <b>Investment</b>          | <b>0.4</b>             | <b>7.6</b>  | <b>4.6</b>  | <b>12.3</b>     | <b>20.2</b> | <b>30.6</b> |
| Public                     | -9.9                   | 14.8        | 6.8         | 5.6             | 7.3         | 10.5        |
| Private                    | 4.6                    | 5.4         | 3.8         | 6.7             | 12.9        | 20.1        |
| <b>National savings 3/</b> | <b>6.4</b>             | <b>23.4</b> | <b>10.0</b> | <b>6.4</b>      | <b>13.6</b> | <b>21.9</b> |
| Remittances 3/             | 30.4                   | 20.6        | 15.8        | 2.4             | 4.6         | 12.6        |

Source: Authorities and Staff estimates

1/ Annual percentage change. 2/ In percent.

3/ Nominal growth rates

**5. Growth has been factor-intensive.** A growth accounting exercise suggests that growth is mostly explained by factor accumulation (Table 4).<sup>2</sup> Total factor productivity (TFP) actually declined before the mid-1990s, and again since 2006. It only grew modestly during the decade of robust growth (1995–2005). A number of factors could explain this poor productivity performance. First, the TFP decline in the past five years coincides with the deterioration of Senegal's doing business and governance indicators, which could have affected the productivity of both public and private investment. Second, large and increasing remittances might have been invested in sectors less likely to spur growth (such as housing and informal trade).

**Table 4. Senegal's Growth Rate Accounting, 1991-2011**

|                                       | 1991-1994 | 1995-2005 | 2006-2011 |
|---------------------------------------|-----------|-----------|-----------|
| <b>Output and productivity growth</b> |           |           |           |
| Real GDP Growth                       | 1.3       | 4.5       | 3.3       |
| Real per Capita Growth                | -1.5      | 1.8       | 0.6       |
| GDP per person employed 1/            | -1.7      | 1.4       | 0.2       |
| Agriculture output per worker 2/      | -0.6      | 0.6       | 1.7       |
| <b>Growth accounting</b>              |           |           |           |
| Labor Force                           | 2.1       | 2.2       | 2.2       |
| Capital                               | 0.8       | 1.7       | 2.8       |
| TFP                                   | -1.7      | 0.6       | -1.7      |
| <b>Growth accounting</b>              |           |           |           |
| Active Population                     | 1.4       | 1.7       | 1.7       |
| Capital                               | 0.8       | 1.7       | 2.8       |
| TFP                                   | -1.0      | 1.1       | -1.2      |

Source: Staff estimates based on Authorities and World Bank's data

1/ Percent change in GDP per person employed (constant 1990 PPP \$)

2/ Percent change in agriculture value added per worker (constant 2000 US\$)

<sup>2</sup> The growth accounting exercise uses a standard Cobb-Douglas production function, with an elasticity of output with respect to capital of 0.3, and an annual depreciation rate of the capital stock of 6 percent. The economically active population and labor force (from World Bank database) are used as proxies for labor input.

## MEDIUM TERM GROWTH OUTLOOK AND CHALLENGES

**6. The medium-term growth projections in the program assume a return to positive TFP growth. Growth is projected at 3.7 percent in 2012, 4.3 percent in 2013, and an average 5 percent per year over 2014–17.** Given the demographic trends and the assumptions made on investment, such a growth path implicitly assumes that ongoing and planned reforms will improve economic efficiency and restore TFP growth to levels comparable to those observed in 1995–2005 (Table 5).<sup>3</sup>

**Table 5. Senegal's Growth Rate Accounting, 2012-2017**

|                          | 2012 | 2013 | 2014-17 |
|--------------------------|------|------|---------|
| Real GDP Growth          | 3.7  | 4.3  | 5.0     |
| Real per Capita Growth   | 1.0  | 1.6  | 2.3     |
| <b>Growth accounting</b> |      |      |         |
| Labor Force              | 2.1  | 2.1  | 2.1     |
| Capital                  | 2.1  | 2.0  | 2.0     |
| TFP                      | -0.5 | 0.1  | 0.9     |
| <b>Growth accounting</b> |      |      |         |
| Active Population        | 1.7  | 1.7  | 1.7     |
| Capital                  | 2.1  | 2.0  | 2.0     |
| TFP                      | -0.1 | 0.6  | 1.3     |

Source: Staff estimates

**7. Obstacles to higher and sustainable growth have been identified.** The authorities are finalizing their new growth strategy, which was not available at this writing. The previous one (the Accelerated Growth Strategy, or AGS) focused on five priority sectors: agriculture and agribusiness, fisheries, tourism, clothing and textiles, and telecommunication and ICT-enabled services. Some of these sectors, such as agriculture and tourism, are likely to remain the focus of the new strategy given their strong development potential:

- **Agriculture and agribusiness.** The authorities and World Bank staff see important opportunities for growth in horticulture for exports, and in rice and other cash crops production and livestock development, primarily for the domestic market. A favorable climate for year-round fresh vegetables and fruit and a relatively short distance to the European market put Senegal in a very good position. The potential for efficiency gains in the agriculture sector is large, as illustrated by the relatively low cereal yields (Table 6).

**Table 6. Cereal's average yield (100 kg per hectare), 1994-2008**

|               | 1991-1995 | 1995-2000 | 2001-2005 | 2006-2008 |
|---------------|-----------|-----------|-----------|-----------|
| Benin         | 9.7       | 10.9      | 10.9      | 11.9      |
| Burkina Faso  | 8.6       | 8.6       | 9.9       | 11.3      |
| Cape Verde    | 2.9       | 5.1       | 3.6       | 5.8       |
| Côte d'Ivoire | 9.0       | 14.1      | 18.0      | 17.4      |
| Ethiopia      | 11.2      | 11.7      | 12.4      | 16.5      |
| Ghana         | 12.7      | 13.3      | 13.5      | 13.3      |
| Rwanda        | 11.5      | 10.1      | 10.1      | 10.8      |
| Senegal       | 8.1       | 7.6       | 9.6       | 8.5       |
| Tanzania      | 12.9      | 10.0      | 11.1      | 11.9      |
| Uganda        | 15.3      | 14.2      | 15.9      | 15.2      |
| SSA, excl. SA | 9.4       | 9.9       | 10.5      | 11.8      |

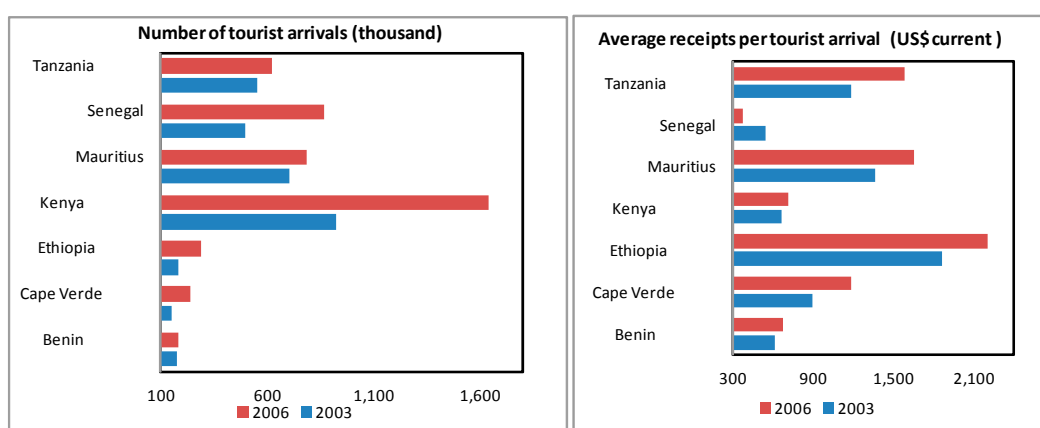
Sources: World Bank Database and Staff estimates

<sup>3</sup>This assumption is critical to medium-term growth prospects; without it, per capita income would continue to increase only very slow.

## SENEGAL

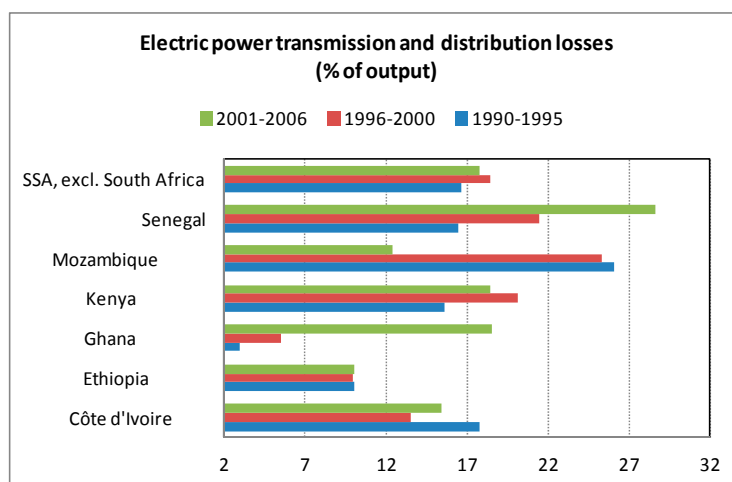
However, this will require modernizing the sector, which is primarily composed of small, family farming, and relies heavily on rainfall and the use of traditional production techniques. Obstacles to access to land and credit, which limit potential involvement of private businesses, will need to be addressed too.

- **Tourism.** Given its natural endowment and cultural heritage, as well as its proximity to Europe, the potential for the development of business and cultural tourism is substantial. Senegal scores fairly well in terms of the number of tourist arrivals, but poorly regarding spending per tourist. The sector has lost substantial market share in Africa over the last 15 years. This trend can probably be reversed, but it will take a range of measures to improve the offer and market the destination.



**8. Improving energy and transport infrastructure is critical for growth prospects.** Significant progress has already been achieved in upgrading Senegal's infrastructure, particularly in ICT, but substantial challenges remain in transport and energy. The latter are expected to be addressed in the coming years through a number of large projects. These include the Blaise Diagne International Airport (AIBD), the Dakar-AIBD highway (with later on possible extensions to Mbour and Thiès,

and the Diamniadio Economic Special Integrated Zone (DESIZ). These projects will help deal with the excessive concentration of economic activity in the Dakar area, which makes up more than half of the Senegalese economy on less than 1 percent of the national territory. Large investments to restore power supply and increase generation capacity with more cost-effective technologies should also help lower the cost of doing business, especially in manufacturing; the cost of electricity in Senegal is indeed among the highest in SSA (see chart).

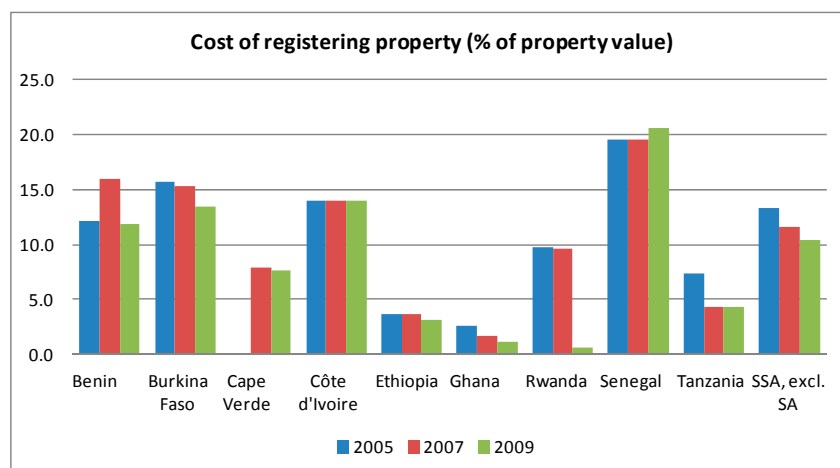




**9. More generally, there is significant scope for further improvement in the business climate.**

The development of a dynamic private sector in Senegal is still hampered by a range of issues. Despite the progress made in a number of areas (e.g., creation of a one-stop shop for business registration,

easing of administration procedures for exports and imports), Senegal's still ranks only 154<sup>th</sup> out of 183 countries surveyed for the 2012 *Doing Business* report. Reform efforts are especially needed in the areas where Senegal still lagging well behind comparator countries, such as paying taxes, registering properties (see chart), protecting investors, enforcing contracts and dealing with construction permits. More generally, a more effective provision of business-friendly public services would contribute to private sector development.



## ANNEX IV: IMPLICATIONS OF PUBLIC INVESTMENT SCALING UP IN SENEGAL<sup>1</sup>

*This note looks at the impact of higher debt-financed public investment on growth and debt sustainability, using an open-economy dynamic general equilibrium (DGE) model developed by Buffie et al. (2012). Several scenarios are constructed by altering assumptions about the composition of financing. The results of the model suggest that increased public investment would have a positive impact on growth, but could lead to debt sustainability problems if financed mainly by nonconcessional borrowing. This conclusion is consistent with latest debt sustainability analysis for Senegal.*

### INTRODUCTION

**1. An ambitious investment policy has been central to Senegal's development strategy.** Public investment as a share of GDP has doubled since 2000, rising from 5½ percent to nearly 11 percent in 2011. With the support of donors, the authorities have focused investment spending on expanding and modernizing transport infrastructure to facilitate access to markets. Major infrastructure projects include the Blaise Diagne International Airport, the Dakar-Diamniadio toll road, other road projects, and the modernization of the port of Dakar. These projects are intended to spur private sector development, diversify economic activity away from Dakar, and support poverty reduction.

**2. This note explores the impact of a higher public investment path in the next few years.** The public investment ratio is expected to remain relatively high in the program's macroeconomic framework for 2012–17. This note assumes a further scaling up of public investment to 15 percent of GDP in 2013 and a subsequent gradual decrease back to levels assumed in the program. The spike in the next few years, while not the program's central scenario, is based on the pipeline of current and future investment projects maintained by the authorities; it is therefore plausible, and implicitly corresponds to an early implementation of major investments in the energy and transport sectors.

### MODEL CALIBRATION

**3. The model's parameters were calibrated to match data for the Senegalese economy.** Table 1 summarizes the calibration of the main parameters. In those instances where Senegal-specific estimates were not available, the parameters were set to fit a "generic" low-income country (LIC), as described by Buffie et al. Key parameters affecting debt dynamics are absorptive capacity, the return on infrastructure investment, investment efficiency, and user fees.

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<sup>1</sup> Prepared by Andrew Jewell (SPR) and Salifou Issoufou (RES), in collaboration with Senegal's Ministry of Economy and Finance, Direction de la Prévision et des Etudes Economiques

**Table 1: Calibration of Main Parameters**

| Parameter                                                    | Value | Source                          |
|--------------------------------------------------------------|-------|---------------------------------|
| Absorptive capacity parameter                                | 11    | IMF staff                       |
| Initial return on infrastructure investment                  | 0.313 | Dessus and Herrera (1996)       |
| Efficiency of public investment                              | 0.70  | Briceño-Garmendia et al. (2011) |
| User fees for infrastructure services (% of recurrent costs) | 0.83  | IMF staff                       |
| Value added in non-traded sector                             | 0.450 | Authorities                     |
| Capital's share in value added in the traded sector          | 0.400 | Authorities                     |
| Capital's share in value added in the non-traded sector      | 0.550 | Authorities                     |
| Cost share of non-traded inputs in the production of capital | 0.500 | Authorities                     |
| Depreciation rate                                            | 0.10  | Authorities                     |
| Trend per capita growth rate                                 | 0.017 | Authorities                     |
| Initial real interest rate on domestic debt                  | 0.035 | IMF staff                       |
| Initial real interest rate on private external debt          | 0.035 | IMF staff                       |
| Real interest rate on concessional loans                     | 0.000 | IMF staff                       |
| Initial real interest rate on public commercial loans        | 0.065 | IMF staff                       |
| Initial public domestic debt-to-GDP ratio                    | 0.10  | IMF staff                       |
| Initial public external concessional debt-to-GDP ratio       | 0.192 | IMF staff                       |
| Initial public external commercial debt-to-GDP ratio         | 0.103 | IMF staff                       |
| Initial private external debt-to-GDP ratio                   | 0.200 | IMF staff                       |
| Grants-to-GDP ratio                                          | 0.026 | Authorities                     |
| Remittances-to-GDP ratio                                     | 0.094 | Authorities                     |
| Initial ratio of infrastructure investment to GDP            | 0.105 | IMF staff                       |
| Initial consumption VAT                                      | 0.18  | Authorities and IMF staff       |
| Labor ratio of non-savers to savers                          | 4.3   | Authorities and IMF staff       |

**4. Absorptive capacity constraints are significant in Senegal.** When absorptive capacity is limited, high investment rates lead to large cost overruns, usually due to coordination problems or supply bottlenecks during the implementation phase of public investment projects. The assumption for Senegal is that, on average, public investment projects incur costs overruns equal to 74 percent of the size of the initial investment. This estimate is based on data provided by the authorities on initial estimates and final costs of large infrastructure projects in Senegal. To arrive at costs overruns equal to 74 percent of initial investment, taking into account the projected path of investment, the parameter that controls absorptive capacity constraints was set to 11.

**5. The gross return on infrastructure investment is assumed to be 31.3 percent.** Estimates of the return on infrastructure investment vary significantly. Foster and Briceño-Garmendia (2010) found returns ranging from 17 to 24 percent on electricity, water and sanitation, irrigation, and road projects. Estimates by Dalgaard and Hansen (2005) cluster between 15 percent and 30 percent. Buffie et al. assume a 30 percent return on infrastructure investment for a generic LIC. The assumption of a 31.3 percent return in Senegal is taken from

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work by Dessus and Herrera (1996) on the impact of public investment on growth in developing countries.

**6. Not all investment spending is assumed to contribute to capital accumulation.** The investment efficiency parameter captures the idea that some investment spending may be wasted or spent on poor projects. The assumption here is that each dollar of public investment in Senegal increases the stock of productive infrastructure by 70 cents. This assumption is based on Briceño-Garmendia et al. (2011) and compares with a benchmark value of 0.60 used by Buffie et al. for sub-Saharan Africa.<sup>2</sup>

**7. User fees allow governments to recoup a significant share of recurrent costs associated with the use of public capital.** Even if investment has a high rate of return, it may not pay for itself from a fiscal perspective if user fees are low and the benefits of investment accrue mainly to the private sector. The estimate of 0.83 for Senegal is based on Briceño-Garmendia et al. (2011) and IMF staff estimates. According to Briceño-Garmendia et al. (2011), tariffs in the power and water sectors cover 72 and 91 percent of recurrent costs. Estimates of tolls collected on the Dakar-Diamniadio toll road point to 85 percent of recurrent costs covered by the collection of user fees. The estimate of 83 percent for Senegal compares to a sub-Saharan African benchmark value of 0.50 used by Buffie et al.

**8. Steady-state ratios and other parameters were set to either their average over the past 10 years or the level at end-2011.** The model generates results by comparing the projected values of certain variables with their steady state values. For example, the steady state value for investment spending was set to 9.5 percent of GDP, equal to the average level of public investment to GDP over the last ten years. The model then assesses the impact of a projected increase in investment spending from the steady state level.

## **BASELINE SCENARIO**

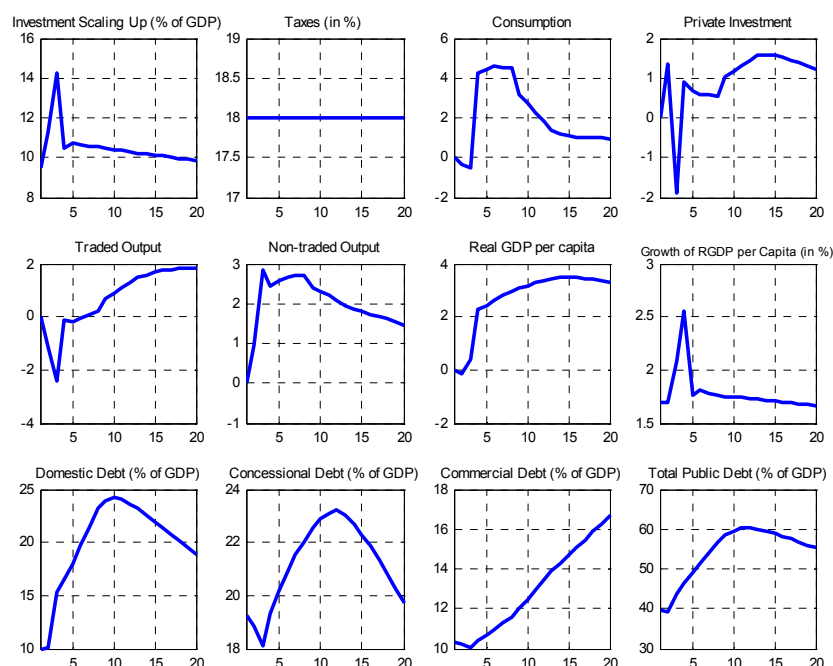
**9. Higher public investment, financed through a combination of concessional and nonconcessional external borrowing and domestic borrowing, would increase permanently per capita income but also raise significantly the debt ratio over the medium term.** This scenario most closely resembles the current financing mix in Senegal, where the government finances public investment through a combination of external and domestic sources.<sup>3</sup> The supply of concessional financing is assumed here to be finite and decreasing over time, while nonconcessional financing gradually increases (both variables are exogenous). Domestic financing is generated endogenously by the model to cover the remaining gap. Public debt rises to 60 percent by the 10th year of the projection period before starting to decline (Figure 1). The

<sup>2</sup> According to Briceño-Garmendia et al., 70 percent of public investment spending goes to capital expenditures and the rest goes to operations and maintenance. Based on the concept of efficiency of public investment in the model, this translates into a value of 0.70 for the efficiency parameter.

<sup>3</sup> Domestic borrowing in this case also includes borrowing from investors in the WAEMU area.

impact on growth is positive, but limited by some crowding out of private investment from domestic borrowing.

**Figure 1: External and Domestic Borrowing**



## ALTERNATIVE SCENARIOS

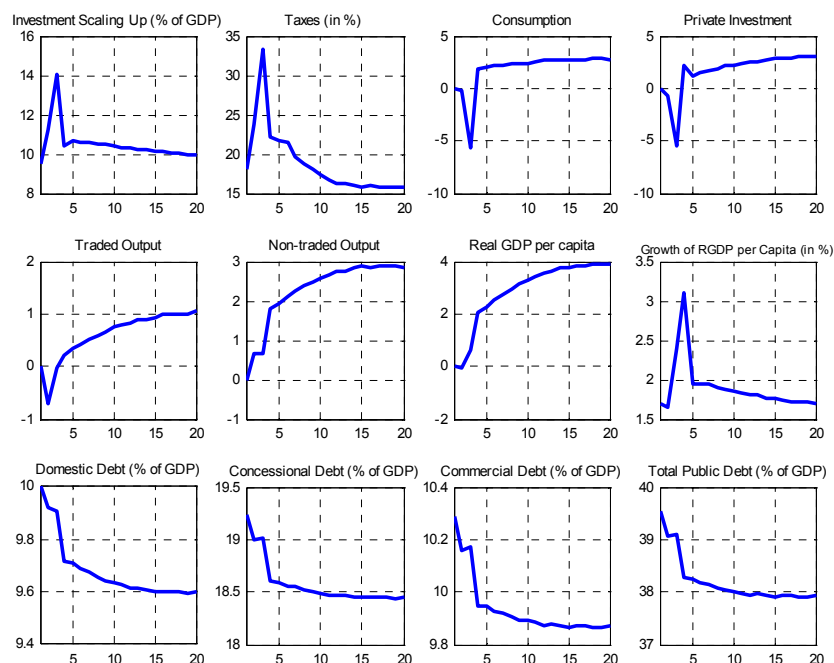
**10. Relying exclusively on fiscal adjustment to finance higher public investment looks unrealistic.** In this first alternative scenario, the government is assumed to finance public investment by increasing consumption taxes as necessary while avoiding any recourse to borrowing. The results suggest that economic growth would accelerate and the ratio of public debt to GDP would decrease marginally, but the consumption tax rate would need to jump from 18 percent to 33 percent and remain at elevated levels over the medium term, which does not seem feasible (Figure 2).

**11. Financing higher public investment with concessional borrowing, without any fiscal adjustment, appears to be the best option from a growth and debt sustainability perspective.** If the government is assumed to have unlimited access to external concessional financing to cover all planned investment spending, the results would be generally favorable. Public debt to GDP would initially rise, reaching 57 percent by the eighth year of the projection period, but trend downward thereafter (Figure 3). The boost to growth would be even greater than in the fiscal adjustment and baseline scenarios, since consumption and private investment would not be impacted by higher taxes or domestic borrowing. The question, though, is whether unlimited access to external concessional financing is a realistic assumption. Recent history

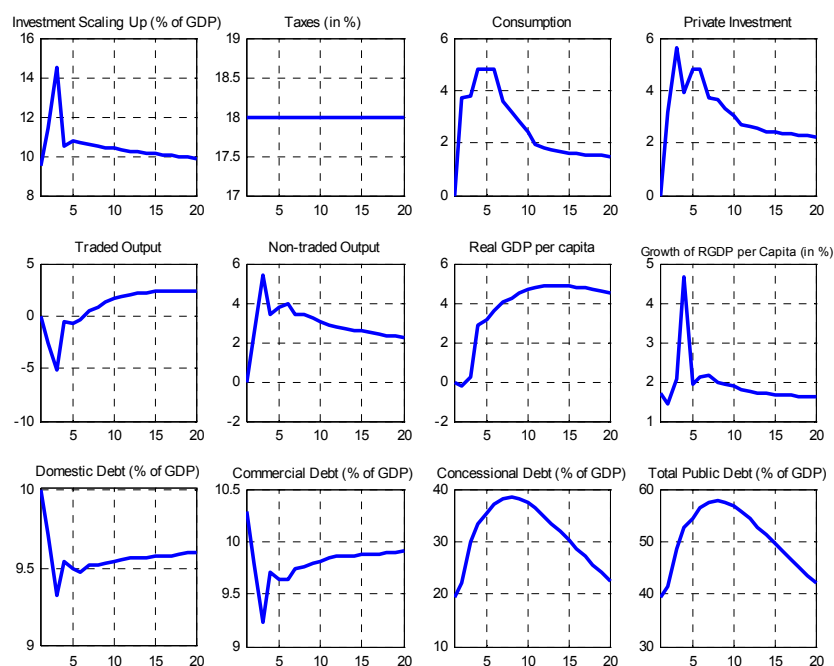
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suggests that concessional resources are limited and will need to be supplemented by other types of financing.

**Figure 2: Fiscal Adjustment Only**

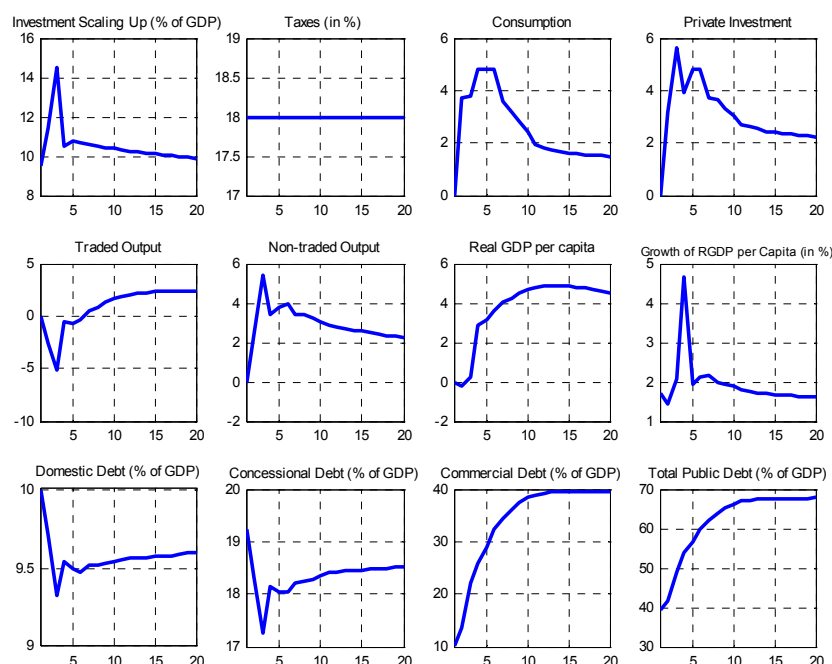


**Figure 3: Concessional Borrowing Only**



**12. Relying exclusively on nonconcessional external borrowing would lead to a permanently higher debt ratio, raising debt sustainability concerns.** Similar to the previous scenario, external borrowing without any fiscal adjustment would have a positive impact on growth, due to higher levels of public investment, private investment, and consumption (Figure 4). However, the higher cost of borrowing would result in a rapid and continuous increase in the debt, with the ratio of public debt to GDP reaching 68 percent by the end of the projection period.<sup>4</sup>

**Figure 4: Nonconcessional Borrowing Only**



## CONCLUSION

**13. The results of the model suggest that a modest scaling up of public investment would benefit growth without jeopardizing debt sustainability, provided it was not financed exclusively through nonconcessional borrowing.** Financing public investment through concessional borrowing would yield even more favorable results, assuming such financing was available. It should be noted that the outcome depends critically on key structural conditions, such as absorptive capacity, the return on infrastructure investment, investment efficiency, and user fees. By improving the structural environment for public investment, Senegal could arguably pursue a more ambitious investment program without threatening debt

<sup>4</sup> Nonconcessional borrowing is assumed to carry a real interest rate of 6.5 percent, equal to a nominal rate of 9 percent (close to the initial yield on the 2011 Eurobond) minus a 2.5 percent world inflation rate.

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sustainability. Conversely, a worsening of the structural environment would call for a more cautious approach.

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Dessus, S. and R. Herrera (1996), "Le Rôle du Capital Public dans la Croissance des Pays en Développement au cours des Années 80," Documents Techniques de l'OCDE 115.

Foster, V. and C. Briceño-Garmendia (2010), "Africa's Infrastructure: A Time for Transformation," Agence Francaise de Developpement and the World Bank.



## ANNEX V: EXTERNAL STABILITY ASSESSMENT AND MATRIX

*This note assesses external stability in the Senegalese economy. Senegal has recorded continuous current account deficits over the past decade, financed mainly by official flows, including aid. The export sector has not gained market share, inward FDI has picked up somewhat, and remittances have become an important source of foreign exchange. The real exchange rate is broadly in line with economic fundamentals, and reserves are adequate. To enhance competitiveness, Senegal needs to implement structural measures to improve the business environment.*

### BALANCE OF PAYMENTS

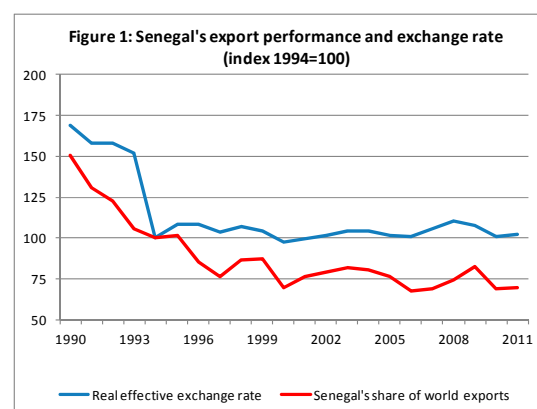
**1. Over the past decade, Senegal has recorded continuous current account deficits, financed mainly by official flows, including aid.** Since 2000, current account deficits have averaged about 8 percent of GDP (Table 1). These deficits have been financed mainly by grants and government borrowing (particularly project loans and, more recently, nonconcessional commercial borrowing). Senegal is therefore exposed to shifting donor and market sentiment. The estimated 2011 current account deficit of 6.1 percent of GDP is in line with the estimated current account “norm” for Senegal of about 6 percent (see below).

Table 1: Balance of Payments: Selected Items

|                                                  | 2000                | 2001 | 2002 | 2003 | 2004 | 2005 | 2006  | 2007  | 2008  | 2009 | 2010 | 2011 |
|--------------------------------------------------|---------------------|------|------|------|------|------|-------|-------|-------|------|------|------|
|                                                  | (in percent of GDP) |      |      |      |      |      |       |       |       |      |      |      |
| Current Account Balance (including grants)       | -7.0                | -5.0 | -6.0 | -6.4 | -6.9 | -8.9 | -9.2  | -11.6 | -14.1 | -6.7 | -4.4 | -6.1 |
| Current Account Balance (excluding grants)       | -8.7                | -6.5 | -7.9 | -8.2 | -8.0 | -9.1 | -10.2 | -13.0 | -15.1 | -7.5 | -5.4 | -6.8 |
| Total grants                                     | 3.3                 | 3.8  | 4.1  | 3.8  | 10.4 | 2.4  | 26.1  | 4.6   | 2.7   | 3.0  | 3.2  | 2.2  |
| Capital and financial account (excluding grants) | 5.3                 | 2.4  | 7.1  | 5.5  | -0.6 | 4.3  | -15.4 | 9.6   | 10.6  | 6.9  | 3.0  | 4.9  |
| Private flows                                    | 3.9                 | 2.1  | 4.8  | 4.5  | 3.7  | 2.3  | 5.8   | 7.5   | 7.1   | 1.7  | 0.5  | -2.7 |
| Official flows                                   | 1.4                 | 0.3  | 2.3  | 1.1  | -4.3 | 2.0  | -20.9 | 2.1   | 3.6   | 5.2  | 2.5  | 6.0  |
| Errors and omissions                             | -0.5                | 2.3  | -0.4 | 4.2  | -1.2 | -0.3 | 1.1   | -0.3  | 0.0   | -1.2 | 0.9  | 0.1  |
| Overall balance                                  | -0.6                | 1.9  | 2.8  | 5.4  | 0.6  | -2.6 | 1.6   | 0.9   | -1.8  | 1.3  | 1.7  | -1.0 |

Source: Senegalese authorities and IMF staff calculations

**2. Despite a favorable enabling environment for exports, Senegal’s export sector has not gained market share.** Senegal’s share of world exports has been relatively flat over the past decade (Figure 1). This outcome is somewhat surprising considering that Senegal enjoys a strategic geographic position and a relatively competitive framework for exports, including

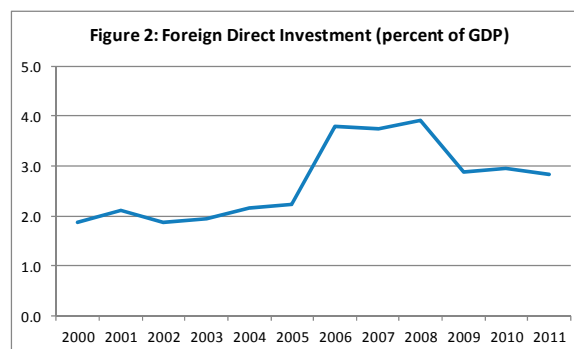


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the absence of taxes on exports and low shipping costs.<sup>1</sup>

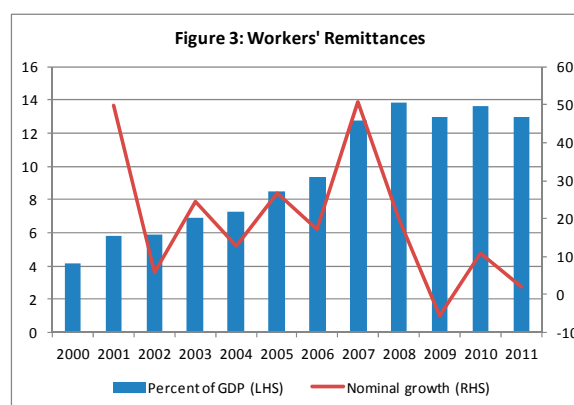
### 3. Foreign direct investment in Senegal has increased somewhat in recent years, but remains low compared to comparator Sub-Saharan African countries.

Inward FDI averaged about 2 percent of GDP from 2000-2005 before spiking in 2006 (Figure 2). For the last three years, FDI has averaged about 3 percent of GDP, compared to over 7 percent of GDP on average in other lower-middle-income Sub-Saharan African (LWI SSA) countries, as classified by the World Bank.<sup>2</sup>



### 4. Workers' remittances are an important and relatively stable source of foreign exchange.

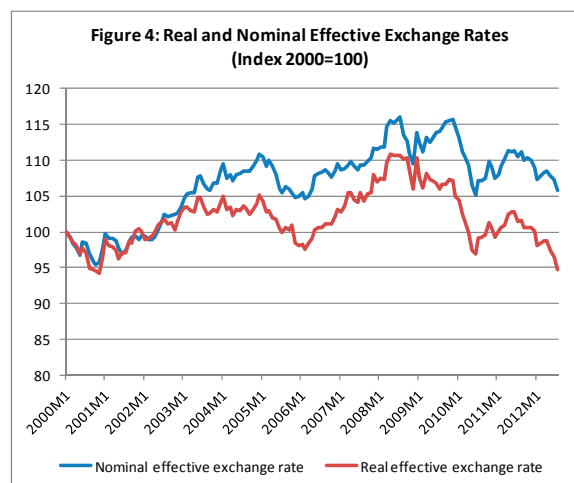
Remittances have grown every year since 2000, with the exception of 2009, when they fell 6 percent following the onset of the global financial crisis (Figure 3). In 2011, remittances were equal to 13 percent of GDP, equal to nearly half of exports of goods and services and more than four times FDI inflows.



## EXCHANGE RATE

### 5. The real exchange rate has depreciated 6½ percent over the last year, reaching its lowest level in over a decade.

Both the real and nominal effective exchange rates (REER and NEER) appreciated about 10 percent from 2006 to 2009, contributing to an erosion of price competitiveness. During the first half of 2010, however, the REER and NEER fell sharply due to weakness of the euro. Following a brief period of appreciation, the weakening trend has resumed over the past year.



<sup>1</sup> Senegal's best score in the 2013 Doing Business report is in the "Trading Across Borders" category, which measures the time and cost of exporting and importing a standardized cargo of goods. Senegal ranked 67 out of 185 countries in this category.

<sup>2</sup> Other lower-middle-income Sub-Saharan African countries consist of Cameroon, Cape Verde, Republic of Congo, Cote d'Ivoire, Ghana, Lesotho, Nigeria, Sao Tome and Principe, Swaziland, and Zambia.

## 6. The real exchange rate is broadly in line with Senegal's macroeconomic fundamentals.

The REER was assessed using three complementary methodologies developed by the Consultative Group on Exchange Rates (CGER). The results, summarized in Table 2, show no conclusive evidence that the real exchange rate is overvalued or undervalued. This finding is consistent with the exchange rate assessment made for the WAEMU as a whole in 2012.

**Table 2: Real Effective Exchange Rate Assessment**

| Methodology                    | REER misalignment <sup>1</sup> |
|--------------------------------|--------------------------------|
| Macroeconomic balance          |                                |
| Lee et al. (2008)              | -1.2%                          |
| Vitek (2012)                   | 0.0%                           |
| Equilibrium real exchange rate | -8.5%                          |
| External sustainability        | 3.2%                           |

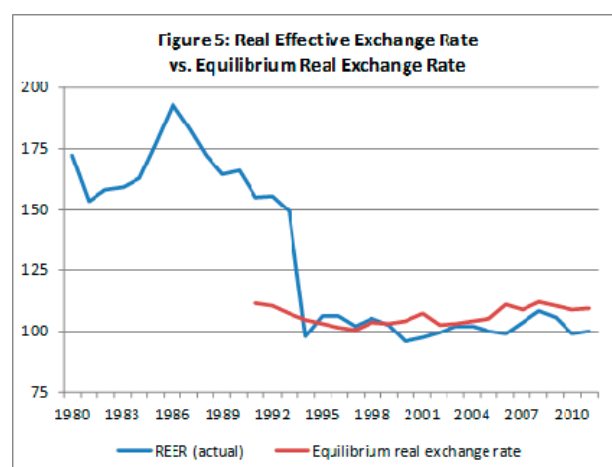
<sup>1</sup> "-" signifies undervaluation.

## Macroeconomic balance approach

**7. The macroeconomic balance approach calculates the difference between the current account balance projected over the medium term (the "underlying" current account) and an estimated current account "norm" based on projected values of medium-term economic fundamentals.** The exchange rate adjustment that would eliminate this difference over the medium term is then calculated using an estimated elasticity of the current account with respect to the real exchange rate. Senegal's current account norm is calculated to be between -5.6 and -6.5 percent of GDP, based on coefficients estimated by Vitek (2012) and Lee et al. (2008) (Table 3). Assuming a trade balance elasticity of -0.71 for small countries, the difference between the underlying current account and the current account norm indicates an REER misalignment between -1.2 percent and 0.0 percent.<sup>3</sup>

## Equilibrium real exchange rate approach

**8. The equilibrium real exchange rate approach directly estimates an equilibrium exchange rate as a function of medium-term fundamentals.** The exchange rate adjustment needed to restore equilibrium over the medium term is then calculated as the difference between the estimated equilibrium real exchange rate and its current value. In the case of Senegal, the REER at end-2011 was 8.5 percent below its estimated equilibrium value (Figure 5).



<sup>3</sup> See Tokarick, *A Method for Calculating Export Supply and Import Demand Elasticities*, 2009.

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### External sustainability approach

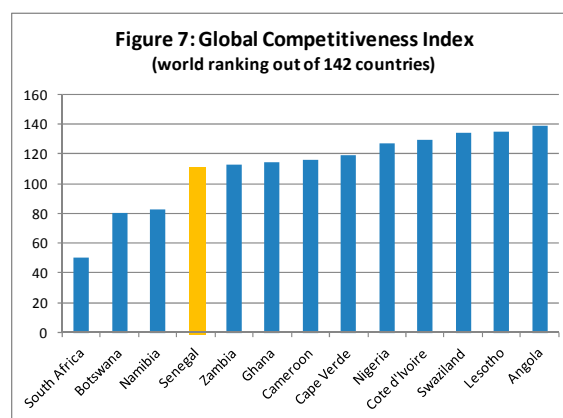
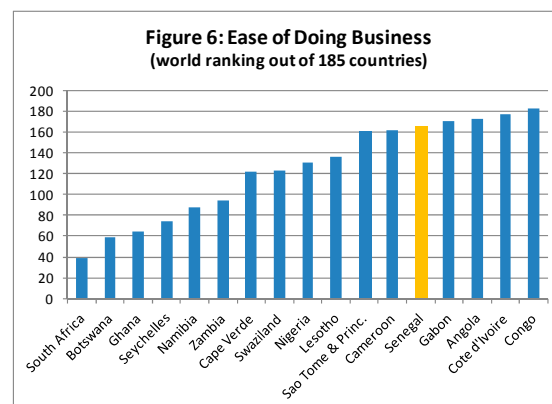
**9. The external sustainability approach calculates the difference between the underlying current account balance and the balance that would stabilize net foreign assets (NFA) at some benchmark level.** Using the same elasticity as in the macroeconomic balance approach, the exchange rate misalignment is equal to the adjustment necessary to bring the underlying current account in line with its NFA-stabilizing level. The current account balance necessary to stabilize Senegal's NFA-to-GDP ratio at its 2010 level (-48 percent) is estimated to be -3.4 percent compared to an underlying current account of 6.0 percent. Applying a trade balance elasticity of -0.71 implies a 3.2 percent REER overvaluation.

## STRUCTURAL COMPETITIVENESS

**10. Senegal's competitiveness depends critically on improving the business environment.** Although Senegal has taken steps in recent years to improve the business environment, a number of competitiveness indicators suggest that much more needs to be done. According to various surveys, the business environment is notably hampered by poor investor protection, cumbersome procedures for paying taxes and registering property, inadequate supply of infrastructure, difficulty accessing financing, and corruption.

- In the 2013 edition of the World Bank's Doing Business report, Senegal ranks 166 out of 185 countries. Its worst ranking (180) is in the getting electricity category. Other categories where Senegal scores poorly include paying taxes (178), registering property (173), and protecting investors (169). Senegal ranks below most other lower- and upper-middle-income Sub-Saharan countries (Figure 6).
- The World Economic Forum ranks Senegal 111 out of 142 countries in its 2011-2012 Global Competitiveness Report (Figure 7). Weaknesses identified by the report include infrastructure (122), health and primary education (119), and higher education and training (110). The highest rankings are for business sophistication (86) and innovation (53).

Senegal's government effectiveness, as measured by the World Bank's Governance Indicators, is slightly below average compared to lower- and upper-middle-income Sub-Saharan countries and has been trending downward over the past decade (Figure 8).

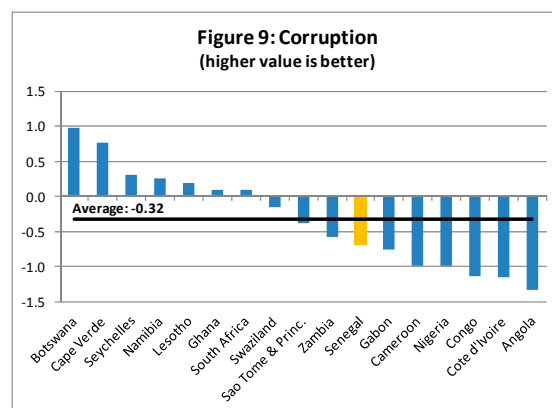
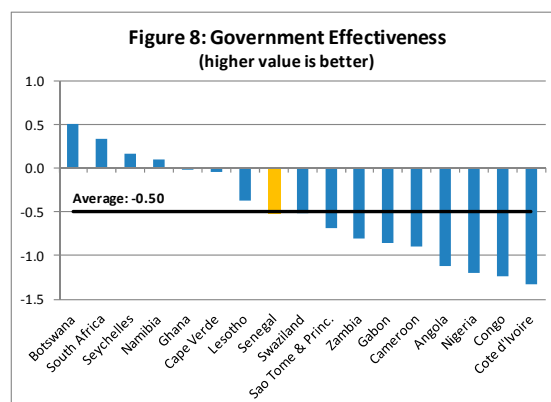


- By several measures, corruption remains a problem. The World Economic Forum identifies corruption as the second most problematic factor for doing business in Senegal. Transparency International ranks Senegal 112 out of 182 countries in its 2011 Corruption Perception Index. Based on the World Bank's Governance Indicators, corruption in Senegal is worse than average compared to lower- and upper-middle-income Sub-Saharan countries (Figure 9).

## RESERVE ADEQUACY

### 11. Foreign exchange reserve coverage appears adequate by traditional metrics.

Reserves are pooled among WAEMU countries, and therefore reserve adequacy must be assessed at the regional level. Reserves amounted to CFAF 7,445 billion at end-2011, equal to more than 6 months of imports, 60 percent of broad money, and close to 100 percent of short-term domestic liabilities. Moreover, the peg to the euro is guaranteed by the French Treasury—an important factor that mitigates risk.



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## External Position Assessment Matrix

|                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|---------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Current account</b>                            | <p><b>Background.</b> The domestic saving rate is low, while investment needs are high. Despite large remittances, this generates high current account deficits, which are covered to a large extent by aid. The deficit has increased significantly in the past two years, reflecting a number of exogenous factors (e.g., oil prices, drought) and higher fiscal deficits.</p> <p><b>Assessment.</b> The current account deficit needs to decrease in the next few years to remain financeable and reduce dependency on aid, which may be reduced with fiscal consolidation in advanced economies; fiscal consolidation will play an important role to achieve this.</p> | <p><b>Overall assessment.</b> The external position has weakened recently, and is weaker than desirable, even though risks appear manageable at this juncture. Low savings relative to substantial investment needs imply substantial current account deficits. External liabilities are significant and growing.</p> <p><b>Potential policy responses</b><br/>Fiscal consolidation and prudent borrowing should help reduce external vulnerabilities. The real exchange rate is in line with fundamentals, but structural reforms would boost growth, increase competitiveness, and reduce further external vulnerabilities.</p> |
| <b>Real exchange rate</b>                         | <p><b>Background.</b> Senegal is part of the WAEMU. The CFA franc is pegged to the euro, which depreciated significantly in recent months.</p> <p><b>Assessment.</b> The three CGER methods do not suggest a significant misalignment (with results based on end-2011 data ranging from -8 to +4 percent). These findings are in line with those for the WAEMU. While the level of the real exchange rate is not an issue, competitiveness could increase through structural reforms to improve the business environment</p>                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Capital account: flows and measures</b>        | <p><b>Background.</b> Official flows (both program and project) have accounted for a significant share of financing in recent years. FDI and portfolio investment are less significant. The overall balance of payments recorded a deficit last year, and is expected to record another one this year.</p> <p><b>Assessment.</b> The sustainability of capital account flows depends mainly on donor and market sentiment toward Senegal's government, which depends on forceful fiscal consolidation and implementation of structural reforms to boost growth.</p>                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Foreign exchange intervention and reserves</b> | <p><b>Background.</b> At the WAEMU level reserves amount to over 6 months of imports, 60 percent of broad money, and 100 percent of short-term debt. Common reserves can be used to finance the needs of individual WAEMU countries.</p> <p><b>Assessment.</b> The level of foreign exchange reserves of the WAEMU is adequate.</p>                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Foreign asset and liability position</b>       | <p><b>Background.</b> Gross external debt is relatively low (at 30 percent of GDP) but has increased substantially in the past few years. It consists mainly of concessional loans from official creditors.</p> <p><b>Assessment.</b> The net IIP position at -30 percent of GDP in 2012 currently presents limited risk, but the DSA shows that fiscal consolidation is required to stabilize it.</p>                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

## ANNEX VI. LETTER OF INTENT

Dakar, Senegal  
November 22, 2012

Mrs. Christine Lagarde  
Managing Director  
International Monetary Fund  
700 19th Street, N.W.  
Washington, D.C., 20431  
USA

Madame Managing Director,

1. The attached Memorandum of Economic and Financial Policies (MEFP) reviews the implementation at end-June 2012 of the government's three-year macroeconomic and structural program (2010–2013) supported under the Policy Support Instrument (PSI). The memorandum also sets out the macroeconomic objectives for the remainder of 2012 and for 2013 and updates the structural reforms monitored under the program.
2. The government is satisfied with progress made in the implementation of the program and requests completion of the fourth review. All of the program's quantitative assessment criteria for end-June 2012 have been met. As a result of efforts to control public spending, the fiscal deficit at end-June 2012 was met by a substantial margin. All the structural benchmarks were met, although some of them needed more time than expected. Significant progress has also been made in implementing structural reforms.
3. The government is strongly committed to pursuing its efforts to control public spending with aim of reducing the fiscal deficit to levels consistent with debt sustainability. In this context, and taking into account recent fiscal developments, we are targeting a fiscal deficit of below 6 percent of GDP in 2012 and suggest modifying the relevant assessment criterion accordingly. The budget proposal submitted to Parliament for 2013 sets the deficit at 4.9 percent of GDP. The efforts to control the fiscal deficit will be pursued over the medium term. Reconciling this objective with the development needs of the country will require greater efficiency in public spending, a major undertaking we fully embrace.

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4. More generally, reforms will be pursued to improve transparency, public governance and promote private sector development. In this context, the government proposes to reprogram the structural benchmark on action plan for the restructuring of government agencies from end-2012 to end-July 2013.

5. The government believes that the policies and measures set forth in the attached MEFP are appropriate to achieve the objectives of the PSI-supported program. Given its commitment to macroeconomic stability and debt sustainability, the government will promptly take any additional measures needed to achieve the objectives of the program. The government will consult with the IMF—at its own initiative or whenever the Managing Director of the IMF requests such a consultation—before the adoption of any such measures or in the event of changes to the policies contained in the attached MEFP. Moreover, the government will provide the IMF with such information as the IMF may request in connection with the progress made in implementing the economic and financial policies and achieving the objectives of the program.

6. The government authorizes the IMF to publish this letter, the attached MEFP, and the Staff Report relating to the current review.

Sincerely yours,

/s/

Amadou Kane

Minister of Economy and Finance

Attachments: - Memorandum of Economic and Financial Policies (MEFP)  
- Technical Memorandum of Understanding (TMU)



# ATTACHMENT I: MEMORANDUM OF ECONOMIC AND FINANCIAL POLICIES

Dakar, November 22, 2012

## I. INTRODUCTION

**1. The government is pleased to have met its commitments in challenging circumstances and remains determined to pursue the program objectives.** The government has: (i) provided support for the rural environment, affected by the consequences of a poor crop year 2011/2012; (ii) worked to reduce prices for essential food staples (rice, oil, and sugar); (iii) taken steps to reduce the cost of running the government and streamline public expenditure; and (iv) continued the reforms in the energy sector. Furthermore, the government is pressing ahead with implementation of the program supported by the Policy Support Instrument (PSI) and broadly shares its objectives.

**2. This memorandum updates the PSI program over the period 2012–13.**<sup>1</sup>The four main objectives of the program are as follows: (i) conduct a cautious policy in the area of public finance and borrowing to preserve macroeconomic stability; (ii) raise revenue to generate more fiscal space to finance priority spending; (iii) further strengthen PFM and governance; and (iv) promote private sector development through structural reforms. The MEFP includes three sections. The first covers recent economic developments and program performance. The second section focuses on macroeconomic objectives for the remainder of 2012, 2013, and the medium term, as well as macroeconomic policy and structural reforms. The final section summarizes proposed changes in program monitoring.

## II. RECENT ECONOMIC DEVELOPMENTS AND PROGRAM IMPLEMENTATION

**3. Recent macroeconomic developments have been broadly in line with program assumptions.** The year 2012 was characterized by a challenging pre-election environment in the country, sluggish economic activity in the first quarter exacerbated by sociopolitical tensions in Mali and Guinea-Bissau, social demands resulting from the poor harvest, and high prices for essential food items. However, economic activity in the non-agricultural sector, as measured by the general activity index, recorded an upturn of 2.3 percent year-on-year during the first half of 2012. Overall, the projected increase in real GDP in 2012 was revised slightly downward, from 3.9 percent to 3.7 percent, after 2.6 percent in 2011. Inflation

<sup>1</sup> The content of this program was set out in the initial MEFP of November 10, 2010, and in the MEFPs of May 19, 2011, December 2, 2011, and June 22, 2012.

turned out at 1.5 percent over the first six months of 2012, driven by rising prices of nonalcoholic beverages and foodstuffs, in particular unprocessed cereals. External merchandise trade was

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characterized over the first half of the year by a substantial increase in imports (approximately 34 percent, mainly foodstuffs and petroleum products), as well as by a slight downturn in exports. Credit to the economy grew sharply over one year (almost 17 percent), while the money supply expanded by just 5 percent.

**4. Program implementation has been satisfactory.** All quantitative assessment criteria and indicative targets for the program at end-June 2012 were met, including the target for the budget deficit owing to efforts to curb government expenditure. The implementation of all structural reforms is also making significant headway:

(i) An action plan on subsidies for electricity consumers was prepared and adopted in October 2012;

(ii) An operational and financial restructuring plan for SENELEC was prepared and adopted in November 2012 with a view to its immediate implementation;

(iii) A medium-term debt management strategy was prepared and finalized by September 30, 2012;

(iv) The new general tax code was finalized and submitted to parliament in November 2012;

(v) The draft law on transparency was adopted at a meeting of the Council of Ministers and submitted to parliament, and the decree on the transposition of the WAEMU directive on budget nomenclature has been signed.

**5.** The government has continued its efforts to reduce the cost of running the government and streamline public institutions; the abolition of the upper chamber of parliament (the Senate) reflects this policy and illustrates our commitment to reform.

### III. MACROECONOMIC POLICY AND STRUCTURAL REFORMS FOR THE REMAINDER OF 2012, 2013, AND THE MEDIUM TERM

#### A. Medium-term Objectives

**6.** Senegal's development strategy is designed to ensure that Senegal becomes an emerging economy, committed to the values of solidarity and self-respect, respect for others and the commonwealth, justice, fairness, and a sense of duty. The new National Strategy for Economic and Social Development (NSES) was completed in November 2012.

#### B. Macroeconomic Context for 2013

**7.** Unfortunately, the external environment is expected to remain not very supportive. Despite the modest upturn in the global economy expected in 2013, high oil and cereal prices, as well as social and political tensions within the subregion (in Mali and Guinea-Bissau), will continue to have an adverse effect on economic activity, external accounts, and public finances in Senegal.

**8. Notwithstanding the sluggish international environment, GDP growth is expected to tick up to 4.3 percent in 2013.** This upturn would be supported primarily by the coming on-stream of major projects in the electricity, road and highway sectors, the improvement of electric power distribution, the continued recovery of the agricultural sector, the implementation of the Grande Côte heavy ores project (zircon) and the Golouma and Massawa gold mine projects, the launching of projects funded by the Millennium Challenge Account (MCA), as well as the execution of projects in the social sectors. Inflation is expected to remain moderate at around 2 percent in 2013. The current account deficit of the balance of payments, although declining, is expected to remain high because of imports related to investment in the energy and mining sectors. The overall balance of the balance of payments is expected to record a slight deficit.

**9. The risks remain mainly on the downside.** A resurgence of the euro zone crisis and global stagnation are primary downside risks for the Senegalese economy. Other downside risks are rising oil prices, food security (rising international prices of cereals and the threat of locusts), as well as spreading instability from Mali. Domestically, the main risks are related to flooding driven by poor sanitation, delays in implementation of energy sector reforms, and possible resistance to government reform or to improvements in the quality of public expenditure, which could adversely affect the objective of keeping public finances under control.

**10. The progress recorded and new challenges** in implementing the main measures under the program are presented in the remainder of this section, grouped in accordance with the four main objectives of the program.

### **C. Pursue Prudent Public Finance and Debt Policies to Safeguard Macroeconomic Stability**

**11. The objective of controlling the budget deficit for 2012 remains unchanged.** This is a key commitment for the new government, which intends to proceed along the lines set during the third program review, in spite of challenging circumstances. Recent developments in international oil prices point to smaller than anticipated revenue losses associated with the stabilization of domestic oil prices; we intend to earmark these savings for reducing the budget deficit. Delays in implementation of certain investments in the energy sector partly explain why the deficit will be lower than the target of 6.4 percent of GDP. This reduction in the deficit will also make it possible to reduce reliance on borrowing in the regional market, which is quite costly.

**12. Substantial efforts to reduce the cost of running the government are in progress.** The commitment to reducing the cost of running the government is reflected in a smaller cabinet, the abolition of agencies, and the streamlining of diplomatic services. Additional savings are expected from the abolition of the Senate and the office of the Vice-President. For permanent expenditures, all mobile telephone lines—apart from certain lines used by the defense, security, and justice services—were suspended on May 1, 2012, with new subscriptions established on a case-by-case basis involving restrictions on the number of beneficiaries and usage ceilings. A physical audit of landlines, conducted by the General Inspectorate of Finance, is

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in progress. The hundred largest water consumers in government have been identified and monitored closely with a view to achieving significant savings in the central government's water bill. Efforts to enhance the accuracy of records have also been made and strengthened for water and electricity, and focal points for the monitoring of permanent expenditures have been appointed by ministers.

**13. These efforts will continue in 2013 and will contribute to the reduction of the budget deficit.** In accordance with the commitments undertaken by the new government to ensure fiscal sustainability, the budget deficit will be reduced to less than 5 percent of GDP in 2013. As indicated in the general policy statement of the Prime Minister to the National Assembly, the government intends to carry out its actions from a medium-term perspective and to conduct a budget policy designed to meet the country's development needs, while limiting the increase in public debt. Reconciling these objectives will require greater efficiency in public expenditure.

**14. In the context of efforts to streamline government expenditure and gain long-term control over the budget deficit, several actions have been carried out, and others are planned, in particular:**

- **In the education sector**, a performance-based university financing project designed to improve management in higher education is currently being finalized. Of the five performance contracts envisaged between the government and universities, three have already been signed and two others will be signed shortly. Specific actions have been identified—in particular, the approval of a financial framework for universities, the proposal for which has already been prepared, as well as efforts to achieve budgetary equilibrium for universities based on information derived from planned audits of their resources, expenditures, and procedures. The flows of extrabudgetary resources generated by universities and their management will undergo more effective regulatory supervision. These rationalization efforts will continue with support from the World Bank, and their findings are expected by end-December 2012. Temporarily, with respect to scholarships and education allowances, negotiations are in progress—on the basis of actions already identified—with a view to ensuring that the relevant budget outlays can be kept within manageable bounds during the period 2013-2014. The more extensive access to banking services has already allowed for more effective management of data on scholarship holders. On the basis of the findings of the scholarship audit planned with World Bank financing, discussions are in progress to identify measures to rationalize the distribution of scholarships, as well as to monitor and supervise them.
- In the **health sector**, efforts to improve the efficiency of hospitals will be supported by the gradual introduction and more widespread use of performance contracts between these autonomous public entities, the health ministry, and the finance ministry by end-2014. Grand Yoff General Hospital will be the priority for the year 2012.
- **A physical and biometric audit of government employees is in progress and will be completed by end-June 2013.** The wage bill should be automatically integrated into

SIGFIP upon the effective implementation of the new payroll management software, scheduled for end-August 2013, after a period of a parallel use with the existing system.

**15. Work is in progress to extend the social safety net, guarantee a minimum income for the most vulnerable families, and phase out generalized subsidies for energy and food prices.** Results achieved in foreign countries, such as Brazil, show that it is possible to target the most vulnerable and disadvantaged groups of population on the basis of simple criteria. Senegal's own experience, acquired in conjunction with the World Bank, focused on the 2008 implementation of the Nutrition Enhancement Program (NEP), followed by the introduction of the project for "rapid intervention for nutritional security and money transfers or NETS)". The government will accordingly create a viable and sustainable mechanism to support the most disadvantaged families; this mechanism's feasibility will have been proven in advance. Allowances will be granted to such families in the form of a direct food subsidy and/or a family subsidy allowance. The targeting process will pay particularly close attention to rural and suburban households. With the decrease in household taxation, this mechanism will help to reduce gradually generalized subsidies for the prices of energy and food products, which constitute ineffective and more costly methods of supporting communities. At the same time, a mechanism for extending the social protection system—specifically, health insurance—will be established for informal sector workers. The Autonomous Fund for Universal Social Protection, to be implemented as of 2013, will help finance this initiative, as well as the Universal Health Coverage initiative.

**16. The initial medium-term debt strategy (MTDS) was recently prepared by the new public debt directorate,** in collaboration with the full range of entities involved in debt issues. On the basis of an in-depth diagnostic assessment, the strategy recommends reprofiling the debt, while gradually reducing the proportion of short-term instruments in domestic debt. The government intends to pursue this course of action carefully, based on regional market circumstances. Reliance on concessional borrowing will have priority, in accordance with the recommendations set forth in the borrowing strategy. However, in light of financing constraints, the government intends in 2013 to use the remainder of the program envelope for nonconcessional borrowing (\$200 million), as well as the envelope for semiconcessional borrowing, to finance infrastructure investment. The debt database will be completely centralized by end-2012.

## **D. Raise Revenue to Create More Fiscal Space for Financing Priority Spending**

**17. The new tax code has been submitted to Parliament and is expected to enter into force on January 1, 2013.** Tax reforms have been carried out transparently in a fully participatory approach. This inclusive approach began with requests for input, culminating in recent calls for comment on the provisional version of the draft of the new code; private sector and labor union representatives contributed to the technical work. As a result of these reforms, Senegal will have a tax system that is more simple, more equitable, and more efficient. A more favorable general regime will be put in place instead of the existing system, including inter alia a substantial rollback of tax exemption regimes, almost all of which will be incorporated into the

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new framework. With respect to the VAT, the new code is designed to make the system more neutral and more efficient. There are also plans to phase out the prepayment system in accordance with a three-step timetable; as of January 1, 2013 for taxpayers enrolled in the large enterprises center (CGE), as of January 1, 2014 for taxpayers listed at the medium enterprises center (CME), and as of January 1, 2014 for those taxpayers covered by other tax service centers. At the same time, the system for refunding VAT credits is being reformed in order to enhance its flexibility (shorter processing times for “citizen” enterprises, those engaging primarily in exports or those carrying out externally-funded contracts or other agreements), and their practical details (refund by check or bank transfer). Finally, the taxation system for individuals will be reformed and simplified.

**18. Implementation of the tax administration modernization plan is continuing and is being regularly monitored** by the General Directorate of Taxes and Government Property (DGID). The CME became operational in July 2012. Further structural reforms will be introduced, with the reorganization of the field offices of the DGID in order to institutionalize the distinction between functional and operational directorates (interregional directorates). A steering committee has been set up to put these measures into practice, and the DGID is on track to create the planned services in December 2012. Furthermore, computerization of the DGID will gather momentum inasmuch as e-filing and e-payment will be in operation at the future large enterprises directorate in June 2013, at other Dakar centers in December 2013, and in regions outside Dakar by December 2014.

**19. The General Directorate of Customs (DGD) is continuing to implement the reforms included in the 2011-2013 Strategic Plan** and defined in the form of commitments in the performance contract signed with the Ministry of Economy and Finance (see the MEFP of June 22, 2012). Cooperation between the DGID and DGD has been strengthened, with the August 29, 2012 signing of a memorandum of understanding on exchange of information which complements the obligation, already in effect, to use NINEA (national registration number for enterprises and associations) in customs operations. In the context of efforts to improve the DGD’s contribution to domestic budget resources, an action plan for the mobilization, collection, and support of customs revenues generated by current imports has been implemented. This plan focuses inter alia on collection of suspended VAT, compliance with the periods of time which goods are stored in bonded warehouses, and the control of economic regimes. Furthermore, in the context of efforts to streamline tax expenditures, the proposed reform Decree 83-504 of May 17, 1983 on the conditions for applying duty-free entry has made progress and has been incorporated into the reform of the Customs Code, whose technical finalization is scheduled for December 2012 and which is expected to be submitted to parliament by end-June 2013 (new structural benchmark). On this point, the procedure joint with the DGID included in the General Tax Code is expected to result in a reduction of the revenue losses associated with exemptions.

## E. Strengthen Public Financial Management and Governance

**20. Senegal has made considerable progress in transposing the new WAEMU directives on government finance.** The process is expected to be completed by end-December 2012 with the adoption of the draft law related to the code of transparency in fiscal management. An order adopted by the Prime Minister, announced in Decree 2012-673 of July 4, 2012 establishing government budget nomenclature, will set forth the annex pertaining to ministries' programs and allocations for constitutional institutions. To initiate the entry into force of the new regulatory framework resulting from this transposition, prior actions will include a learning period during which certain operations will be performed on a test basis with no legal impact, while assessing the complex innovations to precisely identify the various required changes to ensure a successful outcome. Accordingly, in 2013, in addition to the official documents associated with the budget law for the year, the authorities, in the interest of guidance and learning, will develop draft program budgets and multiyear expenditure programming documents for the ministries in charge of ecology and justice, as well as a 2013–2015 Multiyear Budgetary and Economic Programming Paper. The proposed World Bank project in support of fiscal reforms has already taken into account the need for the main studies, and included them among its activities scheduled for 2012. These include: (i) the diagnostic assessment of the institutional and legal changes arising from the new WAEMU directives on government finance; (ii) studies on the feasibility of decentralizing the expenditure authorization process and the evolving role played by supervision over government financial operations; (iii) communication and outreach efforts relating to the new public management and its implications for policymakers; (iv) training for financial and sectoral authorities, and nonstate actors regarding the strengthening of citizen control of public affairs; and (v) customization of IT applications in the areas of budget management (SIGFIP) and accounting (ASTER).

**21. Efforts to improve PFM are continuing in other areas.** With respect to the certification of public accounts, the draft budget execution law for 2011 will be submitted to the National Assembly during the first regular session that began in October 2012. With regard to the delays encountered in the review of the budget execution statements of public accountants, the Audit Court will address the delays dating back to 2002. The Audit Court will also ensure that executing agencies and other similar entities governed by the rules and regulations on public accounting regularly file their financial statements, or will be subject to applicable penalties. Finally, the government has submitted to the National Assembly the new draft organic law on the Audit Court.

**22. Significant progress has been recorded in supervising the financial management of agencies.** Transfers were centralized in 2011 with deposit accounts opened on the books of the Public Treasury. A financial and accounting framework has been set up, government accounting officers have been appointed, and the provision of subsidies is contingent on quarterly cash-flow plans; efforts in these areas will continue. In regard to the rationalization of agencies and other government entities, the assessment commission started its activities by conducting, at the first stage, a comprehensive survey of agencies and similar entities. On that basis, an initial decision to abolish 8 agencies was taken in 2012 and is currently being carried out. The sector will be streamlined more thoroughly on the basis of the recommendations made in the in-depth



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assessment study conducted by the national commission with assistance from the World Bank. As the launch was somewhat delayed, the study may not be completed until June 2013, when it will be shared with Fund staff. The government's action plan will be adopted by end-July 2013. In order to achieve immediate reductions in agency operating costs, the government intends to cap the remuneration of general directors. The financial supervision and governance of the parastatal sector by the Ministry of Economy and Finance will be strengthened.

**23. The process of enhancing transparency in real estate transactions and advertising sales and transfers of holdings of the government's land is continuing.** By end-January 2013, the government will publish on a website accessible for the public all information relating to the number of files involving final property sales and transfers from government holdings, indicating the land areas sold, the geographic location of the land, and the corresponding revenue received. The restructuring of the real estate holdings is already under way after a thorough diagnostic assessment, and will lead to the creation of the Directorate of Land and Government Property Affairs as of December 2012. The Urban Property Management Support Project (*PAGEF*) is primarily designed to computerize government property management. The DGID (i) is to embark upon and correctly carry out the comprehensive real estate management computerization process. Accordingly, an action plan will be put in place and implemented beginning in January 2013; (ii) it will record and track all government property revenues in SIGTAS as of June 2013; (iii) it will conduct an inventory of government property, with a view to preparing the general table of government property holdings to achieve greater transparency, by December 2013.

**24. Cost-benefit analysis will be used more systematically in the draft budget law for 2014.** The evaluation guide is currently being prepared, and will start to be used in early 2013. All investment projects exceeding CFAF 10 billion to be included in the draft budget for 2014 will undergo ex ante cost-benefit assessment using the guide. These assessments will be shared with Fund staff upon request.

**25. The implementation of the single treasury account is continuing, despite certain difficulties.** Only six banks responded to the circular from the Ministry of Economy and Finance requesting information on bank accounts. The following resolutions have been adopted to gather the necessary information and comply with the commitment to finalize the Single Treasury Account in February 2013: (i) ensure that accounting personnel at agencies transmit information on bank accounts to which they have access; (ii) make direct contact with the management of banks, with assistance from the Directorate of Money and Credit. A report on the status of implementation will be produced by the Parastatal Sector Directorate by end-November 2012.

## F. Private Sector Development

### Energy sector

**26. Execution of investments under the emergency plan for restructuring and reviving the energy sector has been delayed.** Because of this the introduction of more efficient units that are intended to replace the leased units has also been delayed. The component pertaining



to aggressive demand management has likewise fallen behind schedule. Nonetheless, implementation of the updated investment plan is continuing with the power plant rehabilitation program, and envisages installing more efficient heavy fuel power plants, accelerating the coal-fired power station projects (375 MW between 2014 and 2017), and introducing natural gas and renewable sources of energy (solar and wind power plants) into the energy mix.

**27. A plan for the operational and financial restructuring of SENELEC has been prepared.** On the basis of the financial evaluation of SENELEC, prepared on the basis of provisional financial statements for 2011, a financial restructuring plan has been adopted. The plan first envisages strengthening equity, in particular through the settlement of cross-debts (and conversion of net debt into equity) involving SENELEC, the government, and the Deposits and Consignations Fund, in addition to registering in accounts investments made by the government as investment subsidies. Efforts will be made to obtain debt relief for SENELEC, including through rescheduling negotiations with creditors and suppliers. With respect to operational restructuring, the performance indicators used to achieve sustainable increases in operation are the optimization of the various power plants, reduction of grid losses, reduction of operating costs, efforts to combat fraud, improvements in billing, and reduction of payment delays. In addition, a 2013-2015 performance contract between the government and SENELEC based on this restructuring plan is currently being finalized and is scheduled to take effect as of January 1, 2013.

**28. The government's short-term objective is to ensure the quality of electricity supply while limiting subsidies that weigh heavily on public finances and impede efforts to finance other priority actions.** The government intends to limit the electricity consumption subsidy to CFAF 80 billion in 2013. At current international oil prices, capping this subsidy will assume savings of approximately CFAF 45 billion which will require not only considerable efforts to control costs of the SENELEC, but will also make it necessary to revise the electricity tariff. Accordingly, tariff adjustments are under consideration for certain categories of consumers, while having in mind the need to protect low-income households and safeguard the competitiveness of the economy. In the medium term, the introduction of more efficient production units will make it possible to lower costs, which will be beneficial for all consumers.

## **Financial sector**

**29. The financial system has continued to deepen in recent years with no major negative impact on the system's stability.** Micro-finance institutions (decentralized financial systems) have improved access to financial services for households and SMEs. The microfinance sector, which has developed very rapidly, has undergone in-depth restructuring in recent years. Capacity constraints and weak supervisory mechanisms at certain decentralized financial systems, as well as the high degree of market concentration, call for careful monitoring by supervisors. Banks are increasingly diversifying their customer base by offering more affordable basic services to the middle class and to SMEs, as a result of the entry of new banks and heightened competition on the market. This development poses no risk for bank stability at present. The main risk for banks is that their portfolios are concentrated among a handful of borrowers, including the government. Certain risks emanating from the growing interconnection of financial

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institutions (banks and insurance, banks and decentralized financial systems) should be evaluated, and strengthened surveillance may be required.

**30. Most impediments to greater financial deepening have been clearly identified.** In particular, these constraints include the legal environment, as well as the problems pertaining to information on the operating risks facing SMEs, which have been explicitly recognized in the national dialogue on SME access to credit. The ensuing action plan has focused on facilitating the use of collateral, the need to enhance the availability of information on customers, while lowering certain taxes to reduce the cost of credit, and improving the legal environment to streamline disputes. The implementation of the plan has been delayed, in spite of a number of important achievements such as the adoption of the law on leasing. The constraints identified at the national level are being monitored by the National Committee in charge of the action plan. Assessment of all the recommendations pertaining to banking regulation and, if necessary, their implementation may be accelerated by the WAMU authorities.

**31. Reforms in the financial sector will be accelerated to deepen further the financial sector and facilitate access to the financial sector by SMEs and households.**

- *Implementation of a regulatory framework conducive to the creation of private credit registers.* The preferred course of action is a regional approach based on the work already begun by Senegal. The BCEAO will prepare a WAEMU-wide draft text to regulate the activities of credit bureaus.
- *Development of financial leasing.* The new general tax code will correct the tax distortions adversely affecting leasing activity in Senegal.
- *Diversification of financial products.* After the reform of financial leasing, the government will pursue its policy of diversifying financing instruments by promoting alternative products, particularly factoring. In this respect, there are plans to conduct a study to identify and overcome all of the obstacles impeding the development of factoring in Senegal.

### **Other Prerequisites for Improving the Business Climate, Governance, and Competitiveness**

**32. Stronger growth will require increased private sector competitiveness and further improvement of the business climate.** Numerous reforms have been introduced in recent years but have not yet been fully implemented. Efforts will accordingly be made to educate and train the relevant authorities. The simplification of administrative procedures will continue. Emphasis will be placed on: (i) lowering production costs, and in particular on ensuring easier and more affordable access to land; (ii) reforms focusing on the status of the “entrepreneur” specified by the new OHADA Uniform Act, entailing gradual reforms of the informal sector and the emergence of a range of SMEs engaged in the production of goods and services; and (iii) the computerization of the construction permit procedure or TELEDAC in an effort to achieve simplified and more transparent procedures in this area, along with faster processing times. Quantitative targets will be set on the basis of the indicators included in the Doing Business survey, with a view to boosting the score in the years ahead.

### III. PROGRAM MONITORING

**33. The budget trends described above led to the downward revision of the budget deficit target for 2012 (from 6.4 percent to 5.9 percent of GDP) and we suggest modifying the relevant assessment criterion accordingly.** Quantitative assessment criteria for end-June 2013 and indicative targets for end-March 2013, end-September 2013, and end-December 2013 have been proposed. The same applies to the structural benchmarks shown in Table 2 of the MEFP. It is proposed to reschedule the benchmark on the action plan for agency restructuring from end-2012 to end-July 2013. It is proposed to broaden the scope of investment expenditures which could be financed through nonconcessional borrowing to road infrastructure (not only the highway) and urban water and sanitation. The fifth review of the PSI should normally be completed by end-June 2013 and the sixth review by end-December 2013.

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Table 1. Quantitative Assessment Criteria and Indicative Targets for 2011–12<sup>1</sup>  
(CFAF billions, unless otherwise specified)

|                                                                                                                                   | December 31, 2011 |      |         | March 31, 2012 |      |        | June 30, 2012 |      |      |        | September 30, 2012 |       |         | Dec. 31, 2012 |
|-----------------------------------------------------------------------------------------------------------------------------------|-------------------|------|---------|----------------|------|--------|---------------|------|------|--------|--------------------|-------|---------|---------------|
|                                                                                                                                   | Prog.             | Act. | Status  | Prog.          | Act. | Status | Prog.         | Adj. | Act. | Status | Prog.              | Prel. | Status  | Rev. prog.    |
| <b>Assessment criteria</b>                                                                                                        |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Floor on the overall fiscal balance <sup>2 3</sup>                                                                                | -427              | -455 | not met | -102           | -70  | met    | -213          | -181 | -102 | met    | 347                |       |         | -425          |
| Ceiling on the contracting or guaranteeing of new nonconcessional external debt by the government (in US\$ millions) <sup>4</sup> | 500               | 300  | met     | 500            | 300  | met    | 500           | ...  | 300  | met    | 500                |       |         | 500           |
| Ceiling on spending undertaken outside normal and simplified procedures <sup>4</sup>                                              | 0                 | 0    | met     | 0              | 0    | met    | 0             | ...  | 0    | met    | 0                  |       |         | 0             |
| Ceiling on government external payment arrears (stock) <sup>4</sup>                                                               | 0                 | 0    | met     | 0              | 0    | met    | 0             | ...  | 0    | met    | 0                  |       |         | 0             |
| Ceiling on the amount of the budgetary float                                                                                      | 50                | 50   | met     | 50             | 49   | met    | 50            | ...  | 40   | met    | 50                 | 51    | not met | 50            |
| Ceiling on nonconcessional debt with a minimum grant element of 15 percent <sup>4</sup>                                           | 44                | 0    | met     | 44             | 0    | met    | 44            | ...  | 0    | met    | 44                 |       |         | 44            |
| <b>Indicative targets</b>                                                                                                         |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Quarterly ceiling on the share of the value of public sector contracts signed by single tender (percent)                          | 20                | 16   | met     | 20             | 14   | met    | 20            | ...  | 11   | met    | 20                 |       |         | 20            |
| Floor on social expenditure (percent of total spending)                                                                           | 35                | 37   | met     | ...            | ...  | met    | 35            | ...  | 35   | met    | ...                |       |         | 35            |
| <b>Maximum upward adjustment of the overall deficit ceiling due to</b>                                                            |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Shortfall in program grants relative to program projections                                                                       | 15                | ...  | ...     | 15             | ...  | ...    | 15            | ...  | -6   | ...    | 15                 |       |         | 15            |
| Shortfall in concessional loans relative to program projections                                                                   | 50                | ...  | ...     | 50             | ...  | ...    | 50            | ...  | -11  | ...    | 50                 |       |         | 50            |
| Shortfall in energy sector and autoroute investment relative to program projections                                               | 50                | ...  | ...     | 50             | ...  | ...    | 50            | ...  | -27  | ...    | 50                 |       |         | 50            |
| <b>Memorandum items:</b>                                                                                                          |                   |      |         |                |      |        |               |      |      |        |                    |       |         |               |
| Program grants                                                                                                                    | 37                | 37   | ...     | 9              | ...  | ...    | 19            | ...  | 13   | ...    | 28                 |       |         | 48            |
| Concessional loans                                                                                                                | 210               | 175  | ...     | 52             | ...  | ...    | 105           | ...  | 94   | ...    | 157                |       |         | 328           |
| Investment in the energy sector and the autoroute <sup>5</sup>                                                                    | 66                | 66   | ...     | 44             | ...  | ...    | 60            | ...  | 33   | ...    | 122                |       |         | 120           |

<sup>1</sup> Indicative targets for March and September 2012, except for the assessment criteria monitored on a continuous basis. See Technical Memorandum of Understanding for definitions. Indicative targets shown in italics.

<sup>2</sup> Cumulative since the beginning of the year.

<sup>3</sup> The ceiling on the overall fiscal deficit will be adjusted in line with the TMU definition.

<sup>4</sup> Monitored on a continuous basis.

<sup>5</sup> Investment in the autoroute plus investment under the plan Takkal financed from internal and external concessional resources.

Table 2. Quantitative Assessment Criteria and Indicative Targets for 2012–13 <sup>1</sup>  
(CFAF billions, unless otherwise specified)

|                                                                                                                                   | December 31,<br>2012 | March 31,<br>2013 | June 30,<br>2013 | September 30,<br>2013 | December 31,<br>2013 |
|-----------------------------------------------------------------------------------------------------------------------------------|----------------------|-------------------|------------------|-----------------------|----------------------|
|                                                                                                                                   | Prog.                | Prog.             | Prog.            | Proj.                 | Proj.                |
| <b>Assessment criteria</b>                                                                                                        |                      |                   |                  |                       |                      |
| Floor on the overall fiscal balance <sup>2 3</sup>                                                                                | -425                 | -94               | -188             | -283                  | -377                 |
| Ceiling on the contracting or guaranteeing of new nonconcessional external debt by the government (in US\$ millions) <sup>4</sup> | 500                  | 500               | 500              | 500                   | 500                  |
| Ceiling on spending undertaken outside normal and simplified procedures <sup>4</sup>                                              | 0                    | 0                 | 0                | 0                     | 0                    |
| Ceiling on government external payment arrears (stock) <sup>4</sup>                                                               | 0                    | 0                 | 0                | 0                     | 0                    |
| Ceiling on the amount of the budgetary float                                                                                      | 50                   | 50                | 50               | 50                    | 50                   |
| Ceiling on nonconcessional debt with a minimum grant element of 15 percent <sup>4</sup>                                           | 44                   | 44                | 44               | 44                    | 44                   |
| <b>Indicative targets</b>                                                                                                         |                      |                   |                  |                       |                      |
| Quarterly ceiling on the share of the value of public sector contracts signed by single tender (percent)                          | 20                   | 20                | 20               | 20                    | 20                   |
| Floor on social expenditures (percent of total spending)                                                                          | 35                   | ...               | 35               | ...                   | 35                   |
| <b>Maximum upward adjustment of the overall deficit ceiling owing to</b>                                                          |                      |                   |                  |                       |                      |
| Shortfall in program grants relative to program projections                                                                       | 15                   | 15                | 15               | 15                    | 15                   |
| Excess in concessional loans relative to program projections                                                                      | 50                   | 50                | 50               | 50                    | 50                   |
| Excess in energy sector and autoroute investment relative to program projections                                                  | 50                   | 50                | 50               | 50                    | 50                   |
| <b>Memorandum items:</b>                                                                                                          |                      |                   |                  |                       |                      |
| Program grants                                                                                                                    | 48                   | 12                | 24               | 36                    | 39                   |
| Concessional loans                                                                                                                | 328                  | 82                | 164              | 246                   | 254                  |

<sup>1</sup> Indicative targets for March and September, except for the assessment criteria monitored on a continuous basis. See Technical Memorandum of Understanding for definitions. Indicative targets shown in italics.

<sup>2</sup> Cumulative since the beginning of the year.

<sup>3</sup> The ceiling on the overall fiscal deficit will to be adjusted in line with the TMU definition.

<sup>4</sup> Monitored on a continuous basis.

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MEFP Table 3: Structural Benchmarks, 2011-2013

| Measures                                                                            | MEFP\$ | Implementation date | Benchmark for review | Macroeconomic significance                                           | Status                          |
|-------------------------------------------------------------------------------------|--------|---------------------|----------------------|----------------------------------------------------------------------|---------------------------------|
| <b>INCREASE TAX REVENUE, IMPROVE THE QUALITY OF EXPENDITURE AND DEBT MANAGEMENT</b> |        |                     |                      |                                                                      |                                 |
| Operationalize the new public debt directorate                                      |        | January 15, 2012    | 3 <sup>rd</sup>      | Improve debt management                                              | Met                             |
| Prepare a medium-term debt strategy                                                 |        | September 30, 2012  | 4 <sup>th</sup>      | Improve debt management                                              | Met                             |
| Finalize the new general tax code and submit it to parliament                       |        | September 30, 2012  | 4 <sup>th</sup>      | Increase government revenue and encourage private sector development | Met with delay in November 2012 |
| Prepare evaluation guide for investment projects                                    | 24     | December 31, 2012   | 5 <sup>th</sup>      | Improve quality of public expenditure                                | In progress                     |
| Submit the new customs code to parliament                                           | 19     | June 30, 2013       | 5 <sup>th</sup>      | Increase government revenue and encourage private sector development | New                             |

|                                                                                                                       |    |                   |                 |                                        |                                            |
|-----------------------------------------------------------------------------------------------------------------------|----|-------------------|-----------------|----------------------------------------|--------------------------------------------|
| <b>CONSOLIDATE PROGRESS IN PUBLIC FINANCIAL MANAGEMENT</b>                                                            |    |                   |                 |                                        |                                            |
| Make use of the national registration number for businesses and associations (NINEA) mandatory for customs operations |    | January 1, 2012   | 3 <sup>rd</sup> | Modernize tax administration           | Met                                        |
| Launch and complete a comprehensive survey of agencies and their missions                                             |    | January 31, 2012  | 3 <sup>rd</sup> | Strengthen public financial management | Met                                        |
| Adoption by the Council of Ministers of the draft law transposing the directive on the transparency code              |    | June 30, 2012     | 3 <sup>rd</sup> | Strengthen public financial management | Met                                        |
| Produce a plan for restructuring all agencies and comparable entities                                                 | 19 | December 31, 2012 | 5 <sup>th</sup> | Strengthen public financial management | In progress. Reprogrammed to end-July 2013 |

|                                                                                                                                                                                                                                                                                                                                                 |    |                   |                 |                                                                          |                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----|-------------------|-----------------|--------------------------------------------------------------------------|--------------------------------|
| Finalize the Single Treasury Account                                                                                                                                                                                                                                                                                                            | 25 | February 28, 2013 | 5 <sup>th</sup> | Strengthen public financial management                                   | In progress                    |
| Publish information on transactions pertaining to the government's private property holdings                                                                                                                                                                                                                                                    | 23 | December 31, 2012 | 5 <sup>th</sup> | Strengthen public financial management                                   | New                            |
| Roll out the new payroll management software                                                                                                                                                                                                                                                                                                    | 14 | August 31, 2013   | 6 <sup>th</sup> | Strengthen public financial management                                   | New                            |
| Use cost-benefit assessment for investment projects exceeding CFAF 10 billion to be included in the budget for 2014                                                                                                                                                                                                                             | 24 | July 31, 2013     | 6 <sup>th</sup> | Improve efficiency of government expenditure                             | New                            |
| <b>PROMOTE PRIVATE SECTOR DEVELOPMENT BY IMPROVING THE BUSINESS CLIMATE, STRENGTHENING GOVERNANCE, AND ENHANCING EFFICIENCY OF THE FINANCIAL AND ENERGY SECTORS</b>                                                                                                                                                                             |    |                   |                 |                                                                          |                                |
| Publish complete information on: (i) the Energy Sector Support Fund (FSE); (ii) projects; (iii) status of planning and execution; (iv) financing details and updated costs of works; and (v) the position of the escrow account, on a monthly basis within two weeks following the end of the month, on a specialized website of the government |    | July 31, 2011     | 3 <sup>rd</sup> | Improve the transparency of infrastructure-related investments           | Continuous                     |
| Finalize a study to analyze the resources allocated to the microfinance sector and their impact, with a view to rationalizing these resources                                                                                                                                                                                                   |    | January 31, 2012  | 3 <sup>rd</sup> | Streamline the support for the microfinance sector                       | Met                            |
| Adopt an action plan on subsidies to electricity consumers                                                                                                                                                                                                                                                                                      |    | August 31, 2012   | 4 <sup>th</sup> | Energy sector development                                                | Met with delay in October 2012 |
| Implement e-filing and e-payment for taxes for large enterprises                                                                                                                                                                                                                                                                                | 18 | June 30, 2013     | 6 <sup>th</sup> | Enhance the efficiency of public policy and improve the business climate | New                            |

## ATTACHMENT II: TECHNICAL MEMORANDUM OF UNDERSTANDING

**Dakar, November 22, 2012**

1. This technical memorandum of understanding (TMU) defines the quantitative assessment criteria, indicative targets, and structural benchmarks on the basis of which the implementation of the Fund-supported program under the Policy Support Instrument (PSI) will be monitored in 2011–2013. The TMU also establishes the terms and time frame for transmitting the data that will enable Fund staff to monitor program implementation.

### **I. PROGRAM CONDITIONALITY**

2. The quantitative assessment criteria for end-December 2012, end-June 2013 and the quantitative targets for end-September 2012 and for end-March, end-September, and end-December 2013, are shown in Tables 1 and 2 of the MEFP, respectively. The prior actions and structural benchmarks established under the program are presented in Table 3.

### **II. DEFINITIONS, ADJUSTERS, AND DATA REPORTING**

#### **A. The Government**

3. Unless otherwise indicated, “government” means the central administration of the Republic of Senegal and does not include any local administration, the central bank, or any other public or government-owned entity with autonomous legal personality not included in the government flow-of-funds table (TOFE).

#### **B. Overall Fiscal Balance (Program Definition)**

##### **Definition**

4. The overall fiscal balance including grants (program definition) is the difference between the government’s total revenue (revenue and grants) and total expenditure and net lending. The operations of the Energy Sector Support Fund (FSE) are integrated in the government flow-of-funds table (TOFE). The revenues exclude privatization receipts and sales of mobile phone licenses or of any other state-owned assets. Government expenditure is defined on the basis of payment orders accepted by the Treasury (dépenses ordonnancées prises en charge par le Trésor) and expenditures executed with external resources. This assessment criterion is set as a floor on the overall fiscal balance including grants as of the beginning of the year.



## Example

5. The floor on the overall fiscal balance including grants (program definition) as of December 31, 2012, is minus CFAF 425.4 billion. It is calculated as the difference between total government revenue (CFAF 1,723.2 billion) and total expenditure and net lending (CFAF 2,148.7 billion).

## Adjustment

6. The overall fiscal balance including grants is adjusted downward by the amount that budget grants fall short of program projections up to a maximum of CFAF 15 billion at current exchange rates (see MEFP Tables 1 and 2).

7. The overall fiscal balance including grants is adjusted downward/upward by the amount that concessional loans exceed/fall short of their programmed amount, up to a maximum of CFAF 50 billion at current exchange rates (see MEFP, Tables 1 and 2). For the purposes of this assessment criterion, concessional loans denominated in CFAF and in foreign currency are taken into account.

## Reporting requirements

8. During the program period, the authorities will report provisional data on the overall fiscal balance (program definition) and its components monthly to Fund staff with a lag of no more than 30 days. Data on revenues and expenditure that are included in the calculation of the overall fiscal balance, and on expenditure financed with HIPC- and MDRI- related resources, will be drawn from preliminary Treasury account balances. Final data will be provided as soon as the final balances of the Treasury accounts are available, but not later than two months after the reporting of the provisional data.

## C. Social Expenditure

### Definition

9. Social spending is defined as spending on health, education, the environment, the judicial system, social safety nets, sanitation, and rural water supply. This criterion is set as a floor in percent relative to total spending (including the FSE) excluding capital expenditure related to the extension of the autoroute and the investment projects of the power sector reform plan.

### Reporting requirements

10. The authorities will report semiannual data to Fund staff within two months following the end of each period.

## D. Budgetary Float

### Definition

**11.** The budgetary float (instances de paiement) is defined as the outstanding stock of government expenditure for which bills have been received and validated but not yet paid by the Treasury (the difference between dépenses liquidées and dépenses payées). The assessment criterion is set as a ceiling on the budgetary float, monitored at the end of the quarter.

### Reporting requirements

**12.** The authorities will transmit to Fund staff on a weekly basis (i.e., at the end of each week), and at the end of each month, a table from the expenditure tracking system (SIGFIP) showing all committed expenditures (dépenses engagées), all certified expenditures that have not yet been cleared for payment (dépenses liquidées non encore ordonnancées), all payment orders (dépenses ordonnancées), all payment orders accepted by the Treasury (dépenses prises en charge par le Trésor), and all payments made by the Treasury (dépenses payées). The SIGFIP table will exclude delegations for regions and embassies. The SIGFIP table will also list any payments that do not have a cash impact on the Treasury accounts.

## E. Spending Undertaken Outside Simplified and Normal Procedures

**13.** This assessment criterion is applied on a continuous basis to any procedure other than the normal and simplified procedures to execute spending. It excludes only spending undertaken on the basis of a supplemental appropriation order (décret d'avance) in cases of absolute urgency and need in the national interest, in application of Article 12 of the Organic Budget Law. Such spending requires the signatures of the President of the Republic and Prime Minister.

**14.** The authorities will report any such procedure, together with the SIGFIP table defined in paragraph 12, to Fund staff on a monthly basis with a maximum delay of 30 days.

## F. Government External Payments Arrears

### Definition

**15.** External payments arrears are defined as the sum of payments owed and not paid on the external debt contracted or guaranteed by the government. The definition of external debt given in paragraph 18 is applicable here. The assessment criterion on external payments arrears will be monitored on a continuous basis.

### Reporting requirements

**16.** The authorities will promptly report any accumulation of external payments arrears to Fund staff.

## G. Contracting or Guaranteeing of New Nonconcessional External Debt by the Government

**17.** Definition of debt. For the purposes of the relevant assessment criteria, the definition of debt is set out in Executive Board Decision No.6230-(79/140), Point 9, as revised on August 31, 2009 (Decision No. 14416-(09/91)).

- a) The term “debt” will be understood to mean a direct, i.e., non-contingent, liability created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, according to a given repayment schedule; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows:
  - i. loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers’ credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);
  - ii. suppliers’ credits, i.e., contracts where the supplier permits the obligor to defer payments until sometime after the date on which the goods are delivered or services are provided; and
  - iii. leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. For the purpose of the guideline, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair or maintenance of the property.
- b) Under the definition of debt above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.

**18. Debt guarantees.** For the purposes of the relevant assessment criteria, the guarantee of a debt arises from any explicit legal obligation of the government to service a debt in the event of nonpayment by the debtor (involving payments in cash or in kind).

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**19. Debt concessionality.** For the purposes of the relevant assessment criteria, a debt is considered concessional if it includes a grant element of at least 35 percent;<sup>4</sup> the grant element is the difference between the present value (PV) of debt and its nominal value, expressed as a percentage of the nominal value of the debt. The PV of debt at the time of its contracting is calculated by discounting the future stream of payments of debt service due on this debt.<sup>5</sup> The discount rates used for this purpose are the currency-specific commercial interest reference rates (CIRRs), published by OECD.<sup>6</sup> For debt with a maturity of at least 15 years, the ten-year-average CIRR is used to calculate the PV of debt and, hence, its grant element. For debt with a maturity of less than 15 years, the six-month average CIRR is used. The margins for differing repayment periods (0.75 percent for repayment periods of less than 15 years, 1 percent for 15 to 19 years, 1.15 percent for 20 to 29 years, and 1.25 percent for 30 years or more) are added to the ten-year and six-month CIRR averages.

**20. External debt.** For the purposes of the relevant assessment criteria, external debt is defined as debt borrowed or serviced in a currency other than the CFA franc. This definition also applies to debt among WAEMU countries.

**21. Debt-related assessment criteria.** The relevant assessment criteria apply to the contracting and guaranteeing of new nonconcessional external debt by the government, local governments, SENELEC, the Energy Sector Support Fund (FSE), and any other public or government-owned entity. The criteria apply to debt and commitments contracted or guaranteed for which value has not yet been received. The criteria also apply to private debt for which official guarantees have been extended and which, therefore, constitute a contingent liability of the government. The assessment criteria are measured on a cumulative basis from the time of approval of the PSI by the Executive Board. ACs will be monitored on a continuous basis. No adjuster will be applied to these criteria.

**22. Special provisions:**

- a) The assessment criteria do not apply to: (i) debt rescheduling transactions of debt existing at the time of the approval of the PSI; (ii) debt contracted by the airport project company (AIBD) to finance construction of the new Dakar Airport; and (iii) short-term external debt (maturity of less than one year) contracted by SENELEC to finance the purchase of petroleum products.

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<sup>4</sup> The following reference on the IMF website creates a link to a tool that allows for the calculation of the grant element of a broad range of financing packages: <http://www.imf.org/external/np/pdr/conc/calculator>.

<sup>5</sup> The calculation of concessionality will take into account all aspects of the debt agreement, including maturity, grace period, payment schedule, upfront commissions, and management fees.

<sup>6</sup> For debts in foreign currencies for which the OECD does not calculate a CIRR, calculation of the grant element should be based on the composite CIRR (weighted average) of the currencies in the SDR basket.

b) A total ceiling of US\$500 million applies over the period 2011–13 for nonconcessional external debt financing to be used for investment projects discussed with Fund staff in road infrastructure, the energy sector, and urban water and sanitation. The nonconcessional funds obtained in this way will be deposited in a special account. The authorities will report regularly to Fund staff on the balance of this account and the use of funds. Following the issuance of a US\$500 million Eurobond in May 2011, with an exchange offer for the outstanding 2009 Eurobond, the remaining ceiling for nonconcessional borrowing for 2011–13 is US\$ 200 million (equivalent to the amount of the 2009 bonds actually redeemed or exchanged in 2011).

c) A separate ceiling equivalent to CFAF 44 billion in 2011–13 applies for untied nonconcessional external debt financing with a grant element of at least 15 percent. Projects financed in this way would be expected to meet the same economic and social profitability criteria as other capital spending. The government will inform Fund staff in a timely manner before contracting any debt of this type and will provide sufficient information ahead of time to verify the degree of concessionality. It will also provide a brief summary of the projects to be financed and their profitability, including an evaluation by the lender or the government. The government will report the use of funds and project implementation in subsequent MEFPs.

### **Reporting requirements**

**23.** The government will report any new external borrowing and its terms to Fund staff as soon as external debt is contracted or guaranteed by the government, but no later than within two weeks of such external debt being contracted or guaranteed.

## **H. Public Sector Contracts Signed by Single Tender**

### **Definition**

**24.** Public sector contracts are administrative contracts, drawn up and entered into by the government or any entity subject to the procurement code, for the procurement of supplies, delivery of services, or execution of work. Public sector contracts are considered “single-tender” contracts when the contracting agent signs the contract with the chosen contractor without competitive tender. The quarterly indicative target will apply to total public sector contracts entered into by the government or any entity subject to the procurement code. The ceiling on contracts executed by single tender will exclude fuel purchases by SENELEC for electricity production. This exclusion reflects new regulation, which requires SENELEC to buy fuel directly from SAR based on the existing price structure.

### **Reporting requirements**

**25.** The government will report quarterly to Fund staff, with a lag of no more than one month from the end of the observation period, the total value of public sector contracts and the total value of all single-tender public sector contracts.

### III. ADDITIONAL INFORMATION FOR PROGRAM MONITORING

**26.** The authorities will transmit the following to Fund staff, in electronic format if possible, with the maximum time lags indicated:

(a) 3 days after adoption: any decision, circular, edict, supplemental appropriation order, ordinance, or law having economic or financial implications for the current program. This includes in particular all acts that change budget allocations included in the budget law being executed (for instance: supplemental appropriation orders (*décrets d'avance*), cancellation of budget appropriations (*arrêtés d'annulation de crédit budgétaires*) and orders or decisions creating supplemental budget appropriations (*décrets ou arrêtés d'ouverture de crédit budgétaire supplémentaire*).

(b) With a maximum lag of 30 days, preliminary data on:

Tax receipts and tax and customs assessments by categories, accompanied by the corresponding revenue on a monthly basis;

The monthly amount of expenditures committed, certified, and for which payment orders have been issued;

The monthly situation of checks issued by agencies from their deposit accounts at the Treasury but not paid to beneficiaries, with the dates of issuance of the checks.

The quarterly report of the Debt and Investments Directorate (DDI) on the execution of investment programs;

The monthly preliminary government financial operations table (TOFE) based on the Treasury accounts;

The provisional monthly balance of the Treasury accounts; and

Reconciliation tables between the SIGFIP table and the consolidated Treasury accounts, between the consolidated Treasury accounts and the TOFE for "budgetary revenues," between the consolidated Treasury accounts and the TOFE for "total expenditure and net lending," and between the TOFE and the net government position (NGP), on a quarterly basis.

(c) Final data will be provided as soon as the final balances of the Treasury accounts are available, but not later than one month after the reporting of provisional data.

**27.** During the program period, the authorities will transmit to Fund staff provisional data on current nonwage noninterest expenditures and domestically financed capital expenditures executed through cash advances on a monthly basis with a lag of no more than 30 days. The

data will be drawn from preliminary consolidated Treasury account balances. Final data will be provided as soon as the final balances of the Treasury accounts are available, but no more than one month after the reporting of provisional data.

**28.** The central bank will transmit to Fund staff:

The monthly balance sheet of the central bank, with a maximum lag of one month;

The consolidated monthly balance sheet of banks with a maximum lag of two months;

The monetary survey, on a monthly basis, with a maximum lag of two months;

The lending and deposit interest rates of commercial banks, on a monthly basis; and

Prudential supervision and financial soundness indicators for bank financial institutions, as reported in the Table entitled *Situation des Etablissements de Crédit vis-à-vis du Dispositif Prudentiel* (Survey of Credit Institution Compliance with the Prudential Framework), on a quarterly basis, within a maximum delay of two months.

**29.** The government will update on a monthly basis on the website established for this purpose the following information:

a) Preliminary TOFE and transition tables with the delay of 2 months.

b) SIGFIP execution table, the table for the central government and a summary table including regions, with the delay of 2 weeks

c) The amount of the airport tax collected, deposited in the escrow account, and used for the repayment of the loan financing the construction of the new airport, with the delay of 1 month.

d) Full information on: (i) the operations of Energy Sector Support Fund (FSE); (ii) investment projects in the power sector; (iii) planning and execution of these projects; (iv) details of financing and updated costs; and (v) the balance of the escrow account with the resources of the Eurobond issued in 2011 allocated to the Takkal project (within 3 weeks).

e) Full information on: (i) the status of the projects related to the extension of the autoroute to Diamniadio, AIDB, Mbour and Thies; (ii) costs of the projects and their updates; (iii) financing and cost of financing linked to the projects; (iv) the balance of the escrow account with the resources of the Eurobond issued in 2011 and allocated to the extension of the autoroute (with the delay of 3 weeks).

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## ANNEX VII. DRAFT PUBLIC INFORMATION NOTICE



INTERNATIONAL MONETARY FUND

*Public Information Notice*

EXTERNAL  
RELATIONS  
DEPARTMENT

Public Information Notice (PIN) No. 12/xx

FOR IMMEDIATE RELEASE

[Month, dd, yyyy]

International Monetary Fund  
700 19<sup>th</sup> Street, NW  
Washington, D. C. 20431 USA

### **IMF Executive Board Concludes 2012 Article IV Consultation with Senegal**

On [December 10, 2012], the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation with Senegal.<sup>1</sup>

#### **Background**

Senegal's growth has been sluggish in recent years, with implications for poverty reduction. Average growth was relatively strong in 1995–2005 (4.5 percent) and accompanied by a large drop in poverty incidence (from 68 to 48 percent). Due partly to a series of exogenous shocks (i.e., food and fuel global prices, global financial and economic crisis, and more recently, the electricity sector crisis and drought in the Sahel), growth decreased to an average of 3.3 percent in 2006–2011. As a result, poverty incidence barely decreased during this period and still stood at 47 percent in 2011. Wide disparities exist between rural areas, where poverty incidence is higher than the national average (at 57 percent), and urban areas (at 33 percent).

<sup>1</sup> Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board. At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities. An explanation of any qualifiers used in summings up can be found here: <http://www.imf.org/external/np/sec/misc/qualifiers.htm>.



Fiscal deficits and debt ratios have increased in recent years. The fiscal deficit, which was below 4 percent of GDP in 2007, stood at 6.7 percent of GDP in 2011. Higher deficits were justified to a large extent by the response to successive shocks. Meanwhile, the public debt-to-GDP ratio has increased continuously and is expected to exceed 45 percent in 2012.

After a tense campaign, President Sall was elected by a large majority and the governing coalition secured a broad majority at the legislative elections in July 2012. With a strong popular mandate, the government is now facing the challenge of accelerating reforms and meeting people's high expectations.

The authorities are addressing Senegal's macroeconomic challenges in the context of an economic program supported by the IMF's Policy Support Instrument (PSI) approved in December 2010 (see Press Release No. 10/469). The key objectives of the program are: (i) pursuing a prudent fiscal and debt policy and improving expenditure quality so as to maintain macroeconomic stability and lay the groundwork for higher, sustainable growth; (ii) raising revenue to create more fiscal space for priority spending, including additional infrastructure investment; (iii) further strengthening public financial management and governance to enhance fiscal transparency, budget planning and execution, improve the productivity of public expenditure, and reduce budgetary risks; and (iv) stimulating private sector development through structural reforms, particularly in the energy and financial sectors, and other reforms related to the business climate.

## Executive Board Assessment

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**Public Information Notices (PINs)** form part of the IMF's efforts to promote transparency of the IMF's views and analysis of economic developments and policies. With the consent of the country (or countries) concerned, PINs are issued after Executive Board discussions of Article IV consultations with member countries, of its surveillance of developments at the regional level, of post-program monitoring, and of ex post assessments of member countries with longer-term program engagements. PINs are also issued after Executive Board discussions of general policy matters, unless otherwise decided by the Executive Board in a particular case.

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Table 1. Senegal: Selected Economic and Financial Indicators, 2011–17

|                                                                                   | 2011  | 2012          | 2013  | 2014  | 2015  | 2016  | 2017   |
|-----------------------------------------------------------------------------------|-------|---------------|-------|-------|-------|-------|--------|
|                                                                                   |       | EBS/<br>12/85 | Proj. |       | Proj. |       |        |
| (Annual percentage change)                                                        |       |               |       |       |       |       |        |
| National income and prices                                                        |       |               |       |       |       |       |        |
| GDP at constant prices                                                            | 2.6   | 3.9           | 3.7   | 4.3   | 4.8   | 5.0   | 5.2    |
| Of which: nonagriculture GDP                                                      | 4.8   | 3.2           | 2.9   | 4.0   | 4.8   | 5.1   | 5.3    |
| GDP deflator                                                                      | 4.3   | 2.2           | 2.2   | 2.4   | 2.4   | 2.5   | 2.5    |
| Consumer prices                                                                   |       |               |       |       |       |       |        |
| Annual average                                                                    | 3.4   | 2.5           | 1.5   | 1.6   | 1.8   | 1.8   | 1.8    |
| End of period                                                                     | 2.7   | 2.2           | 1.6   | 1.8   | 1.8   | 1.8   | 1.8    |
| External sector                                                                   |       |               |       |       |       |       |        |
| Exports, f.o.b. (CFA francs)                                                      | 7.1   | 3.2           | 4.4   | 6.9   | 3.6   | 5.4   | 9.2    |
| Imports, f.o.b. (CFA francs)                                                      | 8.9   | 9.0           | 9.5   | 4.2   | 3.4   | 3.3   | 7.0    |
| Export volume                                                                     | -2.7  | 0.4           | -1.0  | 4.4   | 4.9   | 5.5   | 6.4    |
| Import volume                                                                     | 4.3   | 4.7           | 3.4   | 3.2   | 4.2   | 4.4   | 4.5    |
| Terms of trade ("–" = deterioration)                                              | 5.6   | -0.4          | -0.4  | 1.7   | -0.7  | 0.7   | 0.5    |
| Nominal effective exchange rate                                                   | 1.4   | ...           | ...   | ...   | ...   | ...   | ...    |
| Real effective exchange rate                                                      | 1.1   | ...           | ...   | ...   | ...   | ...   | ...    |
| (Changes in percent of beginning-of-year broad money, unless otherwise indicated) |       |               |       |       |       |       |        |
| Broad money                                                                       | 6.7   | 7.5           | 6.0   | 7.4   |       |       |        |
| Net domestic assets                                                               | 9.0   | 7.6           | 10.4  | 7.4   | ...   | ...   | ...    |
| Domestic credit                                                                   | 10.2  | 7.0           | 9.5   | 7.0   | ...   | ...   | ...    |
| Credit to the government (net)                                                    | -2.0  | 1.7           | 1.8   | 1.3   | ...   | ...   | ...    |
| Credit to the economy (percentage growth)                                         | 18.8  | 5.6           | 10.6  | 7.6   | ...   | ...   | ...    |
| (Percent of GDP, unless otherwise indicated)                                      |       |               |       |       |       |       |        |
| Government financial operations                                                   |       |               |       |       |       |       |        |
| Revenue                                                                           | 20.2  | 20.7          | 20.9  | 20.8  | 20.9  | 20.9  | 20.7   |
| Grants                                                                            | 2.2   | 2.7           | 2.9   | 2.7   | 2.7   | 2.7   | 2.6    |
| Total expenditure and net lending                                                 | 29.0  | 29.8          | 29.7  | 28.4  | 27.9  | 27.5  | 26.7   |
| Overall fiscal surplus (+) or deficit (–)                                         |       |               |       |       |       |       |        |
| Payment order basis, excluding grants                                             | -8.9  | -9.1          | -8.8  | -7.6  | -7.0  | -6.6  | -6.3   |
| Payment order basis, including grants                                             | -6.7  | -6.4          | -5.9  | -4.9  | -4.3  | -3.9  | -3.5   |
| Primary fiscal balance <sup>1</sup>                                               | -5.2  | -4.9          | -4.3  | -3.1  | -2.7  | -2.4  | -1.9   |
| Gross domestic investment                                                         | 28.7  | 30.8          | 30.3  | 30.1  | 30.2  | 30.5  | 30.5   |
| Government                                                                        | 10.5  | 12.6          | 12.1  | 11.8  | 11.8  | 11.9  | 11.6   |
| Nongovernment                                                                     | 18.2  | 18.2          | 18.2  | 18.3  | 18.4  | 18.6  | 18.9   |
| Gross domestic savings                                                            | 12.5  | 12.8          | 12.8  | 13.5  | 14.3  | 15.5  | 16.9   |
| Government                                                                        | 5.4   | 7.7           | 7.9   | 8.8   | 9.1   | 9.5   | 9.6    |
| Nongovernment                                                                     | 7.1   | 5.1           | 4.9   | 4.7   | 5.3   | 5.9   | 7.1    |
| Gross national savings                                                            | 22.6  | 22.5          | 22.7  | 23.0  | 23.5  | 24.2  | 24.9   |
| External current account balance                                                  |       |               |       |       |       |       |        |
| Including current official transfers                                              | -6.1  | -8.3          | -7.6  | -7.1  | -6.7  | -6.3  | -5.9   |
| Excluding current official transfers                                              | -6.8  | -8.9          | -8.4  | -7.8  | -7.4  | -7.0  | -6.3   |
| Total public debt                                                                 | 40.0  | 44.9          | 45.0  | 46.8  | 48.1  | 48.7  | 49.0   |
| Central government domestic debt                                                  | 11.3  | 12.2          | 12.3  | 12.2  | 12.7  | 12.9  | 13.0   |
| External public debt                                                              | 28.8  | 32.6          | 32.7  | 34.6  | 35.4  | 35.8  | 36.1   |
| External public debt service                                                      |       |               |       |       |       |       |        |
| Percent of exports                                                                | 14.0  | 7.4           | 7.3   | 7.6   | 6.8   | 7.4   | 7.0    |
| Percent of government revenue                                                     | 17.2  | 8.7           | 8.4   | 8.7   | 7.5   | 8.1   | 7.7    |
| Gross domestic product (CFAF billions)                                            | 6,818 | 7,243         | 7,225 | 7,718 | 8,286 | 8,921 | 10,351 |

Sources: Senegalese authorities; and IMF staff estimates and projections.

<sup>1</sup> Total revenue and grants minus total expenditure and net lending, excluding interest expenditure.